

How a Small Business Gets Chosen

How a Small Business Gets Chosen

Lessons from Established Singapore Brands

Sean Foo, founder of ObserveCo

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Part I

PART ONE: THE SINGAPORE BRANDS, IN FULL

Chapter 1

The Singapore story: how a country positioned itself

Before the brands, there is the country. And the country is the greatest positioning story in this book because Singapore itself is a brand that was positioned, on purpose, against impossible odds, and it is the proof that the whole method works. Every Singapore brand in this book stands on the ground that this one positioning effort created.

The country that should not have existed

In 1965, Singapore was expelled from Malaysia. It was not a choice. It was a forced separation, announced by a tearful Lee Kuan Yew on television, and it left a tiny island of two million people with no natural resources, no hinterland, no army, and no obvious reason to survive. The conventional wisdom was that it could not. A small, vulnerable, resource-less island, cut off from the Malayan hinterland that had fed its entrepôt trade; the experts said it would fail.

Lee Kuan Yew's own finance minister, Goh Keng Swee, had argued for separation partly because he believed the economic benefits of merger were non-existent. Even the founders did not believe the island could make it alone. And yet, within ten years, Lee was telling the world: "Ten years from now, this will be a metropolis. Never fear!" He was right. By 1990, Singapore's income per person had risen from about US\$500 in 1965 to about US\$13,000, surpassing South Korea, Israel, and Portugal. It had gone, in Lee's own words, "from Third World to First."

How? The answer is positioning. Singapore did not have resources, scale, or a hinterland. It had only one thing it could control: the word

The Singapore Story



Figure 1.1: How a country positioned itself.

in the world's mind. And Lee Kuan Yew set out, deliberately, to own that word.

The port war: Malacca, Penang, and the entrepôt

The first battle was the port. Singapore's entire reason for existing, since Stamford Raffles founded it in 1819, was the entrepôt trade, the free port where goods from the region were stored, sorted, and re-exported. It was a position, and it was under threat.

The threat was the other ports. Malacca had been the great trading port of the Malay world for centuries, the name every trader knew. Penang, to the north, was Britain's other Straits port, competing for the same trade. And the region was full of ports, Batavia, Manila, the ports of the Dutch and Spanish empires, all vying to be the hub. Singapore's

position as the entrepôt was not guaranteed; it had to be won, and held, against rivals that had history and geography on their side.

Singapore won the port war the way a positioned brand wins: by being the one the trader could rely on. It was a free port, no tariffs, no restrictions, when the rival ports levied duties. It was efficient, reliable, and convenient, so the trader knew the goods would move. It built the infrastructure, the deep-water harbour, the godowns, the shipping lines, that made it the natural hub. And it held the word: when a trader in the region thought “where do I move my goods through?” the answer was Singapore. Malacca had the history; Singapore had the position.

The second war: against a hundred countries

The port war was the first positioning battle, but it was not the last. When Singapore became independent, it had to win a second, harder war: the war for the world’s attention, investment, and trust, against every other country competing for the same thing.

Think about what Singapore was up against. It was a tiny island with no resources, competing for foreign investment against countries with land, labour, and raw materials. It was competing against the whole developing world, a hundred or more countries, all offering cheap labour and tax breaks, all trying to attract the same factories and the same capital. On paper, Singapore should have lost. It had nothing the others did not have, and less of most of it.

Lee Kuan Yew’s answer was to position Singapore as something the others were not. He did not compete on being the cheapest, he could not win that war. He positioned Singapore as the reliable one: the clean, efficient, First-World-standard place in a Third-World region. He made the country a brand, “clean and green,” “efficient,” “corruption-free,” “the place where things work” and he sold that word to the world.

The evidence is in his own words. Lee wrote that he settled for a “clean and green Singapore” because “if we had First World standards,

then business people and tourists would make us a base for their business and tours of the region.” He understood that the investor was not choosing the cheapest country; the investor was choosing the one it could trust. And trust, in a region of uncertain, corrupt, inefficient countries, was the open word. Singapore claimed it.

The nation as a brand

This is the deepest lesson of the Singapore story, and it is the reason this book exists. Lee Kuan Yew did not just build a country; he built a brand. He decided the word Singapore would own in the world’s mind, reliability, efficiency, trust, First-World standards and he made every policy serve that word. The clean streets, the uncorrupt civil service, the world-class infrastructure, the rule of law, these were not just good governance; they were the delivery of the brand. Every detail, however minor, was made to confirm the word.

And the brand worked. Singapore did not win the war for investment by being the biggest or the cheapest; it won by being the trusted one. The investor who could not trust a hundred other countries could trust Singapore. The tourist who wanted a safe, clean, efficient place chose Singapore. The word in the world’s mind, “Singapore works”, was the moat that no resource-rich, low-cost competitor could cross, because they could not manufacture the trust.

What the Singapore story teaches a small business

The Singapore story is not a history lesson; it is the template for every brand in this book. Read it as a small business and the parallels are exact.

Singapore had no natural advantage and neither do you. It had no resources, no scale, no hinterland. It competed against a hundred countries with more of everything. And it won by owning a word the others could not take. A small business in a dense, capped market faces

the same arithmetic: you cannot out-resource the big players, so you must out-position them.

Singapore did not compete on price and neither should you. It could not win the race to be cheapest, so it did not run it. It claimed a different word, trust, reliability, First-World standards and it owned that. A small business that competes on price against bigger players loses; a small business that owns a word the big players cannot take wins.

Singapore made every detail serve the word and so must you. The clean streets, the clean service, the reliable delivery, every detail confirmed the brand. A small business that owns “the specialist” must make every interaction confirm it. The word is only real if the delivery backs it.

Singapore re-earned the word for decades and so must you. The brand was not won once; it was re-earned, year after year, as the world changed and the competitors moved. A small business that claims a word and stops re-earning it loses it. The position is a discipline, not a prize.

The Singapore story is the proof that the method in this book works at the largest scale there is, the scale of a nation. If a tiny, resource-less island could position itself against Malacca, Penang, and a hundred countries, and win, then a small business in a dense market can position itself against its competitors, and win. The country is the greatest Singapore brand of all and it is the ground every other Singapore brand stands on.

Chapter 2

The brands that grew on that ground

The Singapore story created the ground, and on that ground grew the brands this book is about. It is worth seeing them as the country's positioning made flesh, each one a small business that claimed a word, the way the country claimed its own.

The heritage names came first, and they are the purest proof that a word can be owned without scale. **Tiger Balm**, named after founder Aw Boon Haw's given name, "Haw" meaning tiger, started as a humble Singapore ointment in the 1920s and owns the word "relief" for aches and pains across Asia. A single product, a single word, re-earned for a century. **Yeo's**, the soy-sauce and drinks maker that grew from a small family business into a household name, owns the word "trusted local food and drink." **Old Chang Kee**, the curry puff stall from 1956, owns the word "curry puff" itself. These are the brands that proved, before the country was even independent, that a Singapore name could own a word.

Then came the brands that grew big in the open ground the country created. **Charles & Keith**, two brothers, one shop in 1996, a global footwear label. **BreadTalk**, a bakery that created "designer bread." **Banyan Tree**, a hotel brand that created "romantic sanctuary." **Grab**, a ride-hailing app that repositioned a whole category. **Secretlab**, two young men with S\$50,000 who created the premium gaming chair. **OSIM**, a trading company that became a wellness leader. **LiHo**, a homegrown bubble-tea challenger. **Sheng Siong**, a challenger that owned "the deal." **NTUC FairPrice**, the cooperative that owns "the trusted default."

And the newer names, still claiming their words: **Ya Kun** owns “traditional Singapore kaya toast.” **Swee Lee** owns “the music store for musicians.” **Wise Move** owns “the moving company you can book online.” **Love, Bonito** owns “clothing for the modern Asian woman.” **Carousell** owns “the second-hand marketplace.” **FairPrice Finest** owns the premium tier of the trusted cooperative.

Every one of these brands is the Singapore story in miniature. The country positioned itself against a hundred rivals; each brand positioned itself against its own rivals. The country owned a word the world could trust; each brand owns a word its customers can recall and repeat. The country is the proof that the method works; the brands are the proof that it works for a small business.

This book tells their stories, how they started, who their customers were, what word they claimed, and how they grew by owning it. And it shows you, the small business owner, how to do the same on the ground the country built for you.

This part walks through the Singapore brands this book has referenced, told in full, how they started, the competitive landscape then, who the customers were and what they wanted, how the brand gave them what they needed, and where they stand now. Each story is told through the lens of the posture it used.

Chapter 3

The heritage brands: how a word is owned for a century

The oldest Singapore brands are the purest proof of the whole method, because they owned a word before anyone called it positioning. They did not have a theory; they had a product and a name, and they repeated both until the word became inseparable from the name. Their stories teach the deepest lesson of this book: a word, owned and re-earned for decades, is the strongest asset a business can have.

Tiger Balm: the word “relief”

Tiger Balm is the Singapore brand that went furthest, and it started with a name. The ointment was created by Aw Boon Haw, whose given name “Haw” means tiger in Chinese so the brand was named after the founder himself. It began as a humble herbal remedy in the 1920s and grew into one of Asia’s most recognised products, owning the word “relief” for aches and pains across the region.

The lesson is in the name and the single word. Tiger Balm did not try to be a general medicine brand; it owned one thing, relief for aches and pains and it repeated that word for a century. The name carried the position: a tiger is strong, and the balm relieves. Every jar, every label, every generation of the family repeated the same word, until “Tiger Balm” and “relief” were the same thing in the customer’s mind. It is the purest example of a brand that owns a word without owning a category’s scale.

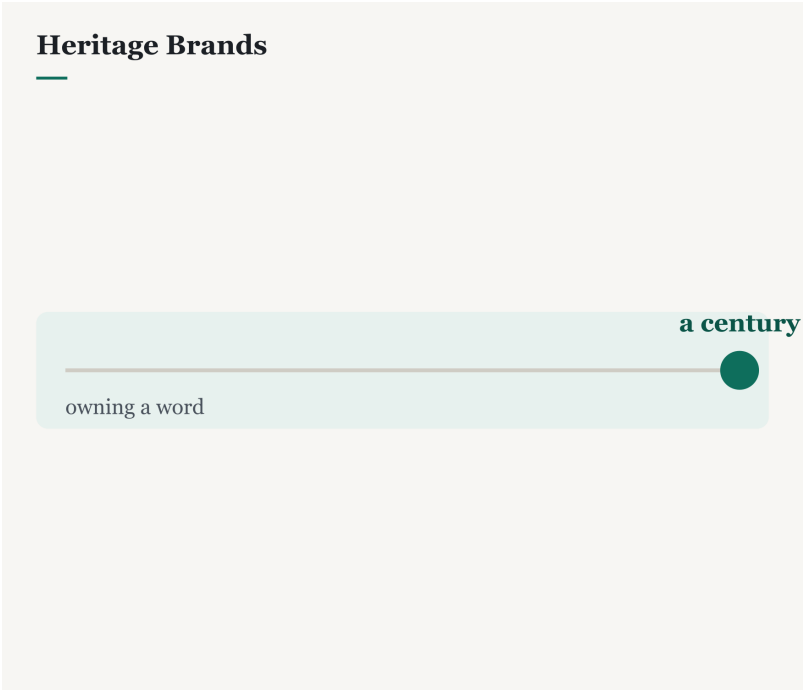


Figure 3.1: A century of owning a word.

Khong Guan: the word “the biscuit tin”

Khong Guan is the biscuit brand every Singaporean grew up with, and its story is the story of a word owned through a single iconic object. Two brothers, Chew Choo Keng and Chew Choo Han, set up the Khong Guan Biscuit Factory in Singapore in 1947, after the war. They made biscuits, cream crackers, lemon puffs, the assorted assortment and they put them in a red tin.

That red tin became the word. For generations, the Khong Guan biscuit tin was the thing on every family’s shelf, the thing you reached for at Chinese New Year, the thing that said “biscuits” to a Singaporean. The brand did not own “biscuits” in general; it owned the specific, iconic object, the red tin, that the customer associated with the brand.

It grew from a local household name into a worldwide brand, but the word never changed: the red tin, the trusted biscuit, the family ritual.

Ya Kun and Killiney: the word “kaya toast”

The kaya-toast brands show how two businesses can own the same category by owning different words. Ya Kun started as a coffee stall in 1944, run by Loi Ah Koon, and stayed a small family stall for decades before his youngest son expanded it into a chain in 1999. Killiney Kopitiam started even earlier, its shopfront on Killiney Road was founded in 1919, and it is recognised as Singapore’s oldest coffeeshop.

Both own “kaya toast,” but they own it differently. Ya Kun owns the modern, franchised, expanded version, the kaya toast you can get in a hundred outlets and now in a Uniqlo collaboration. Killiney owns the heritage, the original, the oldest coffeeshop, the tradition, the “since 1919.” The customer who wants the modern chain thinks of Ya Kun; the customer who wants the heritage original thinks of Killiney. Two brands, one category, two words and both hold.

Song Fa: the word “bak kut teh”

Song Fa Bak Kut Teh shows how a hawker stall becomes a heritage brand. It began in 1969 as a pushcart on Johor Road, run by Yeo Eng Song, serving bowls of traditional Teochew bak kut teh. It grew into one of Singapore’s most recognisable heritage dining brands, now run by the second generation and known internationally.

The lesson is the word and the re-earning. Song Fa did not own “bak kut teh” in general, there are many bak kut teh stalls. It owned the specific word: the heritage, the quality, the pushcart origin, the family name. The second generation did not abandon the word; they re-earned it, expanding the brand while keeping the heritage that made it. The word “Song Fa” became the name a Singaporean says when they want the trusted, heritage bak kut teh.

What the heritage brands teach

Read the heritage brands together and they teach the deepest lesson of this book. A word, owned and re-earned for decades, is the strongest asset a business can have. Tiger Balm owned “relief” for a century. Khong Guan owned “the biscuit tin” for generations. Ya Kun and Killiney each own a version of “kaya toast.” Song Fa owns “heritage bak kut teh.”

None of them owned a category’s scale. They owned a word, a specific, referable, repeated word and they held it for decades. That is the proof that a small business does not need to be big to win. It needs to own a word, and to re-earn it, year after year, until the word and the name are the same thing in the customer’s mind.

Chapter 4

The brands that created a category

The next group of Singapore brands did something harder than owning a word in an existing category: they created a new category and became its leader. These are the flankers, and their stories teach the most powerful move in this book, if you cannot be first in an existing category, create a new one and be first in it.

TWG Tea: the word “luxury tea”

TWG Tea is the clearest modern example of a Singapore brand that created a category. It was founded in 2008 as a luxury tea concept, a teahouse and boutique selling over a thousand blends of tea, positioned not as a drink but as a luxury experience. It grew rapidly, opening more than seventy boutiques and salons across Asia, Europe, the Middle East and North America, and distributing its tea in over forty countries.

The lesson is the category it created. Before TWG, tea in Singapore was a commodity, you bought it at the supermarket, you brewed it at home. TWG did not compete with the supermarket tea; it created a new category, luxury tea, tea as an experience, tea as a status product and it became the leader of that category. The name even carries the positioning: the logo features the year 1837, a reference to the founding of the Singapore Chamber of Commerce, giving the young brand the weight of heritage. TWG did not fight the tea brands; it created a category they were not in, and it owned it.

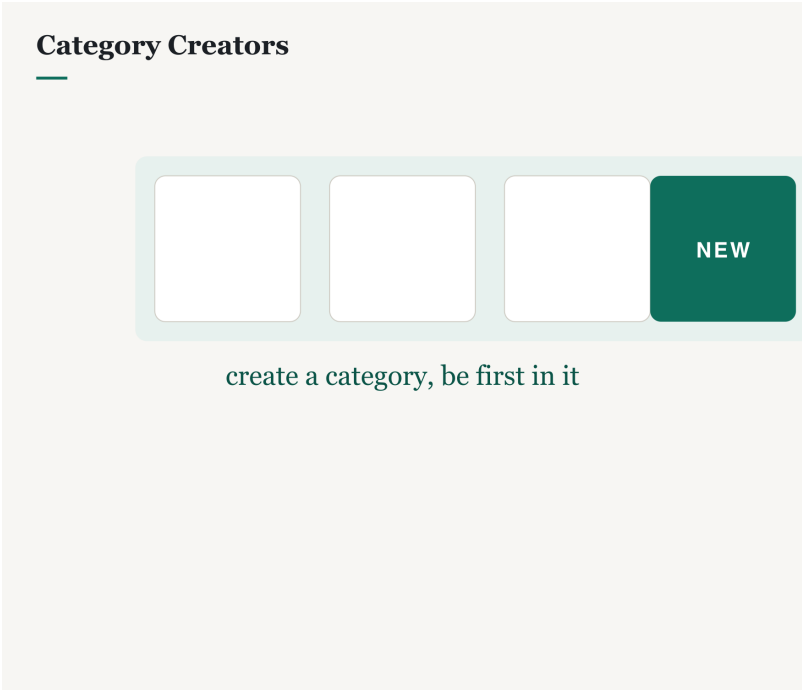


Figure 4.1: Create a category, be first in it.

Prima Taste: the word “the world’s best instant noodle”

Prima Taste shows how a Singapore brand can own a word on the world stage. The brand was designed for Singaporean expatriates living abroad, people who missed the taste of home. In 2011, it launched its Singapore Laksa LaMian, a premium instant noodle, and it went on to be crowned the world’s best instant noodle by The Ramen Rater, topping a list of over five thousand global noodles.

The lesson is the word and the audience. Prima Taste did not compete with the cheap instant noodles; it created a premium category, the Singapore laksa you can make at home, anywhere in the world and it owned it. The word “the world’s best instant noodle” is a position no other brand holds, and it was built by serving a specific, underserved customer: the Singaporean abroad who wanted the taste of home.

Mr Coconut: the word “coconut drink”

Mr Coconut shows how a brand can create a category in a crowded market. It started in 2016, and after a difficult start, the owners renamed the business and focused it on one thing: fresh coconut drinks. The focus worked. It grew to over forty outlets across Singapore, becoming the name people think of for coconut drinks.

The lesson is the focus and the category. Mr Coconut did not try to be another bubble-tea or juice brand; it created a category, the fresh coconut drink and it owned it. The word “Mr Coconut” and the drink became the same thing. In a market crowded with drink brands, it found a word no one owned and claimed it.

What the category-creators teach

Read the category-creators together and they teach the most powerful move in this book. TWG created “luxury tea.” Prima Taste created “the world’s best instant noodle.” Mr Coconut created “the coconut drink.” None of them fought an existing leader head-on; each created a new category and became its leader.

This is the flank, and it is the move available to a small business that cannot beat the existing leader. The category-creators prove it works, from a luxury teahouse to a premium instant noodle to a coconut drink, the brand that creates a category and owns it holds the strongest position there is.

NTUC FairPrice: the defensive leader (1973)

How it started. NTUC FairPrice was founded in 1973, not as a typical business but as a labour-movement cooperative with a social mission. It was set up by the National Trades Union Congress (NTUC, the umbrella body of Singapore’s trade unions) to keep the cost of

living down for ordinary Singaporeans. The first supermarket opened in Toa Payoh in 1973, opened by then-Prime Minister Lee Kuan Yew. It merged with another cooperative in 1983 to become the NTUC FairPrice Cooperative.

The founding was a deliberate act of positioning, even if no one called it that at the time. The labour movement did not set up a supermarket to make money. It set one up to protect ordinary families from rising prices. That social mission, “we exist to keep prices fair for you”, became the foundation of everything the brand would later become.

The competitive landscape then. The supermarket industry in 1970s Singapore was young. There were small provision shops and wet-market stalls, but the modern supermarket format was just arriving. The market was fragmented between small players, with no dominant chain and no strong brand. Grocery shopping was scattered across the wet market, the provision shop, and the new supermarkets that were only beginning to appear.

Who the customer was, and what they wanted. The customer was the ordinary Singaporean family, worried about the rising cost of living. Singapore was a young, developing nation in 1973, and keeping the household budget under control was a daily concern. What they wanted was reliable, fair-priced groceries, a place they could trust not to overcharge them, in a world where they had very little room for waste.

How the brand gave them what they needed. FairPrice claimed the position “the trusted default”, the fair, reliable, cooperative supermarket every Singaporean could depend on. Its social mission was its position: it existed to keep prices fair, and Singaporeans trusted it for exactly that. It did not need to out-advertise its competitors because its position was built on trust and mission, not noise.

As it grew, it became the largest supermarket chain in Singapore, the name people default to for their weekly shop. Its slogan, “Singapore’s very own,” reinforced the position; it was not a foreign chain, it was the people’s own store, born of the labour movement. That local, cooperative identity is a position no foreign competitor could copy.



Figure 4.2: The challenger.

The landscape now. FairPrice faces challengers, Sheng Siong on value, and a more premium tier on quality but it remains the defensive leader, the name most Singaporeans think of first for groceries. Its position is defended by its scale, its community trust, and its constant improvement, it keeps opening more stores, improving its range, and reinforcing that it is “Singapore’s very own.”

Sheng Siong: the challenger that owned “the deal”

How it started. The Lim brothers founded Sheng Siong in the 1980s, starting as a small provision shop before growing into a chain. Today it is one of Singapore’s largest supermarket groups, with dozens of stores across the island and a listing on the Singapore Exchange.

The competitive landscape then. When Sheng Siong was growing, the grocery market was dominated by the bigger players, NTUC FairPrice, and the international groups like Cold Storage. These were established, trusted names competing for the mainstream shopper. The middle of the market was contested.

Who the customer was, and what they wanted. The customer was the price-conscious Singaporean shopper, especially in the heartland, who wanted the lowest prices on their weekly groceries. They were not looking for premium experiences or imported specialties; they wanted value, plain and simple.

How the brand gave them what they needed. Sheng Siong attacked the grocery leaders on the weakness of price. While the bigger players fought for the middle and premium of the market, Sheng Siong claimed “the deal”, the value, the cheapest, the place for the price-conscious shopper. It built its model around efficiency and low prices, and it owned that word. It did not try to out-scale FairPrice or match Cold Storage’s premium; it attacked the price word and owned it.

The landscape now. Sheng Siong remains a strong challenger to FairPrice, holding a large share of the value segment. It has not overtaken the leader, but it does not need to; it owns a clear, defensible word (“the deal”) and a loyal base of price-conscious customers.

Old Chang Kee: the guerrilla that owns “curry puff” (1956)

How it started. In 1956, a Hainanese immigrant named Chang Chuan Boon set up a curry puff stall near the Rex Cinema on Mackenzie Road. He sold one thing, a curry puff, made by hand, stuffed with a slice of

4.7. OLD CHANG KEE: THE GUERRILLA THAT OWNS “CURRY PUFF”
(1956)

egg, curry potato and chicken, fried with a special blend of spices. It became known affectionately as the “Rex Curry Puff,” and people came from across Singapore for it.

The stall was pure guerrilla from the first day. It did not try to be a restaurant, or a food court, or a multi-dish hawker. It made one thing, and it made that one thing so well that people would travel across the island for it. The word “curry puff” and the name Old Chang Kee became the same thing in the customer’s mind.

The competitive landscape then. Street food in 1950s Singapore was a crowded field of hawker stalls. There was no brand to speak of, a hawker was a hawker, and the customer chose whichever stall was closest or cheapest. Nothing distinguished one curry puff stall from another except the recipe and the queue. It was the purest form of a fragmented market: no brand owned any word.

Who the customer was, and what they wanted. The customer was the ordinary Singaporean on the street, looking for a cheap, filling, delicious snack. What they wanted, beneath the surface, was something they could trust, a stall where the quality would be the same every time, worth travelling across town for. In a world of interchangeable stalls, that reliability was rare.

How the brand gave them what they needed. Old Chang Kee claimed the word “curry puff” itself. It did not try to sell every snack under the sun; it built its name on being the curry puff. That single focus meant every customer who thought of a curry puff thought of Old Chang Kee. Over the decades it grew into a chain of kiosks, at petrol stations, in malls, along the road but the position never changed. Today it is a listed company, still known first and foremost for the puff.

The growth did not change the position. Even as it became a company with many outlets, it did not try to become a general food brand. It stayed the curry puff brand, and that narrowness is exactly what made it strong. The word was the moat.

The landscape now. The curry-puff word is taken. No rival has ever dislodged Old Chang Kee from “curry puff” in the customer’s mind. This is the purest example of a small brand owning one word

and the model this book describes. Old Chang Kee does not dominate its category by sheer size; it owns the word, and the word is the moat.

Charles & Keith: from one shop to a global fashion label (1996)

How it started. Charles and Keith Wong grew up helping their parents run a shoe store in Ang Mo Kio. In 1996, they opened their own store at the Amara Shopping Centre. At first they ran it like every other shoe store, buying shoes from the same wholesalers as their competitors and selling them. Within months they realised the problem: the shoes were not unique. There was no reason for a customer to come to their store instead of the one next door.

The insight that changed everything was simple but profound: **if the product is identical to everyone else's, the only way to compete is on price and location and that is a fight you will never win.** Selling the same wholesale shoes as the shop next door meant they had no reason to exist. The customer would go wherever was cheapest or closest. To break out of that, they had to be different and the only way to be different was to own the product.

The competitive landscape then. The Singapore shoe market was a field of small stores all selling the same wholesale shoes from China and Malaysia. There was no differentiation, the product was identical, so the only competition was on location and price. No local brand had claimed any ground. The market was a commodity: whoever could sell the same shoe cheapest won.

Who the customer was, and what they wanted. The customer was the modern Asian woman, who wanted stylish, affordable shoes that fit her taste. But the market only offered either cheap, generic wholesale shoes or expensive imported luxury brands. There was a gap in the middle: well-designed, own-label shoes at a price a working woman could afford. She did not want to choose between cheap-and-generic and expensive-and-luxury; she wanted style at a fair price.

4.8. CHARLES & KEITH: FROM ONE SHOP TO A GLOBAL FASHION LABEL (1996)

How the brand gave them what they needed. The brothers made a decisive move. They stopped buying from wholesalers and started designing their own shoes, based on customer feedback. Keith designed, Charles ran sales. They worked directly with factories and insisted those factories would not sell their designs to anyone else so the designs stayed unique. They owned their product, and with it they owned a position: affordable, well-designed footwear for the modern Asian woman.

This was a guerrilla move into an unserved corner, the gap between cheap and luxury. And it was defended the way a guerrilla must defend: by owning the product so completely that no one else could copy it. Their exclusivity with factories meant their designs could not be knocked off. They did not just claim a position; they built a wall around it.

Within two years they expanded overseas, and in 2004 they were among the first retailers in the world to launch e-commerce. A private-equity investment from LVMH's fund valued the company at almost US\$158 million, and later the family bought back the shares, the brand is now fully family-owned, with nearly 700 stores in over 30 countries.

The landscape now. Charles & Keith competes in the global fast-fashion arena, but it holds a unique position: the homegrown Asian label that went global. Its position, "affordable style for the modern Asian woman, from Asia", is one no foreign brand fully owns. The lesson is that it did not start by competing with luxury brands; it created the gap between cheap and luxury and owned it.

BreadTalk: the flanker that created “designer bread” (2000)

How it started. George Quek had thirty years of experience in the food and beverage industry when, in 2000, he founded BreadTalk. His idea came from visiting high-quality bakeries and seeing that bread could be more than a daily staple, it could be a crafted, exciting product. He opened a “designer bread boutique” where bread was displayed like jewellery, made fresh, and given memorable names.

The founding instinct was a flanking move: do not fight the old bakeries on their ground, create a new category where they are not present. BreadTalk did not try to be a better version of the traditional bakery; it created a whole new idea of what a bakery could be.

The competitive landscape then. The Singapore bakery market was dominated by old, established brands, the traditional bakeries that had been around for decades. Bread was a commodity: you bought it for breakfast, you bought the same loaf every week. Nobody treated a bakery as a destination you’d make a special trip for. The category was settled and dull.

Who the customer was, and what they wanted. The customer was the Singaporean who loved food and was used to the hawker culture of quality. What they wanted was something fresh, interesting, and worth a special trip, not another standard loaf. They had money and a love of good food, but the bakery category offered them nothing exciting.

How the brand gave them what they needed. BreadTalk claimed the position “bread worth crossing the island for.” The open kitchen, the fresh-baked aroma, the playful names, the sense of theatre, it made bread an experience, not a commodity. It created a new category, designer bread, that the old bakeries were not in, and it became the leader of that category. It grew to over 700 stores globally at its peak.

The flank worked because BreadTalk was first in a new category. It did not have to overtake the old bakeries; it made them look outdated by creating something they were not doing. When you create a new

4.10. BANYAN TREE: THE FLANKER THAT OWNED “ROMANTIC SANCTUARY” (1994)

category and are first in it, you are automatically the leader, the name people associate with that new idea.

The landscape now. BreadTalk faces a crowded, premiumized bakery market now, artisan bakeries, Japanese bakeries, and new entrants have all arrived. But the brand that created the “designer bread” category in Singapore retains its place in the customer’s mind. The lesson is that BreadTalk did not try to be a better old bakery; it created a new category and was first in it.

Banyan Tree: the flanker that owned “romantic sanctuary” (1994)

How it started. Ho Kwon Ping and Claire Chiang, in 1994, bought an abandoned tin mine in Phuket, Thailand, and rehabilitated it into Asia’s first integrated resort. From that, they launched Banyan Tree Hotels & Resorts, a name taken from the fishing village where they had lived, Banyan Tree Bay.

The founding was a flank on the global hotel giants. The big chains dominated luxury travel with their scale, their standards, their sameness. Ho Kwon Ping and Claire Chiang did not try to out-scale them. They created something the big chains were not doing, a private, romantic villa resort and they became its leader.

The competitive landscape then. The luxury resort market was dominated by the big international hotel chains, global names with global standards. An Asian resort brand was unusual, and a brand that offered private villas with romance and seclusion was virtually unheard of in the mainstream hotel world. The customer’s choice was between one big chain and another, each offering a similar experience.

Who the customer was, and what they wanted. The customer was the wealthy, experienced traveller who was tired of the generic big-chain hotel experience. What they wanted was privacy, romance, and a sense of place, a resort that felt personal and exotic, not corporate. They did not want another marble lobby; they wanted a private sanctuary.

How the brand gave them what they needed. Banyan Tree claimed the word “romance”, a private, secluded, luxurious escape built around the couple, not the crowd. Its private villas with plunge pools and its emphasis on sanctuary and wellbeing were a deliberate rejection of the big-chain model. From one resort in Phuket, it grew into a global brand worth hundreds of millions, with properties across Asia, the Middle East and beyond.

The flank worked because Banyan Tree was first in a new category. It did not try to be a better big hotel; it created the “romantic private villa resort” category and owned it. The big chains could not easily follow, their model was built on scale and sameness, not on intimate, secluded romance.

The landscape now. Banyan Tree faces intense competition from a wave of boutique and wellness resort brands, but it still owns the word it claimed, “romantic sanctuary in Asia.” The lesson is that it did not try to out-scale the big hotel chains; it created a niche, the private romantic villa resort and owned it before anyone else could.

Grab: the guerrilla that repositioned a whole category (2012)

How it started. In 2012, Anthony Tan and Tan Hooi Ling launched a taxi-booking app in Malaysia called MyTeksi, with a capital of about RM100,000. It was a simple idea: use the phone to connect a passenger with a nearby taxi. The company moved its headquarters to Singapore the same year, and rebranded to Grab.

Grab started as a guerrilla against the taxi monopolies. It did not try to out-scale the taxi companies; it found a weakness, the passenger had no power, no transparency, no control and attacked it. It created a new way to get a ride that made the old model look broken.

The competitive landscape then. The taxi market in Singapore and Malaysia was controlled by licensed taxi operators and their fleets, companies like ComfortDelGro, which held about two-thirds of the Singapore taxi market. To get a taxi, you stood at a taxi stand and

4.11. GRAB: THE GUERRILLA THAT REPOSITIONED A WHOLE CATEGORY (2012)

hoped, or you called a dispatcher and waited. There was no transparency on where a cab was or when it would arrive. The customer had almost no power.

Who the customer was, and what they wanted. The customer was the ordinary commuter who needed a reliable, predictable way to get a cab, without standing in the rain and hoping. What they wanted was to know a cab was coming, to pay a fair price, and to have a choice. The existing system gave them none of this.

How the brand gave them what they needed. Grab repositioned the entire ride-hailing category. It took power away from the dispatcher and gave it to the passenger, you could see the driver, the car, the price, the route, and the rating. It did not compete with the taxi companies on their ground; it created a new model that made the old one look broken. From ride-hailing it expanded into food delivery, payments, and a whole super-app economy, becoming Southeast Asia's most valuable startup and a food-delivery leader with over half the Singapore market.

The key was that Grab found the customer's unmet want, control and gave it to them. The taxi companies could not easily respond because their whole model depended on the old system. Grab changed the rules of the game.

The landscape now. Grab now faces competition from foodpanda in delivery and from new entrants, but it holds the position it created, "the ride-hailing and delivery super-app" and it is extremely hard to dislodge because it got there first. The lesson is that Grab did not fight the taxi companies on their turf; it created a new category and owned it.

OSIM: from household goods to wellness leader (1980)

How it started. Ron Sim founded a small trading company in 1980, selling home goods, kitchen utensils, wooden massagers and reflexology rollers in Singapore. It was a small, generic trading business in a crowded field. He opened his first store in 1983, and expanded to Hong Kong, Taiwan and Malaysia.

The competitive landscape then. The home-appliance and household-goods market was a crowded, undifferentiated field of small traders. There was no brand loyalty, customers bought on price and convenience, and no one owned a strong position. A generic trader had no reason to exist; the customer could buy the same goods anywhere.

Who the customer was, and what they wanted. The customer wanted home goods, but the deeper want, which the market was not serving, was the desire for wellness, rest, and feeling good in a stressful, fast-paced city. A massage chair was not just an appliance; it was a way to relieve stress and feel better. In a hard-working city like Singapore, that want was real and growing.

How the brand gave them what they needed. In 1993, Ron Sim rebranded the company as OSIM, a combination of his surname and “O” for the globe and repositioned it as a wellness brand. He did not compete with the home-appliance brands on their ground; he created a new category, premium wellness and massage, and positioned the product not as a chair but as a way to “feel great.” This was a flanking move, a new front the appliance brands had not occupied. OSIM grew into a global wellness leader, listed on the Singapore Exchange in 2000.

The flank worked because OSIM changed what the customer was buying. It was no longer a home appliance; it was wellness, rest, feeling good. That repositioning created a new category where OSIM was the leader.

The landscape now. OSIM faces competition in the wellness space, but it holds the position it created, the premium wellness and massage

brand. The lesson is that OSIM started small and generic, but claimed a new category and became its leader.

LiHo: the homegrown challenger (2009–2016)

How it started. Rodney Tang brought the Gong Cha bubble-tea franchise to Singapore in 2009, opening his first kiosk and building it into a popular chain. But when the parent brand in Taiwan was sold to a foreign company, Tang decided to leave the franchise and launch his own homegrown label, **LiHo**, converting many of his outlets.

The competitive landscape then. The bubble-tea market in Singapore was dominated by international franchises, Gong Cha, KOI, Tiger Sugar, and others. They were all foreign brands, competing on flavour and location in a crowded, fast-moving market. No brand had claimed the local word.

Who the customer was, and what they wanted. The customer was the young Singaporean who loved bubble tea, but there was an unserved want: a local, homegrown brand they could identify with, in a market of foreign franchises. They drank the same tea from foreign brands; a local option would feel different.

How the brand gave them what they needed. LiHo claimed the position “Singapore’s own bubble tea.” By going local, with a name and identity that felt homegrown, it attacked the foreign franchises on the axis of local pride. It grew into a chain with over a hundred outlets, holding its own against the international giants. This is a challenger that attacked on a narrow front: the local word the foreigners could not easily claim.

The landscape now. LiHo faces a crowded bubble-tea market, but it holds the local word. The lesson is that a challenger can beat international franchises by attacking on the one axis they cannot match, being genuinely local.

Secretlab: from S\$50,000 to the world's best gaming chair (2014)

How it started. In 2014, two former semi-professional StarCraft II players, Ian Ang and Alaric Choo, started Secretlab with S\$50,000 of their own savings. They had struggled to find a good gaming chair, nothing on the market was comfortable enough for long gaming sessions. They decided to build the chair they could not find.

Secretlab started as a guerrilla in a niche, and flanked into a new category. The existing gaming-chair market treated the chair as a cheap commodity. Secretlab did not fight the cheap chairs on price; it created the premium, well-engineered gaming-chair category and became its leader.

The competitive landscape then. The gaming chair market was dominated by a few big overseas brands that sold cheap, poorly-built chairs with flashy looks and little comfort. There was no premium, well-engineered option for the serious gamer. The category was treated as a commodity.

Who the customer was, and what they wanted. The customer was the dedicated gamer and esports player who sat in a chair for hours. What they wanted was a chair that was genuinely comfortable, durable, and well-built, not a cheap knockoff that fell apart. The existing market gave them only flashy, uncomfortable chairs.

How the brand gave them what they needed. Secretlab claimed the position “the best gaming chair in the world.” It did not compete on price; it competed on engineering, comfort, and durability, using real leather, rigorous testing (including an 8-hour blind test), and a focus on quality. It owned the premium end of a category everyone else treated as cheap. From a S\$50,000 start, it grew to sell over a million chairs, with revenue of about S\$350 million, becoming the top choice for gamers in over 50 countries.

The landscape now. Secretlab faces more premium competitors now, but it still owns the word, “the best gaming chair” and it got

4.14. SECRETLAB: FROM S\$50,000 TO THE WORLD'S BEST GAMING
CHAIR (2014)

there by being first to treat the gaming chair as a serious, premium,
engineered product.

Chapter 5

What all these stories have in common

Read those stories together and the pattern is unmistakable. Every one of them:

- **Started small**, a cooperative, a stall, a shoe shop, a bakery, a resort, an app, a trading company, a kiosk, a chair company.
- **Faced a competitive landscape that looked closed**, old bakeries, cheap shoes, big hotel chains, taxi monopolies, cheap chairs, foreign franchises.
- **Found a customer who wanted something the incumbents were not giving them**, reliability, style in the middle, bread as an experience, romance, control, wellness, quality, local pride.
- **Claimed a word the incumbents had left open**, the trusted default, curry puff, affordable Asian style, designer bread, romantic sanctuary, the super-app, wellness, local bubble tea, the best gaming chair.
- **And grew by owning that word**, not by out-spending or out-efforting the competition.

This is not luck. It is positioning, applied on purpose, at the start. None of these founders said “let’s work harder than everyone else.” They said, in effect, “let’s own a word in the customer’s mind that nobody else owns.”

And here is the most important part for a small business owner: **in every one of these stories, the position was claimed while the brand was still small.** Song Fa was a pushcart. Charles & Keith was one shop. Secretlab was two young men with S\$50,000. OSIM was a trading company. The position came first, and the growth followed.

That is the lesson of this book, and it is the whole point: **the Singapore brands that went from small to big did not get big first and then position. They positioned first, and then got big.**

Chapter 6

Re-earning the position: the work that never stops

There is a false belief that positioning is a one-time event: you find your word, you claim it, and you are done. The brands in this book show the opposite. A position is a living thing in the customer's mind, and it must be re-earned, year after year, as the market moves.

Why a position erodes

A position does not stay strong by itself. It erodes, for several reasons.

The market moves. New entrants arrive every quarter. Competitors reposition. The demographic waves shift who is buying. A word that was valuable three years ago may mean less today. The customer's mind is not static; it is being reshaped by everything they see and hear.

Competitors chip at it. A challenger will try to take your word, or to blur it. They will shout louder, copy your message, or claim a version of your position. If you do not defend, the word slips.

Complacency sets in. A business that owns a word and stops, stops improving, stops being consistent, stops reminding the customer, finds the word fading. The mind holds what is repeated; it forgets what is not.

How the great brands re-earn their position

The brands in this book did not claim their word once. They re-earned it continuously.

FairPrice re-earns “the trusted default” by keeping its prices fair, opening more stores, and constantly reminding Singaporeans it is “Singapore’s very own.” It does not rest on its founding; it keeps delivering on the word.

Tiger Balm re-earns “relief” by keeping the quality consistent, expanding to where the customers are, and never letting the word drift. For a century, the word and the name have stayed the same.

Secretlab re-earns “the best gaming chair” by constantly improving the product, testing it rigorously, and staying ahead of the competitors who now chase it.

The lesson: a position is re-earned through consistency. The business that says the same word, delivers on the same word, and defends the same word, year after year, keeps it. The business that stops does not.

The discipline of re-earning

Re-earning a position is not glamorous. It calls for the daily, unglamorous work of being consistent. It means:

- **Saying the same word**, in every product, every sign, every post, every interaction, never drifting into a confusing mix of messages.
- **Delivering on the word**, so the customer’s experience matches the promise, every time.
- **Defending the word**, responding when a challenger blurs it or copies it.
- **Refreshing the delivery**, keeping the product and the message current as the market moves, without changing the word itself.

This is the discipline that separates the brands that keep their position from the ones that lose it. The word is not claimed once; it is re-earned every year.

Part II

PART TWO: WHAT THE BRANDS WERE DOING, THE IDEA BEHIND THEM

Chapter 7

Why positioning matters more in Singapore than almost anywhere else

Before the theory, it is worth understanding why this matters so much specifically for a Singaporean reader. The answer is that the Singapore market is unusually hard on businesses that do not position themselves, and unusually rewarding to the ones that do. Four things about this market make positioning the decisive factor.

First, Singapore is small and dense. It is a market of about 371,000 businesses chasing 5.9 million residents, one business for roughly every sixteen people, including the babies and the elderly. There is no geographic escape: “far away” is fifteen minutes anywhere on the island, so every business competes with every other business nearby. And there is no digital escape: the moment a business finds a working niche, everyone can see it on their phone and copy it within a month. In a market this dense, being good at what you do is not enough, there are thousands of good businesses. The only thing that separates one from another in the customer’s mind is the word they own.

Second, Singapore is a market that buys on trust and referral. The earlier books in this series established this with data: about two-thirds of small businesses prefer to buy offline, and roughly 85% of buyers find their solutions through a personal referral. When an owner wants to know who to trust, the most-cited advisor is not a coach, not the family, not the internet, it is another business owner. This is a market that buys through named, trusted people. That is precisely the terrain where positioning, owning a word in the customer’s mind that they will pass on, is decisive. A business that has a clear, referable

position is the one the neighbour recommends. A business that has no position is the one people cannot name, and so cannot refer.

Third, Singapore's domestic market is capped. A domestic-only business hits the ceiling of its market quickly, there are only so many families within reach. Growth is not “expand the market”; it is “take a larger share of a fixed pie,” against a dense crowd. When the market is capped and the players are many, the default move is to compete on price, to shave a dollar off to steal the customer. And competing on price in a high-cost, capped market is a slow structural bleed, because the cost base does not bend and no new volume makes up the difference. The only durable escape from the price war is a position, a reason for a customer to choose you beyond price.

Fourth, AI has just made the doing of work cheap for everyone. A one-person company can now run a full operation with software agents, the scheduling, the marketing, the books while the owner sleeps. That is wonderful, and it is also dangerous: it means the ability to do the work is no longer a moat. Anyone can do the work now. The only thing AI cannot copy is the word in the customer's mind, the trust, the relationship, the position. AI did not make positioning less important; it made it the whole game.

So a Singapore small business faces a market that is dense, capped, referral-based, and now AI-flooded. In that combination, the position is not a nice-to-have. The only durable way to win is through it. That is why this book exists, and why the concept that Ries, Trout and Gu Junhui built matters more to a Singaporean small business owner today than it has ever mattered to any business anywhere.

Chapter 8

What this book is and is not

Before we begin, it is fair to be clear about what this book does and does not promise.

What this book is. It is a guide to positioning, what it is, where the idea came from, how the great Singapore brands used it, and the different positions available to you depending on where you stand in your market. It is written for the person who actually runs a business and is trying to make it grow: the second-generation owner taking over the family trade, the manager of a small firm, the professional considering a business of their own, the founder with a few staff. It uses real Singapore brands and real Singapore data. It is in plain language, not business-school jargon, because it is written for people who run businesses, not people who study them.

What this book is not. It is not a promise that reading it will give you your position. No book can do that, because your position depends on your specific market, your specific competitors, your specific customers, and the word that is genuinely open for you. This book gives you the map and the method's shape. The actual work of finding your position and keeping it current, is a real, disciplined process that this book points toward and describes, but that ultimately requires looking at your own live market.

Chapter 9

Worked example: one business, the whole process

The theory, the postures, the mechanics, they all come together in the doing. It is worth walking one concrete Singapore business through the whole process, start to finish, so you can see what the work actually looks like. This is a real engagement I ran, and I have changed the identifying details so the business stays private, but the thinking is exactly what happened. It is the shape of a real small business, and the thinking is the thinking this book teaches.

The business

The business was a small home-care provider in the east of Singapore. The owner was a woman who had run a home-care service for the elderly for four years. She had a team of five carers. She was good at her work, and her existing clients were happy. But she was not growing as fast as she should, and she did not know why. This is the exact problem this book began with: I work hard, I am good at what I do, so why am I not getting richer?

The answer was that she had no position. She was one of many home-care providers, all offering “good care,” all invisible. The customer could not tell her apart from the others, could not say what she owned, and could not refer her. Let me take you through the five steps I ran with her.

Step one: know her competitive set

First, she must identify the actual businesses competing for her customer. Not the whole home-care industry, the specific alternatives a family actually considers when their elderly parent needs care.

The family's real options are not "all home-care providers." They are: the two or three home-care agencies operating in her area, the hospital discharge team that recommends a provider, and, critically, the informal option of a family member or a domestic helper caring for the parent at home. That last one is the biggest competitor, and most providers never name it.

So her competitive set is the two or three local agencies, the hospital discharge recommendation, and the family's informal option. That is the ground she is fighting on.

Step two: map her customers' minds

Second, she must find out what word her customers already associate with the category. She has four years of clients, so she can ask them. When she asks her existing clients' families "what word do you attach to home care?" she hears the same things: "expensive," "risky," "you never know who you are getting," "hard to trust a stranger in the house."

The mind is full of fear. That is the ladder she is trying to climb. And when she asks "which word is open?", she finds no one owns trust, no one owns a specific specialty, no one owns a name families repeat. The open word is there.

Step three: evaluate every way to stand out

Third, she lists every viable way she could differentiate, and scores each against her real market.

“Cheaper than the others.” Trap, competing on price against bigger agencies with lower costs is a losing fight, and it is a word any competitor can copy.

“We care about your parents.” Generic, every provider says it, so it means nothing. Not referable.

“The dementia specialist.” Open, no provider in her area owns this word. And it is a real, growing need: the demographic waves are ageing the population, and dementia care is a specific, under-served specialty. A big agency will not staff a dementia-only team; it is too specialist. But there is real demand and money in it.

“The trusted name the discharge team vouches for.” Also viable, but harder to claim, it depends on relationships she does not yet have.

The clear winner is “the dementia specialist.” It is open, it is real, it is narrow enough to defend, and it is big enough to sustain her business.

Step four: find the open slot and the traps

Fourth, she checks the open slot is real and not a trap. “The dementia specialist” is open, no local agency owns it. Is it a trap? No leader would crush her for it, because no leader owns the word and a big agency would not bother with such a specialist niche. Is there demand? Yes, the ageing population means the need is growing every year. Is it deliverable? She can train her team to work only on dementia care, making the word true.

The slot is genuinely open. And she checks the traps: “cheaper” is a trap, “we care” is a trap, “the trusted name” is not yet winnable. The open slot is the dementia specialist.

Step five: decide the position and make a plan

Fifth, she decides her position and writes her positioning statement. *For the family caring for a parent with dementia, we are the dementia-specialist home-care provider, because we work only on dementia care and have trained for it, so you get a carer who has handled your situation many times before.*

Then she makes the plan to claim it. She trains her team to be dementia-only. She tells every referral source she is the dementia specialist. She changes her materials, her signage, her message to say the one word, consistently. And she commits to re-earning it, delivering on the word, every case, so the families repeat it.

What changed

Before, she was one of many invisible home-care providers. Now, when a family in the east faces the dementia-care decision, they recall her because she owns the word. They believe her because her team actually specialises. And they refer her because they can say in one line, “go to the dementia specialist.” The position turned good work into a business that gets found and referred.

This is the whole process, on one real business. It is not mysterious, and it is not easy. But it is the work this book describes, and it is the work that turns a hard-working, invisible small business into a named, trusted, growing one. I have run this process on real Singapore businesses, and I have watched it do exactly that.

Chapter 10

Positioning is not what you do to a product. It is what you do to a mind.

Most people hear the word “positioning” and think it means how a product is placed, on a shelf, at a price, in a store. That is not what it means.

Positioning is where your business sits in the customer’s mind, relative to the other choices they have. It is the answer to a question a customer asks, often without realising it: *when I think of this need, which name comes first?* When you think “curry puff,” almost every Singaporean thinks of the same one. When you think “the bank,” a particular name may come to mind. When you think “the cheap supermarket,” another. The name that comes to mind has a position. The others, however good they are, do not.

The single most important idea in this whole book is this: **the battle for customers is not fought on the shelves. It is fought in the mind.** And the mind has rules. It holds only a few names per category. It gives the leading name far more trust than the rest. And it is almost impossible to change once a name has claimed a word.

This is why effort alone does not make a business successful. A hawker can work harder than anyone and still lose to the stall that owns “the best laksa in the neighbourhood,” because the customer does not choose on effort, they choose on the word in their head. Positioning is the work of deciding, on purpose, what that word is going to be and then making sure the customer hears it, remembers it, and repeats it to the people they know.

Why the mind is a ladder

The mind does not hold every brand in a category equally. It holds them like a ladder. On the top rung sits the leading name, the one the customer thinks of first, trusts most, and defaults to. On the lower rungs sit the rest, each one progressively harder to reach and easier to forget.

The customer, when they need something, does not climb the whole ladder. They reach for the top rung, the name they already know and trust. The leading brand gets the sale not because it is necessarily better, but because it holds the top rung. The challengers have to fight for every rung they climb. And a brand that is not on the ladder at all, that the customer never thinks of, does not get the sale no matter how good it is.

This is why “being better” is not enough. If the customer does not think of you, you do not exist in their decision. The battle is not about being better; it is about being on the ladder, and as high up it as you can get. Owning a rung, a word, a position, is the whole game.

How the mind holds information

To use positioning, you have to understand how the mind actually works. It is not a blank slate waiting to be filled; it is a crowded, already-full place, and it defends itself.

The mind is crowded. The average person is exposed to thousands of messages a day, advertisements, signs, posts, notifications. It cannot hold all of them. So it filters. It holds only a small number of names for any given category, and it rejects the rest. When the mind is full of one category, adding another name is very hard.

The mind is simple. The mind does not like complexity. It reduces things to single, simple ideas, one word per brand, roughly. “Safety” for one car brand. “The deal” for one supermarket. “Curry puff” for one snack. A brand that tries to be many things at once confuses the mind, and the mind does not hold confusion; it forgets it.

The mind is emotional, not rational. People buy on feeling, then justify with logic. The word a customer holds about a brand is often an emotional shortcut, trust, status, comfort, excitement, not a careful rational analysis. Positioning works with this: it claims an emotional word, not just a feature list.

The mind is resistant to change. Once the mind has placed a brand on a rung, once it believes “this brand is the cheap one,” or “this brand is the premium one”, it is very hard to change that belief. The mind defends its existing picture. This is why getting the position right the first time matters, and why a brand that has been mis-positioned (people think it is cheap when it wants to be premium) has a hard climb.

The mind can lose its position. Just as the mind holds a brand on a rung, it can drop it. If a brand stops being consistent, stops being relevant, or lets a challenger shout louder, the mind can forget it or move it down the ladder. A position is not permanent; it is a living thing in the customer’s mind, and it must be re-earned.

These are the rules of the customer’s mind. They are why positioning works: because the mind holds only a few names per category, in simple words, on a ladder, and it resists change. The business that understands these rules and claims a clear word early, before the mind is full, has a structural advantage over the business that ignores them.

What positioning is not

To be clear about what positioning is not, because there is a lot of confusion:

- **Positioning is not advertising.** Advertising is how you tell people about your position. It is not the position itself. You can advertise brilliantly and still lose if you have not decided what word you own.
 - **Positioning is not a slogan.** A slogan is the surface of a position. Underneath it must be a real, defensible place in the mind. “The safety car” means nothing if you are not actually the brand people associate with safety.
 - **Positioning is not being good at what you do.** Being good is the entry ticket. It does not separate you. Thousands of businesses are good at what they do; the ones that win are the ones the customer thinks of first.
 - **Positioning is not about you.** It is about the customer’s mind. It is not what you want to be; it is what the customer believes you are. You can decide your position, but it only exists if the customer holds it in their head.
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Chapter 11

Where the idea came from: a real intellectual history

Positioning did not emerge fully formed, and it was not the work of one man or one book. It was built over decades by several lines of thinking that ran in parallel and only later converged. Understanding that history matters, because it tells you that positioning is not a single doctrine to be memorised; it is a set of ideas that different people arrived at from different directions, and the strongest version of it is the one that fits your market.

The originators: Ries and Trout

The idea began in advertising. In the 1960s, Al Ries ran an advertising agency in New York, and he noticed that the most successful brands were not the ones with the cleverest advertisements. They were the ones that had claimed one clear idea in the customer's head and refused to let it go. He called this idea “the rock”, every brand needs a solid rock to stand on, a word or concept that separates it from every other brand in its category.

Ries's account executive, Jack Trout, gave the rock its name. He suggested calling it a “position” instead of a rock, and the idea had its name. In 1972, Ries and Trout published a three-part series in *Advertising Age* called “The Positioning Era Cometh,” and in 1981 they published the book that made the idea permanent: *Positioning: The Battle for Your Mind*. It has sold over four million copies and been translated into over twenty languages. In a follow-up book, *Marketing Warfare*, they set out the military idea that became the heart of this book: that the market is a battlefield, and your position depends on where you stand on it.

Ries and Trout were originators and popularisers. They were not the only people thinking about this, and they were not the first to formalise it. But they are the two who named it, wrote it down, and spread it. Every serious discussion of positioning, including this one, stands on their work.

The academy formalised it in parallel

While Ries and Trout were writing for practitioners, the academy was formalising the same insight in its own language. Philip Kotler, the marketing professor whose textbooks have taught generations of students, codified the idea as **STP**, segmentation, targeting, positioning. You divide the market into segments, you choose the segment you will target, and you position your offer for that segment. Kotler's STP is the standard framework taught in every business school, and it is the academic backbone of the same idea Ries and Trout popularised.

Two other academic lineages developed separately. David Aaker built a body of work on brand equity, the idea that a brand is a financial asset built on associations, awareness, and loyalty. Kevin Lane Keller developed a separate framework for building strong brands, centred on the customer's mind. These are not the same as Ries and Trout's positioning, but they are the same family of ideas: the customer's perception of a brand is the thing that determines its value.

The practitioners operationalised it

The academic frameworks told you what positioning was; the practitioners told you how to do it. Geoffrey Moore, in his book *Crossing the Chasm*, gave the positioning-statement template that this book teaches, the “for [customer], who [need], we are [category], that [benefit], because [proof]” structure. Moore's contribution was to make positioning a fillable form rather than an abstract idea. April Dunford, in *Obviously Awesome*, modernised the practice for the technology era,

arguing that positioning is the act of making your product obviously relevant to the customer who needs it.

The translators carried it into Asia

The ideas reached Asia through translators and practitioners. Gu Junhui, a Chinese positioning expert and a disciple of Jack Trout, translated the Chinese editions of Ries's and Trout's works and founded his own positioning consultancy. He did not originate the idea, but he is the figure most responsible for carrying it into the Chinese-speaking market, and his work matters for a Singaporean reader because it shows that positioning is not a Western idea that fails in Asia; it is an idea that works especially well in a market like Singapore, where competition is dense and the customer's mind is crowded.

The strongest challenge: Byron Sharp

No honest account of positioning can ignore the strongest empirical challenge to it. Byron Sharp, a marketing professor who runs the Ehrenberg-Bass Institute, published *How Brands Grow* in 2010, and it is the most-cited academic attack on the differentiation orthodoxy this book teaches. Sharp's data shows that brand growth comes from increasing penetration, getting more people to buy you, not from increasing loyalty or differentiation among the people who already buy you. Big brands have both more buyers and higher loyalty; small brands have fewer buyers and lower loyalty. Differentiation, Sharp argues, is overrated: most brands in a category are seen as functionally similar, and that is fine. What actually grows a brand is being the name that comes to mind in a buying situation, and being easy to find and buy, at scale.

Sharp's critique is real, and a positioning book that pretends it does not exist is not a book to be trusted. But Sharp's growth engine is mental availability at national scale, being the name that comes to mind for millions of people, backed by distribution everywhere. That is precisely what a hawker, a tuition centre, or a one-person clinic

cannot buy. A hawker cannot out-available a chain. So the positioning argument this book makes is the small business's only available route to mental availability: it cannot buy the scale version Sharp describes, so it must own a word the customer recalls and refers, in the one neighbourhood or niche where it can be the name that comes to mind. Sharp is right about how big brands grow. This book is about how small brands grow when they cannot play that game at all.

What the history means for you

The lineage is not a single doctrine. It is a set of ideas that advertising men, academics, practitioners, and translators built from different directions, and it converges on one practical conclusion: the customer's mind holds only a few names per category, and the business that owns one of those names has an advantage no amount of effort or price-cutting can match. This book explains those ideas in its own words, in the context of Singapore, and it credits the people who built them. It is an independent work, not an official or authorised account of any one of them.

Chapter 12

How a customer actually decides: the short cut to the top rung

Everything so far has said that the customer reaches for the top rung, the name they already know and trust. To use this, you need to understand the mechanics of how a customer actually decides, because the decision is not the rational weighing of options that most people imagine.

The customer does not compare everything

When a customer decides, they do not line up every option and compare them on merit. That would take too long and too much effort. The customer, like everyone, takes shortcuts. The most powerful shortcut is this: **when the need arises, they recall the name they already associate with it.** The recalled name wins, not because it is best, but because it is the name the mind reaches for. This is why being on the ladder matters more than being good. The customer does not compare the good-but-forgotten option with the recalled one; the good-but-forgotten option never enters the comparison, because it never entered the recall.

The customer decides with feeling, then justifies

A customer does not decide on logic and then feel; they feel and then find the logic. The word a customer holds about a brand is usually an emotional shortcut, trust, comfort, status, safety, and the decision follows that feeling. The rational justification comes after, to make the

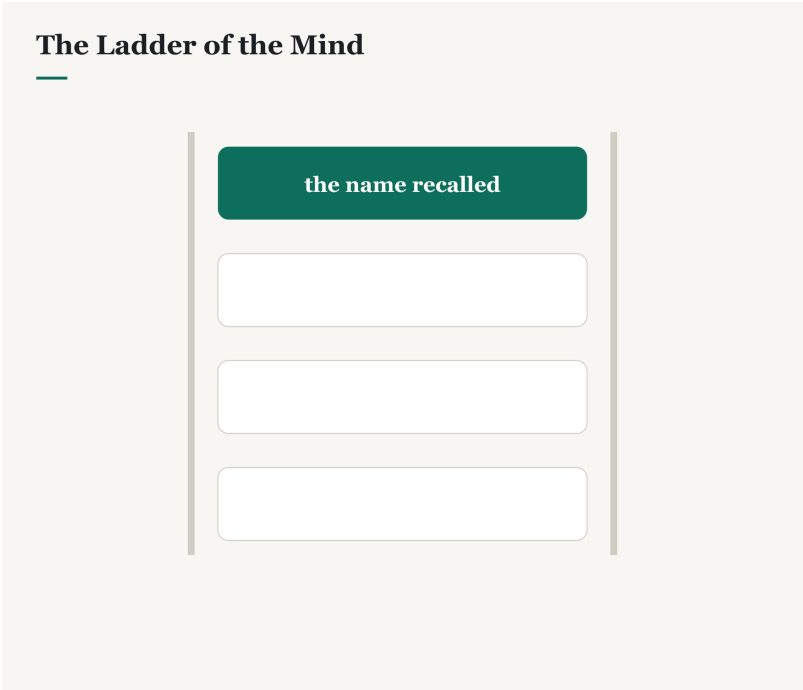


Figure 12.1: The ladder of the mind.

choice feel sound. This has a direct implication for positioning. The word you claim should carry a feeling, not just a feature. “The safe one” carries reassurance. “The deal” carries the relief of saving. “The best” carries pride. The customer recalls the feeling before they recall the feature.

The customer repeats what they can say simply

A customer only refers a business if they can say what it is in one line. “Go to the maths specialist.” “Try the curry puff place.” “Use the moving app.” If the customer cannot say in one line what you are and why it is worth the trip, they will not refer you, not because they dislike you, but because they cannot pass you on. This is the practical test of a position: **can a customer repeat it in one breath?** The specialist, the

local champion, the trusted referral, all of these pass the test, because each is a single, sayable idea. The business that “offers quality service at competitive prices with a focus on customer satisfaction” fails the test, because no customer can repeat that, and no customer will refer it.

Why the top rung is sticky

The top rung is not just the most recalled; it is also the most defended. Once a name owns the top rung, the customer trusts it, defaults to it, and resists switching. This stickiness is why the leader’s position is so hard to take and so worth defending. The customer does not lightly move their trust from the name they know to a stranger. This is the deeper reason the challenger must attack a weakness, not the leader’s core. The challenger must offer something the leader does not, a different word, a different segment, a different category, so the customer has a reason to reach for the new name instead of the sticky top rung.

Trust: the foundation every position stands on

Underneath every position is the same foundation: trust. The customer does not reach for a name they distrust, does not default to a brand they do not believe, and does not refer a business they do not trust. Trust is the ground on which every rung of the ladder stands. A position without trust is a name with nothing holding it up.

Trust is the customer’s belief that you will do what you say. It is built on a simple record: every time you promise something and deliver it, trust grows; every time you promise and fail, trust shrinks. Over time, that record becomes a reputation, the word the customer holds about you. And the reputation is the position. This is why a position can never be a lie. If you claim “the best” and deliver less, the trust collapses and the position collapses with it. The position must

rest on a real record of delivery, because trust is the only thing that makes the position hold.

In a market that buys on referral, trust is personal. The customer does not trust a logo; they trust a person, the specialist, the neighbour's recommendation, the named operator who has delivered before. This is the deep reason the guerrilla positions work so well in Singapore: they are built on personal, local trust, which is exactly what a big, impersonal brand cannot manufacture. The hawker who has fed the same families for a decade has a personal trust a chain cannot copy.

There is a clear relationship between trust and position. A position is only as strong as the trust behind it. A brand that owns a word but has not earned the trust to back it holds a weak position, a name people recall but do not believe. A brand that has earned deep trust but owns no clear word holds an under-used position, a business people trust but cannot name, and so cannot refer. The strongest position is the one where the word and the trust meet: the customer recalls the word, believes the word, and repeats the word. That is the position the great brands hold. Tiger Balm owns "relief" and is trusted to deliver it. FairPrice owns "the trusted default" and is trusted to be fair.

Why the mind holds only a few names

There is a deeper reason the ladder matters, and it is the foundation of the whole theory. The customer's mind does not hold every brand in a category. It holds a very small number, usually two or three, sometimes as few as one. And this is not a choice; it is how the mind works. The average person in a city like Singapore is exposed to thousands of messages every day. If the mind tried to hold all of them, it would be overwhelmed. So it does what any crowded system does: it filters. It keeps only what matters, what is repeated, what is distinct, and it discards the rest. This is not a flaw; it is the mind protecting itself from overload.

The consequence is brutal for a business: **if your brand is not one of the few names the mind keeps, you do not exist in the customer's decision.** Not because the customer dislikes you, but because the mind simply did not hold you. You were filtered out, along with almost everything else. This is why entering a crowded category is so hard. If the mind already holds two or three names for a need, a new entrant is not just competing against those brands; it is competing against the mind's own filter. The mind is full for that category, and adding a new name is very hard.

There are only two ways a new name gets into the mind's small set for a category. **Door one, be first.** If you are the first name in a category, the mind has room for you, because the slot is empty. The first name gets the top rung almost automatically. **Door two, be different.** If the category is already full, the only way in is to not compete for the same slot. You do not try to be "another curry puff"; you become something the mind does not yet hold, "the gourmet curry puff," "the curry puff for a special occasion," "the vegan curry puff." You create a new slot the mind can hold, because it is not full of that yet. This is exactly what the flank and the guerrilla do. They do not fight for a slot the mind already holds; they create a slot the mind does not hold, and be first in it.

The consequence for the small business

Put these mechanics together and the consequence is clear. The customer does not discover you by your goodness; they discover you by your position. If you own a word the customer recalls, feels, and can repeat, you get the chance to be good, and your goodness then confirms the position and earns the referral. If you own no word, you are invisible to the decision, no matter how good you are. This is why positioning is not a luxury or an afterthought. It makes the difference between being discovered and being invisible, between being referred and being forgotten. The small business that understands how the customer actually decides and claims a word the customer can recall, feel, and repeat has done the single most important thing a small business can do.

Chapter 13

Being first: the strongest position there is

There is one position that is stronger than every other, and it is worth giving it its own chapter. That position is being first. Not first in quality, not first in price, first in the customer's mind. The brand that is first to own a word in a category holds the strongest possible position, because the mind gives the first name the top rung, and the top rung is the hardest to move.

Why first is so powerful

The mind files the first name it meets for a category and holds it as the reference point. Every later entrant is compared to it and compared against the first name, the follower is always at a disadvantage, because the follower has to overcome the mind's existing file.

The power of being first is that you define the category. When you are first in a category, you set what the category means, and every competitor after you is measured against your definition. Mr Coconut did not just sell a coconut drink; it defined what a coconut-drink brand is, and every later rival had to be measured against it. Being first is the strongest position because you are the standard.

The two ways to be first

There are two ways to be first, and both matter.

Be first in the existing category. If you can be the first name to own a word in a category, you hold the top rung. This is hardest when the category is crowded, because the mind is already full.

Be first in a new category. This is the more available path for a small business, the flank. If you cannot be first in an existing category, create a new one and be first in it. BreadTalk was first in “designer bread.” Banyan Tree was first in the “private romantic villa resort.” Secretlab was first in the “premium gaming chair.” Each created a category and was first in it, and each held the strongest position, the top rung of a category it defined.

The truth about being first

The truth is that being first in the customer’s mind is not the same as being the first to exist. Prima Taste was not the first instant noodle maker; it was the first to own the premium word. Secretlab was not the first gaming chair maker; it was the first to own the premium word. Being first is about being first in the mind, not first in time. A business can be the hundredth to enter a market and still be “first” if it is the first to claim a word no one else owns.

This is the opportunity for a small business: the market may be crowded, but the words are not all taken. The business that is first to own an open word, the specialist, the niche, the new category, has the strongest position available, the top rung of a slot the mind holds.

Chapter 14

Communicating your position: how the word gets into the customer's head

A position is not a position until it is in the customer's mind. And getting it there is a discipline of its own, the discipline of communication. You can decide your word, but the customer does not hold it until you have said it, and shown it, consistently enough for the mind to file it. This chapter is about how a small business communicates its position.

The mistake most small businesses make

The most common mistake is to communicate everything. The small business lists all its qualities, quality, value, service, experience, care and hopes the customer remembers something. The customer remembers none of it, because the mind holds one simple idea per brand, not a list. Communicating everything is the same as communicating nothing.

The discipline is the opposite: communicate the one word, again and again, and let the other qualities serve it. The customer may appreciate your service and your price, but the word they hold, the one they recall and repeat, must be the single thing you own.

The channels a small business actually has

A small business cannot out-shout the big players on mass advertising. But it has channels the big players cannot match, the local, personal, trust-building channels where the word actually takes hold.

The product or service itself. The most powerful communication is the delivery. Every time the customer experiences the service, they are receiving a message about the word. The dementia specialist who actually specialises is communicating the word with every case. The product is the loudest channel, and it is the one a small business fully controls.

The name and sign. The name is the first word, and the sign says it every day to everyone who passes. A name that carries the word or a sign that reinforces it, is a constant communication.

The direct conversation. A small business owner talks to customers directly. Every conversation is a chance to say the word, plainly and consistently. The specialist says “we work only on dementia care”, not once, but every time, until it is filed.

The referral. The most powerful channel of all in Singapore. When a satisfied customer says the word to a neighbour, the position spreads by itself. The referral is the communication the business does not pay for, it is the word already filed, being passed on.

The rule of repetition

The mind files what is repeated. The word must be said the same way, over and over, across every channel, for long enough for the association to form. There is no shortcut; consistency over time is what files the word.

But repetition must be consistent, not scattered. Saying a different word each week is not repetition; it is noise, and the mind holds none of it. The rule is: one word, said the same way, everywhere, for as long as it takes.

The test

The test of your communication is not what you say; it is what the customer holds. Ask your customers what word they attach to you. If they name your word, the communication is working. If they name something else, or nothing, the communication is not working and no amount of saying it louder will fix a word that is not the right one or is not being delivered.

Communication is the bridge between the position you decide and the position the customer holds. Decide the word. Deliver it. Say it the same way, everywhere, consistently. And let the customer's mind, the only ground truth, tell you when it has landed.

Chapter 15

Positioning for a specific customer: the power of choosing who you serve

Most small businesses make a costly mistake at the very start: they try to serve everyone. They believe the more people they can reach, the more they will sell, and that narrowing their customer is closing the door on money. This book argues the opposite, and it is worth a chapter of its own, because it is one of the hardest and most important shifts a small business owner makes.

The trap of serving everyone

A business that tries to serve everyone ends up positioned for no one. Its message is generic, “good service for all” because it must not alienate any potential customer. Its word is weak, because a word specific enough to be memorable to one group is “too narrow” to appeal to everyone. And it is not referable, because the customer cannot say who it is for or why they should choose it over the other generic option.

The market punishes this. A generic business competes on price against every other generic business, and it loses, because in a dense, capped market the only differentiator left for a generic offer is price. The business that tries to serve everyone is not maximising its market; it is emptying its position.

The power of choosing

Choosing a specific customer is not closing a door; it is opening a position. When a business serves a specific customer, it can say a

specific word, solve a specific problem, and be referred for a specific reason. The specialist who serves only dementia families is not smaller than the generalist; it is clearer, more trusted, and more referable within the group that actually matters to it.

The power of choosing is focus. A business that knows exactly who it serves can tailor everything, the message, the product, the price, the delivery, to that customer. It can own a word that means something to them. And it can be the name they hold, in a way a generalist never can.

The fear of narrowness

The obstacle is fear, the fear that narrowing means shrinking. The counter is arithmetic. A business that owns 30 percent of a specific, growing segment is far healthier than a business that owns 0.1 percent of everyone. The specific customer is where the position is; the position is where the growth is. The specialist who owns the dementia word in the east, the tutor who owns single-subject maths for PSLE, the salon that owns the neighbourhood's brides, these are narrow, and they are powerful.

The caveat

The caveat is that "specific customer" does not mean "one customer." It means a clear, defined group you can name and serve well, not a single person, but a segment with a shared need. The dementia family, the PSLE parent, the neighbourhood bride, the serious gamer: these are segments, not individuals. The business chooses a segment, owns a word for it, and serves it deeply. That is the difference between a position and a dependency.

The customer who was not being served: Bonefirm

Bonefirm is a client of mine, founded by a woman named **Shirley Chua**. It makes a supplement for women aged 45 and over, to help their bones and joints stay strong through menopause and beyond. It is made in Singapore, it is non-hormonal, and it is built on eggshell membrane, the thin lining inside an eggshell that has been shown to help joint comfort.

Here is the first thing to understand: Shirley was already good at positioning. She had got the name and the position right. The name, Bonefirm, says it, firm, strong bones and joints. The position was clear: “firm bones and joints, for women over 45.” She was not one of those owners who does not know what their product is for. She knew. That is the part most people get wrong, and she had it right.

So if the position was right, what was the problem? Shirley told me she knew she had to charge a premium price, more than most competitors. A good, made-in-Singapore supplement with a specific purpose costs more than a cheap calcium pill, and she accepted that. But her own numbers were telling her something was wrong. Her **revenue** was not growing the way it should, and her **retention** was weak, customers were buying once and not coming back.

The problem was not the position. The problem was the **reason to purchase**, and it was not sustainable because of price. A woman would look at Bonefirm’s price, think, “That is a lot for one supplement,” and buy it once out of curiosity, or buy a cheap calcium pill instead. There was no story that made the price feel worth it, again and again. The first purchase was a maybe; the repeat purchase was a no. **That is the gap I was asked to bridge: give the premium a sustainable reason to purchase, an economic reason, not just a nice message.**

Now let me show you what I recommended, and why the numbers change everything.

The honest problem first. When you look at Bonefirm against **one** single pill, the price looks crazy high. A cheap calcium pill (like Caltrate) costs about **S\$0.40 a day**. Bonefirm costs about **S\$8.50 a**

day. That is more than 20 times the price of one pill. Any customer who compares Bonefirm to a single supplement will think, “That is far too much to pay for one pill.” That was the reason the price felt too high, customers were comparing it to the wrong thing.

The thing everyone misses is that a menopausal woman does not buy one pill. Her body changes in many ways at once, her bones, her joints, her skin, her mood. And the market forces her to buy **four or five separate pills**, one for each. That group of pills is the **stack**. And here is the kicker: **she was already paying for the whole stack before Bonefirm existed.**

Let me show you the stack, with real prices I checked at real Singapore shops:

The concern	The separate pill she buys	What it costs per day
Bones	A calcium pill (like Caltrate)	about S\$0.40
Joints	A joint pill (like glucosamine)	about S\$0.50 to S\$3.30
Skin and joints	A collagen drink	about S\$4.50
Mood	A calming pill	about S\$0.40 to S\$1.50
The whole stack	Four or five separate pills	about S\$5.80 to S\$9.80

Add those up and the woman was already spending **about S\$5.80 to S\$9.80 every day**, buying four or five different supplements from four or five different brands to hit her bones, her joints, her skin, and her mood.

So the real question is not “is Bonefirm one pill too expensive?” The real question is “Bonefirm is one bottle that replaces four or five, is that fairly priced?” Bonefirm costs about **S\$8.50 a day**. That number sits **inside** the stack’s range of S\$5.80 to S\$9.80. So against the whole stack, Bonefirm is not a mark-up at all; it is

parity, the same money she was already spending, but now for **one** product that looks after all four things at once. The more pills she was swallowing, the more reasonable Bonefirm's price looks.

This is the **total-cost-of-ownership** idea. When someone says "your price is too high," the question is always: *too high compared to what?* Compared to one cheap pill, S\$8.50 looks enormous. Compared to the whole stack she already buys every day, it is exactly what she was paying, for less effort. The comparison to a single pill is the wrong comparison, and it is the comparison that was defeating Bonefirm. That is what turns "too expensive" into "wait, this actually replaces what I already spend."

Then there was a second, cultural anchor. Many Asian women with this problem do not buy Western pills at all. They go to **TCM**, the trusted herbal way, for the same root cause. And I checked what trusted TCM actually costs in Singapore: about **S\$7 to S\$20 a day**. So Bonefirm's S\$8.50 sits in the same band that women already pay, with complete trust, for their bones and joints. The price was not foreign or shocking to the customer, it was *culturally normal*.

This is the fair way to justify a premium. **It is never "cheap."** Saying "Bonefirm is cheap" would destroy it, cheap feels low-quality. The honest words are **"fair"** and **"anchored"**: fair, because it is parity with what she already spends on the stack; anchored, because it sits where she already pays for the trusted traditional solution.

And this is what made the reason to purchase **sustainable**. The first time a woman buys, the message is "one product instead of four." The reason she keeps buying is the same reason she bought her stack every month before, it is not a splurge, it is the same budget, doing more. That is why the retention gap closed: the price stopped being the thing that pushed her away, because it was no longer "expensive." It was "the same money, one bottle."

There was one honest gate we had to test, and I want to be truthful about it. The whole argument rests on one question: **do women actually buy the whole stack, all four or five pills, or only one or two?** If they only buy one cheap pill, then S\$8.50 really is four times their

cost, and the premium would have to rest on a different reason. So the recommendation came with a test: talk to 20 to 30 real women, ask them what they actually buy and how much it costs, and check the stack is real. If the stack is real, the premium is fair. If it is not, adjust. **The reason to purchase had to be earned by evidence, not asserted by hope.**

The lesson here is different from the others, and that is why I am telling it. **The position can be perfect, and the price can still defeat it.** Shirley got the position right, the name, the customer, the message. What she needed was not a better message. She needed a *reason* the premium was fair, an economic reason that holds up every single month, not a slogan that works once. And the counter-intuitive part is that it came from **spending more, not less**: the more the customer was already paying for the broken-up stack, the more fairly Bonefirm's one-bottle price looked. Sometimes the way to justify a high price is not to make your product cheaper, it is to show how much the customer was already spending on the thing your product replaces.

The reason to purchase was not missing. It was hiding in her customers' own shopping baskets.

Part III

PART THREE: THE THEORY OF MARKETING WARFARE

Chapter 16

The market is a battlefield

Ries and Trout's most powerful idea, the one that becomes the heart of this book, is that the market is not a marketplace. It is a battlefield. Your competitors are not other shops; they are opposing forces fighting for the same ground, which is the customer's mind.

On a battlefield, not every soldier fights the same way. A general does not use the same tactics as a lone scout. The strategy that works for the strongest army would be suicide for the weakest. And the weakest army, if it is smart, does not try to fight like the strongest, it fights a different kind of war, one it can win.

The same is true of the market. **Your position, the move you should make, depends entirely on where you stand on the battlefield.** Are you the market leader? A challenger? A small player? Each position demands a different strategy, and the worst thing a business can do is play the wrong game: a small player that tries to fight the leader head-on will lose; a leader that refuses to defend will be overtaken.

There are, in the classic framework, a few postures on the battlefield. We explain them here in our own words, because understanding them is the key to knowing which move is yours.

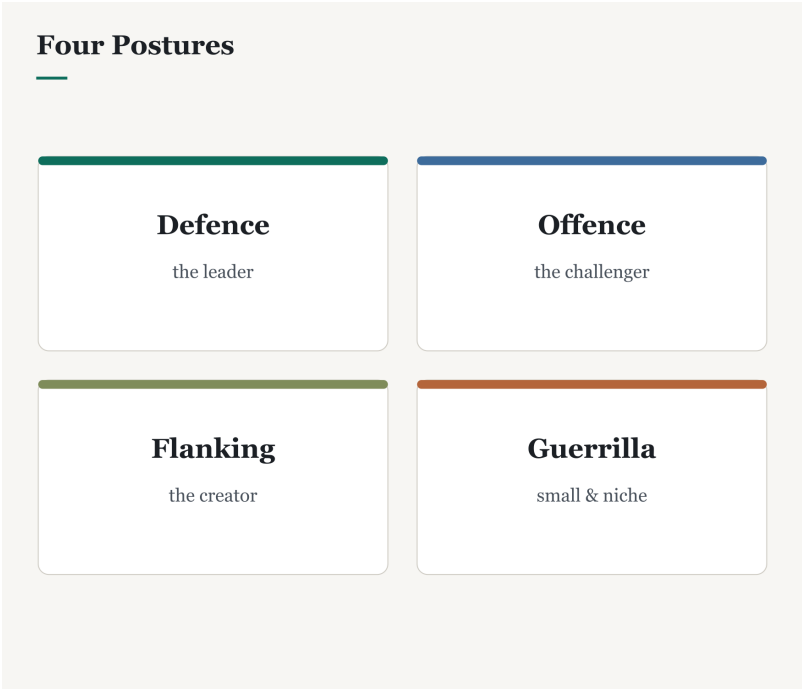


Figure 16.1: The four postures of the market battle.

The four postures of the market battle

The framework describes the market in military terms, with each posture matched to a position on the field:

- 1. **The leader, plays defence.** The number-one brand in a category does not attack. It defends. Its position is the one it already owns, and its job is to protect it against everyone trying to take it. Defence is the posture of the market leader. The leader does not need to be clever; it needs to be strong and alert, ready to block any attack on the ground it holds.
- 2. **The challenger, plays offence.** The second and third brands in a category cannot win by defending, they are not on top, so there is nothing to defend yet. They attack. Their job is to find the leader’s weakness and strike there. Offence is the posture of the challenger.

The challenger does not attack everywhere; it attacks the one point where the leader is exposed.

3. The flanker, creates a new front. A different kind of attack is to not fight the leader at all, but to create a new category or a new front where the leader is not present, and to become the leader there. This is flanking. The flanker does not try to win the existing war; it starts a new one it can win. This is often the smartest move for a strong challenger that cannot beat the leader on the leader's ground.

4. The guerrilla, wins the small war. A small brand cannot out-spend or out-fight the leader head-on. It survives and grows by finding a niche the big players ignore, a corner of the market they will not or cannot defend. It moves fast, strikes where the big players are weak, and never fights a battle it cannot win. Guerrilla is the posture of the small and the niche and it is the posture that matters most to the reader of this book, so we will spend the most time on it.

Why the right posture matters

The single most common mistake a small business makes is playing the wrong posture. It tries to fight like a leader, to out-advertise, out-spend, out-effort the big players and it loses, because it does not have the resources to win that kind of war. Or it tries to be everything to everyone, which is the same as being nothing to anyone.

The business that wins is the one that knows which posture it is in and fights accordingly. A leader defends. A challenger attacks the leader's weakness. A flanker creates a new front. A guerrilla wins a small war the big players will not fight. The rest of this book shows what each posture looks like in practice, with real Singapore brands as the evidence.

How to tell which posture you are in

The hardest part of applying this framework is being honest about which posture you are actually in. Most small business owners think

they are challengers when they are really guerrillas, or think they are guerrillas when they have no position at all. Getting this wrong is fatal, because you will play the wrong game.

Here is a plain way to find out which posture you are in.

Ask: are you the first name people think of in your category?

If yes, you are the leader, and you play defence. If no, move on.

Ask: are you second or third, with the resources to attack the leader on a narrow front? If yes, you are a challenger, and you play offence, find the leader's weakness and strike there. If you do not have the resources to sustain an attack, move on.

Ask: can you create a new category and be first in it? If you have a genuinely new idea that would let you start a category the leader is not in, you can play flank, create the new front and become its leader. If not, move on.

Ask: are you small, with no position, facing big entrenched players? If yes and this is most small businesses, you are a guerrilla. Your only winning move is to find a corner the big players will not defend, and own it with a word.

The most common error is a small business that insists it is a challenger and tries to attack the leader head-on. It does not have the resources to win that fight, and it loses. The answer for most small businesses is guerrilla, not because it is lesser, but because it is the one fight the small player can win.

The danger of not choosing

A business that never chooses a posture is fighting no war at all. It drifts. It competes on price because that is the default. It tries to be everything to everyone. It has no word in the customer's mind, so it is not referable, and in a referral-based market it gets nothing.

Not choosing is itself a choice, the worst one. The brands in this book all chose. FairPrice chose to defend “the trusted default.” Tiger Balm chose to own “relief.” BreadTalk chose to create “designer bread.” Each one decided, on purpose, which game it was playing. That decision is the first and most important act of positioning.

The posture you choose determines your strategy. Choose the wrong one and you waste your effort fighting a war you cannot win. Choose the right one and you focus all your limited force where it can actually make a difference.

Chapter 17

Defence: the posture of the leader

Defence is the strategy of the market leader. It is not glamorous. Neither is it clever. Protecting the ground you have already won is the hard, unglamorous work. But it is the most important job in the market, because the leader has the most to lose.

The rules of good defence

The leader's job is not to attack others. Defending its own position is the job. A few principles govern good defence.

The leader defends its own position, not everyone else's. It does not need to respond to every attack on every front. It needs to protect the one word it owns, the ground that made it the leader. A leader that chases every challenger everywhere dilutes its focus and weakens its own position.

The most powerful way for a leader to defend is to keep improving its own product and its own position, to make itself better before a challenger can. A leader that rests on its position and stops improving is a leader waiting to be overtaken. The challenger will find the weakness; the leader must close it first.

When a challenger makes a real move on the leader's ground, the leader cannot ignore it. But it should respond with its full strength, the leader has resources the challenger does not and it should respond fast, before the challenger gains ground.

A strong leader does not defend one thin line. It defends in layers, each one making it harder for a challenger to break through. The first layer is the word, a clear, simple word the customer repeats. The second is the proof, products, prices, and delivery that continuously

confirm the word, so the customer's experience matches the promise every time. The third is the network, being everywhere the customer looks, in stores, on platforms, in sponsorships and referrals, so the word is reinforced from every direction. The fourth is the innovation, keeping the offer improving before a challenger can find a weakness to attack. A challenger must break through all four layers to take the ground; most never get past the first.

Not every challenger is a threat. A leader that responds to every noise wastes its strength and signals weakness. The discipline is to ignore the small, irrelevant attacks, respond with full strength to the real ones, and never be baited into a fight off its own ground, a clever challenger may try to pull the leader into a new category or a price war where the leader is weaker, and the leader must resist.

What defence looks like in Singapore

The Singapore market has clear leaders who play defence, and their positions are the ones every small business can learn from:

NTUC FairPrice is the clearest example of a defensive leader. Founded in 1973 as a labour-movement cooperative with a social mission to keep the cost of living down, it grew to become Singapore's largest supermarket chain. Its position is "the trusted default", the reliable, fair-priced, cooperative supermarket every Singaporean knows. It defends this position through its sheer scale, its community trust, and its constant improvement, it keeps opening more stores, improving its range, and reinforcing that it is "Singapore's very own." Challengers like Sheng Siong attack it on value, but FairPrice defends the top rung by being the name people default to.

DBS is the defensive leader of Singapore banking, the largest bank, the name most Singaporeans think of first for their salary, their mortgage, their daily banking. It defends its position not by attacking others but by being the obvious, trusted default, and by constantly improving its digital services. The challengers, the newer digital banks, attack its edges, but DBS defends the core.

Grab is the defensive leader of ride-hailing and food delivery, holding over half the Singapore delivery market. It defends its position by being the default, the app already on everyone's phone and by expanding into more services so that uninstalling it becomes unthinkable.

The lesson for a small business that happens to lead its category: defend the word you own, keep improving, respond to real threats with your full strength and do not let a challenger define the battle on their terms.

Chapter 18

Offence: the posture of the challenger

Offence is the strategy of the challenger, the second or third brand in a category that wants the leader's position. The challenger cannot win by defending, because there is nothing to defend yet. It must attack. But attacking the leader is dangerous; it must be done with discipline.

The rules of good offence

The challenger attacks the leader's weakness, not the leader's strength. A challenger that tries to beat the leader at the leader's best, its scale, its brand, its distribution, will lose. The challenger must find the one place where the leader is weak or exposed, and strike there. The weakness is the opening.

The challenger attacks a narrow front. It does not attack everywhere. It picks one point, one weakness, one segment, one word and focuses all its force there. A challenger that spreads its attack too thin loses focus and never breaks through.

The challenger must be ready for the leader's response. The leader has resources. When the challenger attacks, the leader will respond with its full strength. The challenger must be prepared for this, and must not overextend.

The challenger wins in one of two ways. It either takes a piece of the leader's ground, carving out a share the leader could not defend, the price-conscious segment, the niche the leader ignored, the word the leader could not claim. Sheng Siong took the value segment from the grocery leaders. The challenger does not need the whole ground; a defensible share is a win. Or it becomes the leader of a new front, attacking where the leader is not, creating or seizing a new category

and becoming its leader there. This is the flank, and it is the more powerful of the two, because the challenger that becomes the leader of a new front has the same moat the old leader has, but in a category no one else owns.

What offence looks like in Singapore

Sheng Siong is a challenger that attacked the grocery leaders, NTUC FairPrice and Cold Storage, on the weakness of price. While the bigger players fought for the middle and premium of the market, Sheng Siong claimed “the deal”, the value, the cheapest, the place for the price-conscious shopper. It did not try to out-scale FairPrice; it attacked the price word and owned it.

LiHo is a homegrown bubble-tea challenger. The story is instructive. Rodney Tang brought the Gong Cha franchise to Singapore in 2009, and built it into a popular chain. When the parent brand in Taiwan was sold to a foreign company, Tang decided to leave the franchise and launch his own homegrown label, **LiHo**, converting many of his outlets. He attacked the international bubble-tea brands with a different position: a local Singapore brand. In a market crowded with foreign chains, LiHo claimed the local word, “Singapore’s own bubble tea.” It grew into a chain with over a hundred outlets, holding its own against the international giants by attacking on the axis of local pride.

SIMBA attacked the established telecoms, Singtel, StarHub, M1, on the weakness of price, offering a cheap no-frills mobile plan. It claimed “the cheap alternative,” attacking the leaders on value and carving out a share of the price-conscious market.

The lesson for a challenger: find the leader’s weakness, attack on a narrow front, and own the word the leader left open. Do not try to beat the leader at its own game.

Chapter 19

Flanking: the posture of the creator

Flanking is the most powerful attack of all, because it does not fight the leader at all. Instead of attacking the leader's position, the flanker creates a new category or a new front, where the leader is not present and becomes the leader there.

The rules of good flanking

The flanker creates a category where it can be first. The flanker does not enter an existing market and fight for share. It creates a new category, a new way of thinking about the need and becomes the first and leading name in it. Being first in a new category is far easier than overtaking a leader in an existing one.

The flanker moves where the leader is not. The leader is focused on its own position; it is not paying attention to a new front that looks small or different. The flanker exploits this by creating a category the leader does not see as a threat until it is too late.

The flanker must be able to defend its new category. Once the flanker creates a new front and becomes its leader, the big players will eventually notice and try to enter. The flanker must be strong enough, or fast enough, to hold the new category it created.

The flank must be the right size. A flank into a category too small to sustain a business fails. A flank into a category too broad to defend fails. The new category must be big enough to be worth owning, and narrow enough to be owned.

What flanking looks like in Singapore

BreadTalk is a classic flanker. It did not attack the old, established bakeries on their ground. Instead of fighting to be a better old bakery, it created a new category, “designer bread,” bread as an experience, displayed like jewellery and made fresh in an open kitchen. In the 2000s, when bread was a commodity and no one thought of a bakery as a destination, BreadTalk created a new front and became its leader. It grew to over 700 stores globally at its peak. It did not beat the old bakeries; it made them irrelevant by changing the game.

Banyan Tree is another flanker. In the luxury resort market, dominated by the big international hotel chains, Ho Kwon Ping and Claire Chiang did not try to out-scale the chains. Instead, in 1994, they created a new category, the private, romantic villa resort, built on an abandoned tin mine in Phuket rehabilitated into Asia’s first integrated resort. They owned “romantic sanctuary”, a new front the big chains had not occupied. From one resort, Banyan Tree grew into a global brand worth hundreds of millions.

Secretlab is a flanker in the gaming-chair market. The existing gaming-chair category was dominated by cheap, poorly-built overseas brands that treated the chair as a commodity. Ian Ang and Alaric Choo, in 2014, with S\$50,000, did not fight the cheap chairs on price. They created a new category, the premium, well-engineered gaming chair and became its leader. They used real leather, rigorous testing, and a focus on comfort and durability. From a S\$50,000 start, they grew to sell over a million chairs with revenue of about S\$350 million, the top choice in over 50 countries.

OSIM is a flanker in wellness. Ron Sim started in 1980 as a small trading company selling household goods, then rebranded as OSIM in 1993 and created a new category, the premium wellness and massage chair, positioned not as a home appliance but as a way to “feel great.” He did not compete with the home-appliance brands on their

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ground; he created the wellness-category leader in Asia. From household goods, OSIM became a global wellness brand, listed on the Singapore Exchange in 2000.

The lesson for a strong challenger that cannot beat the leader head-on: create a new category where you can be first, move where the leader is not, and become the leader of the new front you created.

The flanker's trap is creating a category that is really just a version of the old one, a "me too" dressed up as new. A flank that does not change the customer's thinking is not a flank; it is an attack, and it will be met by the leader's full defence. The genuine flank changes the category, not just the label.

The flank that refused to fight the leader: GreenPackers

GreenPackers is a client of mine. It came to me because it was not making money and could not find the right customers. It had a good product, compostable packaging that was tested and certified, but nobody was buying it.

Before I tell you what went wrong, I need to explain one more thing. A **positioning statement** is the one sentence that says what a product is and who it is for. It is the single idea you want customers to remember. A **mind word** is that one idea, the one word you want to plant in customers' heads.

GreenPackers' mind word was a promise it called "**NoP**", **No Plastic chemicals, No Paper from Trees**. Every cup and box in its shop carried this. And it split its products into two lines, each with its own slogan: one line was "**It Ain't Plastic**" (cups, straws, bags) and the other was "**Let's Save Trees**" (bamboo cups, paper containers). It also called itself "**Less of Business, More a Crusade**," and told customers "**we do not strive for profits**." It believed saying all of this would make people trust it more.

That was a bad way to position the business, and it is worth understanding exactly why, because the same mistakes trip up many business owners. There were three problems.

Problem one, it was two words, not one. The customer's mind holds one word per brand. GreenPackers was asking it to hold two: "no plastic" *and* "no trees." That is like wearing two name tags that say different things. The customer cannot say what GreenPackers stands for. Is it about plastic? Is it about trees? "No plastic" tells the customer what the product is *not*, but not what it *is*, a negative gives the brain no picture. "No trees" is worse, because trees are good for the earth, so a green company saying "no trees" sounds wrong, as if it were against trees. A confused mind buys nothing.

Problem two, it was unverifiable. "No plastic, no trees" was just a slogan. Anyone could copy it. It did not point at GreenPackers in particular, and there was no way to check it was true. A slogan you cannot prove is not a position, it is a wish.

Problem three, it was a crusade, not a business. "We do not strive for profits" sounds noble, but to a customer it signals weakness: a company that does not care about money probably will not be around, will not serve you well, and is begging you to buy out of pity. Low-price, please-everyone messaging is the enemy of standing out. And it was a lie anyway, GreenPackers' own prices were higher than the market's, not lower. Its messaging said "cheap crusade," but its prices said "premium, certified." The message and the price were fighting each other.

So GreenPackers came to me with a good product and a broken message. The story of the advice I gave is what matters next.

The market for "compostable packaging in Singapore" is crowded. That means many companies are all trying to sell the same thing. And the people who buy it are careful and doubtful, because many companies lie about being "green" and "eco-friendly." (There is a word for that: **greenwash**, when a company pretends to be good for the earth but is not really. Some sell "biodegradable" plastic that just breaks into tiny toxic pieces.)

The biggest rival was a company called **BioPak**. BioPak is a big, famous brand from another country. It has a website that ranks high

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on Google, it works with a food-delivery app called **Deliveroo** so thousands of restaurants see its products, and it has hundreds of articles on its website. BioPak is the leader. The leader is the biggest, most famous company in the market, the one everyone knows.

An **SEO agency** is a company that helps other companies show up at the top of Google. An SEO agency would have told GreenPackers: “Fight BioPak. Make your website rank higher than theirs.” But that would have been a **frontal assault**, a head-on fight against the biggest, strongest player. That is like a small kid trying to beat the biggest kid in the playground at arm-wrestling. GreenPackers would lose.

So the advice was to do something smarter. Refuse to fight BioPak on BioPak’s ground. GreenPackers had a certificate, a proof, that no other company in Singapore had. It is called **microplastic-tested**. Almost every “eco” cup on the market still sheds tiny pieces of plastic into your drink; GreenPackers could prove its cups did not. BioPak is a good company with real certificates, but BioPak does not test for microplastics. That was the one word BioPak could not copy.

So instead of two vague, unprovable slogans, GreenPackers was advised to take **one** word: **microplastic-tested**. GreenPackers could not beat BioPak at “compostable packaging,” so the advice was not to try. The advice was to own “microplastic-tested”, a word BioPak could not take, because the proof was not theirs. That is a **flank**, going around the side instead of charging the front, a smarter way to win. The leader owns the crowded word; you do not fight for that word. You find the word the leader cannot claim, and you own that one.

And here is the hardest, most counter-intuitive part of the whole story, and the reason it belongs in a book about positioning. The advice asked GreenPackers to **give up** “no plastic, no trees.” It asked them to let go of a message that sounded true and felt good to say. It asked them to drop the crusade, drop the slogans, and say one thing. That is the thing many business owners struggle with most. They believe that to sell more, they must say more. The truth is the opposite: **less is more**. The word that wins is the one that says one clear thing, not the

one that says everything. To own the best word, you must stop caring about the other words, even the ones that feel true and good.

So the irony is this: the path to more, more customers, more money, more of the market, runs through giving up more. GreenPackers was advised to give up “no plastic, no trees.” To give up the chance to appeal to everyone. To give up trying to beat BioPak. Even to give up the comforting story that it was a humble crusade. And only by giving all of that up could it have room to own the one word that mattered. The business that refuses to let go of anything ends up holding nothing. Whether GreenPackers took that advice, and what happened if it did, is theirs to tell, my part was the advice.

Chapter 20

Guerrilla: the posture of the small and the niche (the heart of this book)

Now we come to the posture that matters most to the reader of this book. Most readers are not the market leader, and they are not a well-funded challenger. They are small operators, a hawker, a tuition centre, a salon, a one-person company, a small clinic. For them, defence is not available (there is nothing to defend), and offence against the leader is suicide (they cannot out-spend it). Their posture is guerrilla.

Guerrilla warfare is the strategy of the weak against the strong. It is not about fighting the big war, it is about winning a smaller war the big players will not, or cannot, fight. The guerrilla does not try to take the leader's ground. It finds a corner the leader ignores, occupies it, and holds it with a depth and a trust the leader cannot match.

Why guerrilla warfare is the right game for a small Singapore business

Before the practical moves, it is worth being clear why guerrilla is the right game for most readers of this book and why so many small businesses lose by playing the wrong one.

Singapore's domestic market is small, dense, and capped. It is a market of about 371,000 businesses chasing 5.9 million residents, one business for roughly every sixteen people. The big players are entrenched: the banks, the supermarkets, the delivery platforms, the telecoms. A small business that tries to fight these on their ground, to out-advertise a bank, to out-scale a supermarket, to outspend a

platform, will lose, because it does not have the resources to win that kind of war. This is not pessimism; it is arithmetic. The big players have more money, more reach, more brand recognition. Head-on, the small business loses every time.

But the big players have a weakness that is structural, not temporary. **They are too big to be local, too big to be specialist, too big to care about a small corner.** A bank cannot be the neighbourhood's trusted money adviser for a specific community. A supermarket cannot be the specialist in one type of product. A delivery platform cannot be the name a neighbourhood vouches for. These positions are too small for them, and that is exactly where the small business wins.

This is the heart of it: **the small business's advantage is not in fighting the big players' war. The advantage lies in the ground the big players cannot occupy because it is too small, too local, or too specialist for them.** Guerrilla warfare is how a small business takes and holds that ground.

The other reason guerrilla is right is Singapore's buying culture. As the earlier books in this series showed, Singapore's domestic economy buys on trust, offline, and peer-first. This is a market that buys through named, trusted people, the hawker, the specialist, the neighbour's recommendation. That is precisely the terrain where a small guerrilla operator, who can be a person a community trusts, has an advantage the big players cannot copy. A bank cannot be the person your neighbour vouches for. A small specialist can.

The five guerrilla moves that work for a small business in Singapore

Translating guerrilla warfare into practical positions a Singapore small business can actually take, there are five moves. Each one attacks one of the big player's structural weaknesses, and each is a different way of finding a corner the big players do not own.

Move one, Speed: be the one who moves first. The customer's need is not static. When a new need appears, the customer does not

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wait for a giant to notice it and reorganise a hundred outlets to meet it. They want someone, now, who already sees it and already does it. You can be that someone, because you can decide tomorrow morning and deliver tomorrow afternoon. When a new generation of parents wants its children taught differently, or a new kind of skin condition affects people, or a neighbourhood suddenly has an older population that needs a service nobody is offering, the chain is still serving last decade's need. You change. You are the first one in the neighbourhood to offer it, and being first matters enormously, because the customer who needs this new thing now has a name for it and that name is yours.

Move two, the specialist: “we do one thing, better than anyone.” The small player claims one narrow specialism the big players are too big to serve well. The maths tutor who owns “single-subject maths.” The dementia-specialist carer. The lawyer who owns one niche, a specific type of foreign investor, a single-industry compliance question. The home-care provider who owns post-operative recovery. The big players need volume and scale; they will not bother with a niche too small to staff. “Tuition” is a crowded battlefield with a thousand centres. “Single-subject maths for PSLE” is a niche a big operator would not bother with and a specialist can own it completely. The maths makes sense: a generalist competes with every other generalist for the whole pool of customers, a dense, price-driven fight. A specialist competes with almost nobody, because almost nobody has chosen to be the specialist. The pool may be smaller, but you are the only one serving it, so you take a far larger share of it, and the customers pay you for depth, not for cheapness.

Move three, the local champion: “we are the neighbourhood name.” The small player owns a place. The hawker who owns “the best laksa in Toa Payoh.” The salon that owns “the salon everyone in the neighbourhood sends their daughters to.” The tuition centre the families in the estate know by name. The clinic the residents trust. The big brands cannot be the local champion of every neighbourhood, because being local is precisely what scale destroys. A chain that expands

everywhere is the same everywhere; it cannot be the intimate, trusted local name of each specific community. You know this street, this estate, this community. You know who lives here, what they need, when they come, and why they come. The chain offers the same menu at every outlet because it cannot know any one outlet's customers. You offer what your street actually wants, at the hours your street actually comes, in the way your street actually likes to be served. When a customer walks into a chain, they are one of a million. When they walk into your shop, they are someone you know, which is why a customer will travel past a chain to reach you.

Move four, the underserved corner: “the segment the big players ignore.” The small player finds a small but growing corner of the market that is too small for the big players to care about yet, and owns it before they arrive. The laundry done for the time-poor single professional. The boutique day centre for a single profile, dementia mornings, stroke rehab afternoons. The home-care specialist for post-operative patients. The fitness class for a specific group, mothers, seniors, a particular sport. These are the niches that are growing, that the incumbents are too big or too generic to serve, and that a fast, focused small player can claim and hold. They are often the niches the demographic waves, ageing, the shrinking household, the smaller family, are making bigger every year, as the earlier books in this series showed.

Move five, the trusted referral: “the name people pass on.” This is the move that ties all the others together, and it matters most in Singapore, because it is the move this market is built on. A person who needs something asks a person they trust, and that person names a business. The business that gets named is not the biggest. The recommender names the one they know personally and trust enough to put their own reputation behind. A giant cannot be that business. Nobody puts their reputation behind a supermarket chain. But they will put their reputation behind you, because they know you, and they know you will not let them down. The small operator who becomes that

named, trusted person has a position no big brand can copy. The trust is the moat.

The traps that defeat a guerrilla

Guerrilla warfare is not easy, and there are traps that defeat small operators even when they have a good position. Knowing them is part of winning.

Trap one, trying to be everything to everyone. The small business that tries to serve every customer, offer every product, and own every word ends up owning nothing. It becomes generic, and generic loses. The guerrilla must be narrow and specific.

Trap two, fighting the leader head-on. The small business that sees the big players and decides to out-compete them on their own terms, lower price, more advertising, more reach, loses, because it cannot win that war. The guerrilla does not fight the leader on the leader's ground.

Trap three, growing too fast and becoming a target. The small business that expands too aggressively into the big players' territory invites their attention. The guerrilla's safety is in being too small to threaten. Growth is good, but it must be growth within the niche, not reckless expansion that makes you a target.

Trap four, copying the big players' look. The small business that imitates the big brands, their advertising style, their store design, their corporate tone, loses the very thing that makes it a guerrilla: its local, personal, nimble difference. The guerrilla must look like what it is: a focused, trusted, local operator.

Trap five, abandoning the word when it gets hard. Owning a word is not a one-time event; it is re-earned. The small business that claims a position and then stops, stops improving, stops being consistent, stops being referable, loses it to someone hungrier. The guerrilla must re-earn its word every year.

The structural weakness of the big player

A big player's strength and its weakness are the same thing. The size that gives it reach is the size that takes away everything else. A giant is too big to be local, too big to be specialist, too big to be nimble, and too big to be personal. Each of these is a door you can walk through, because each one is a thing the customer actually wants that the giant simply cannot give them.

A big player is too big to be local. A supermarket chain serves the whole island, so it cannot serve your street. It cannot know that the families in your estate prefer a certain brand of rice, or that the old man who comes in every morning wants the same kopi without having to say it. Being local means being specific to one place, and a business built on serving everywhere cannot be specific to anywhere. The moment a chain tries to be local to every estate, it is no longer a chain, it loses the efficiency that made it big. So it cannot do it. And you can.

A big player is too big to be specialist. A hospital group has to offer every service, because it needs volume to justify its building and its staff. It cannot afford to be known for one narrow thing, because a narrow thing does not fill a hospital. But the customer who needs one specific thing, done deeply and well, does not want the generalist. They want the person who does that one thing all day, every day, and has done it a thousand times. The giant cannot be that person, because being that person means not doing the other nine things, and the giant's structure cannot afford to say no. You can.

A big player is too big to be nimble. When a small business sees a customer need change, it can change the next day, the menu, the hours, the service, the message. A giant cannot. Its decisions go through layers. Its systems are built to do things one way. Its stores and signage and training are standardised across a hundred outlets, so changing one thing means changing a hundred. The customer who wants something current will find the giant cannot move and you can.

A big player is too big to be personal. This is the deepest weakness, and it is the one the data points to most clearly. This is a market that buys on trust, and the big player cannot be the person the customer trusts. The bank's relationship manager changes every two years. The chain's staff are rotated, and the customer is a ticket number. Nobody says "my brother knows the supermarket manager." They can get a personal recommendation for you. In a market that buys on who-you-know, the giant is structurally shut out of the most powerful way this country's customers actually decide.

None of this means the big player is weak. It means the big player is weak in the specific places you are strong, and strong in the specific places you are weak. The battle is not one battle. It unfolds as a set of different fights on different ground, and the giant only wins the fights it has built itself to win. Your job is not to become a smaller version of the giant. Your job is to fight the fights the giant cannot win.

The boundary: when not to fight at all

Not every fight is worth fighting. Not every market is a place where the small operator can hold ground. And pretending otherwise, pushing into a fight you cannot win because you have been told to be brave, is not courage. Doing so is the fastest way to lose the ground you already have. So let us be plain about the boundary.

There are situations where you should not try to hold ground against a big player at all. The clearest one is this: when the customer does not need what you uniquely have. If the thing the customer is buying is a pure commodity, a thing where the big player's version is genuinely as good as yours, at a price you cannot match, and where the customer has no reason to prefer a personal, local, specialist version, then you are not holding ground, you are bleeding. In that fight, the giant wins on price and reach, and no amount of smallness saves you, because the customer was never buying the thing you are good at.

The second situation is this: when the big player has moved onto your exact ground and you have no deeper claim to it. If a chain has

built a neighbourhood presence, matched your service, and undercut your price and you have no word, no specialism, no relationship that a customer would name over the chain, then fighting harder is not the answer. Holding ground only works when you own something. If you own nothing, there is nothing to hold.

And the third situation is the one that takes the most candour: when the market itself is not worth the fight. Not every customer segment is worth pursuing. Not every niche is big enough to sustain you. If the ground you could hold is so small that it will not pay your costs, then holding it is not a victory, it is a smaller version of losing. The question is not only can I win here? It is is this ground worth winning?

Here is what the boundary means for you, plainly. When you look at the big player and you see a fight you cannot win on their ground, and you have no ground of your own, the answer is not to charge in anyway. The answer is to find a different corner. There is almost always a corner. It might be a different need, a service the giant does not offer. It might be a different customer, a group the giant serves poorly because it serves everyone. It might be a different part of the same need, a depth, a specialism, a personal touch the giant structurally cannot give. The corner is the ground we have been describing all along: the place where the giant is too big to follow, and where you, because you are small, can be fast, personal, local, and specialist.

And sometimes, this is the hardest admission, the right corner is in a different market altogether. If the market you are in is one where the giants have closed every door, where there is no niche, no specialism, no relationship that can hold, then the smart move is not to keep trying in that market. It is to take the skills you have and the smallness that is your asset, and apply them where the ground is actually open. This is not giving up. It matches what every successful small business in this book did: it looked at where the giants were strong, decided not to fight there, and found the corner where its own strength actually mattered. The boundary is not a wall around your ambition. It acts as

20.5. THE BOUNDARY: WHEN NOT TO FIGHT AT ALL

a gate that keeps you from wasting your strength in fights you cannot win, so you have it for the fights you can.

Part IV

PART FOUR: THE MECHANICS OF A POSITION

Chapter 21

The word

The heart of any position is the word. Every position reduces to a single word or short phrase that the customer holds in their mind about your business. “The trusted default.” “Curry puff.” “The deal.” “Designer bread.” “The best gaming chair.” “Singapore’s own bubble tea.”

The word is what the customer thinks of when they think of your category. It is what they repeat to a neighbour. It is the name of the rung you own on the ladder.

A good position-word has three qualities. First, it is simple. The mind holds simple words. “Safety,” “value,” “convenience,” “romance,” “quality”, these are words the mind can hold and repeat. A complex, multi-word description is not a position; it is a description. The word must be something a customer could say without effort. Second, it is specific to you. The word must be one you can own, not a generic word every business in your category could claim. “Quality” alone is too generic; every business claims quality. “The safest car” or “the cheapest groceries” or “single-subject maths” is specific, it is a word the customer can attach to you and not to everyone else. Third, it is true and defensible. The word must be something you can actually deliver, and keep delivering. If you claim “the best” but are not, the customer will find out and the position will collapse. The word must rest on a real capability you can hold.

A word is not a position until the customer holds it in their mind. That happens through repetition and consistency over time. The business says the word, delivers on the word, and is seen delivering on the word, until the customer begins to associate the word with the business. This is why positioning is not a one-time event. It is a habit. Every interaction, every product, every sign, every post, every recommendation, either reinforces the word or weakens it. The business that

The Word

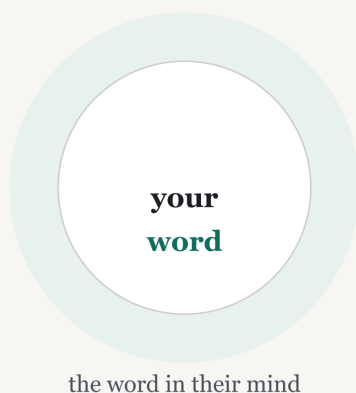


Figure 21.1: The word in the customer's mind.

says the same word, in the same way, for years, is the business that owns it. The business that keeps changing its message never lets the mind form the association. Tiger Balm said “relief” for decades, and delivered the same quality, until the word became inseparable from the name. Secretlab said “the best gaming chair” and delivered on it, until serious gamers repeated it. The word becomes the position through relentless consistency.

The biggest mistake a small business makes is trying to own many words at once. It wants to be known for quality, value, convenience, service, and innovation all at the same time. The mind cannot hold that. The mind holds one simple word per brand per category. A business that tries to own ten words ends up owning none, it is generic, forgettable, and not referable. The discipline of positioning is the discipline of choosing one word and letting the others go. Not because

the other qualities are unimportant, but because the mind can only hold one. BreadTalk did not try to own “cheap bread” and “designer bread” and “the neighbourhood bakery”; it owned “designer bread.” Mr Coconut did not try to own every drink; it owned “coconut drink.” The single word is the position.

The ladder, the idea that the mind holds brands on ranked rungs, has direct consequences for a small business. If you cannot be first, be first in something else. The top rung of the main category is usually taken by a strong leader. A small business that tries to take that rung head-on is fighting a battle it will almost certainly lose. The smarter move is to find a sub-category, a niche, a different word and be first on that rung. Be the first single-subject maths tutor, the first dementia-specialist carer, the first designer bakery. On that rung, you are the leader.

A business that is “second in the category” without a distinct word is in a weak spot, it is on the ladder but easily forgotten. The business that climbs a different ladder, to the top of its own niche, is stronger than the business that is second on the main ladder. The ladder is crowded at the top and empty at the edges. Everyone fights for the main category’s top rung, so it is fiercely contested. But the edge rungs, the niches, the specialties, the local corners, are empty and unclaimed. This is exactly where a guerrilla wins: on the empty rungs the big players have not bothered to climb.

The single word should hold true across everything the business does, not because the business offers only one thing, but because every offer should serve the same word. The customer should be able to say “this business is the X” whether they are buying one product or another from it. This is what the strongest brands do. FairPrice is “the trusted default” across all its stores and formats. Khong Guan is “the biscuit tin” across all its products. Secretlab is “the best gaming chair” across its product line.

The word holds; the offers serve it. The test of any new offer is whether it serves the word. A business that owns “the dementia specialist” should not add unrelated services that blur the word, it should add services that deepen it.

A business that owns “the deal” should not add premium offerings that break the word, it should stay the deal. The question before adding anything: does this serve the word I own, or does it blur it? If it serves the word, it strengthens the position. If it blurs the word, it weakens it and the cost of the blur is greater than the gain of the new offer, because the position is the whole business.

Chapter 22

Naming

There is a decision every business owner makes on day one, usually without realising how much it decides. It is not the business plan. Neither is it the capital. Neither is it the location. It is the name.

You have to call your business something. You write it on the sign, on the menu, on the invoice, on the Google listing, on the receipt you hand over at the end of the job. Every customer who deals with you says it out loud, and every customer who refers you says it to someone else. Before a single dish is tasted, before a single lesson is taught, the customer holds your name. That is the first word they get, and what you put on that sign is your first position, whether you meant it to be or not.

This is why a bad name is not a small problem. Nor is it a cosmetic problem. A bad name cripples your position before the position has a chance to start. If the customer cannot say your name, they cannot remember you. If they cannot remember you, they cannot refer you. If they cannot refer you, you have no word in the mind at all and in a market of about 371,000 businesses chasing 5.9 million residents, having no word in the mind is the same as not existing.

The customer's mind holds only a few names per need. If your name is not one of them, you are invisible. And once people know a business by a name, the name is glued to it. Changing it later is not a re-brand; it is a death and a rebirth. The old customers have to learn to trust the new name as if it were a stranger, and a lot of them will not bother. So the name is a decision you make once, early, with your eyes open, and you live with it for the life of the business.

The trap of the describing name

If the name matters this much, you would expect people to think hard about it. They do not. And it is not because they are careless. The reason is that the way we naturally name things points in exactly the wrong direction. When a person starts a business, the first thing that occurs to them is usually a description. I run a tuition centre, so I will call it something that says I run a tuition centre. I run a salon, so I will call it a name that says salon. This feels sensible. It feels safe. It tells the customer exactly what you do. And it is the single most common way small businesses in Singapore end up with names like “ABC Tuition Centre,” “Quality Hair Salon,” “Best Value Renovation,” “One-Stop Services,” “Top Grade Tuition,” “Elite Academic Centre,” “The Hair House,” “Super Cheap Nails.”

Stop and read those names as a customer would. What do they tell you? They tell you a category, and nothing else. They do not tell you which one, or who it is for, or what it stands for. They tell you the customer is buying a commodity, a service interchangeable with a hundred others, and they give the customer no reason to choose this one over that one. “ABC Tuition Centre” tells the customer nothing they did not already know about every tuition centre in Singapore. The customer’s mind already has a folder labelled “tuition centre,” and inside that folder it keeps only a handful of names. A generic name does not earn a place in the folder. It does not even ask to be remembered. It just sits there, indistinguishable, waiting to be skipped.

The deepest problem is that these names give the customer no word to hold. A customer cannot recommend “Quality Hair Salon” because they cannot tell their friend which of the forty quality hair salons they mean. The referral loses its power because the name does not point at a specific, single, memorable thing. In a market where roughly 85% of buyers find their solutions through a personal referral, this is fatal. If the name is generic, the referral is generic, and the friend is left holding a category instead of a name.

What a name has to do

A name does a specific job, and it is worth saying plainly what that job is. A name has to do four things at once, and a good name does all four without the customer noticing the effort.

First, a name has to be simple. Not simple as in obvious; simple as in easy to hold in the mind. The mind holds short, clear things and drops long, complicated ones. A name you have to repeat twice for a customer to catch it is already losing. A name that has to be spelled out or explained costs the customer effort, and customers spend their effort on the things they have already decided matter. Short wins. Clear wins. If you cannot say your own name in one breath, you have given yourself a disadvantage you will fight every day.

Second, a name has to be sayable. This matters in Singapore more than almost anywhere, because this is a referral market, someone saying a name out loud across a table, on a phone, in a coffeeshop. If the name cannot be said comfortably, the referral breaks. It gets mispronounced, mangled, replaced with “you know, that place near the MRT,” and the word that was supposed to point at you points at nothing. A name that trips the tongue cannot be referred. Test every name by saying it out loud, ten times, as if recommending it to a friend who has never heard it. If it does not come out easily every time, it is not the name.

Third, a name has to signal the category. This is the part people misunderstand. They hear “signal the category” and think it means “describe what you do.” It does not. Signalling the category means giving the customer enough of a clue to know which need this name belongs to, without reducing yourself to a generic description of that need. The customer’s mind sorts names into categories. When the neighbour says “curry puff,” the mind files it under snack and reaches for the name it knows in that folder. A name that gives no category signal at all, a name that could be a bank, a restaurant, a tech startup, or a pet shop, forces the customer to guess, and guessing is effort that gets skipped. The name should hand the customer the folder: food,

beauty, tuition, care. But it should hand them the folder while pointing at a single name inside it, not at the folder itself.

Fourth, a name has to be memorable. This almost goes without saying, but it is the most common failure. A memorable name does something to the mind: it is easy to picture, it rhymes, it is a word you already know placed somewhere unexpected, or it names a person or a place. The memory test is the referral test again. Can the customer carry this name from today to next week to the moment their friend asks? If the name does not stick, nothing else you do sticks, because your name is the hook every other impression hangs on.

And then there is a fifth thing, the hardest and the most important. Fifth, a name has to be honest. Not honest as in truthful about what you sell, that is the trap of the generic name. Honest as in it does not lie about who you are. The most common way a small business gets this wrong is with the clever name, the pun, the joke. A customer reads a pun and has to decide what it means, and the decision is about the joke, not about your business. A name that makes the customer work to understand what you do has made them the wrong kind of customer, an entertained one, not a trusting one.

The plain rule that separates honest from clever: a name should not need explaining. If you have to tell a customer why the name is funny, or why the spelling is wrong on purpose, the name has failed. The customer should read the name and know, in the first second, what it is for and why it is good, without a single word of explanation. In a trust-first market, confusion is the enemy.

So the real standard is not “clever.” It is “clear and single.” A name that is simple, sayable, category-signalling, memorable, and honest, all five at once, is doing its job. Most names in Singapore do not hit all five. The ones that do are the ones that end up owning a word.

Describing versus positioning

Now we come to the heart of it, and it is worth being very precise, because this is the mistake that costs small businesses the most. There

is a difference between a name that describes you and a name that positions you. They sound similar. They are opposites. A name that describes you tells the customer what category you are in. “ABC Tuition Centre” describes: this is a tuition centre. “The Hair Studio” describes: this is a salon. A describing name answers the question “what are you?” and answers it with the category. That sounds useful, but it is not, because the category is not you. The category is shared by everyone. Describing the category does not separate you from the category. It buries you in it.

A name that positions you tells the customer what you stand for. It does not just say which category you are in. It says which single thing in that category is yours. It answers a different question: not “what are you?” but “what do you own?” A positioning name gives the customer a word to hold that is attached to you and to no one else. The describing name is a noun that names the product; the positioning name points at a specific, single, memorable thing and claims it as yours. When a customer hears a describing name, they hear “a tuition centre.” When they hear a positioning name, they hear a name they will attach a word to, the word you worked to own.

And the describing name does something worse than fail to position you. It actively makes you interchangeable. If your name says “tuition centre” and forty other names say “tuition centre,” then the only difference the customer has to choose on is price, and this book has shown where price competition leads in a capped market like Singapore: a slow structural bleed. The describing name hands the customer permission to compare you on price, because it gives them nothing else to compare you on. The positioning name does the opposite: it gives the customer a reason to choose you before price comes up. It gives them a word. And in a referral market, a word is what gets passed on.

The Singapore names that prove it

Now let us look at names every Singaporean already knows, and see how the name did the positioning work before anything else did. The full stories are in Part One; here the point is the name itself.

Old Chang Kee. Say the name and the mind goes to one thing: the curry puff. The name carries the man's own name, Chang, and signals a person and a craft, not a category and a commodity. It is sayable in a breath, memorable, and points at a single maker. The stall owned the word "curry puff" because it made the curry puff its whole identity under one man's name. Every time a customer said "Old Chang Kee," they were also saying "curry puff."

Ya Kun. Same structure, a person's name after the founder, Loi Ah Koon, whose name in dialect gave the shop its sound. Sayable, warm, memorable. The real power is that Ya Kun took a single thing, kaya toast, and made it the thing. It did not try to be all of breakfast. It took the kaya toast, made it well, standardised it so every cup and toast in every branch was the same, and let the name become the owner of the word. It did not call itself "The Best Breakfast Cafe," a name that would have described the category and failed to separate the business from it, because every kopitiam serves kaya toast.

Tiger Balm. This shows a name need not be a person's name. Two brothers, Aw Boon Haw and Aw Boon Par, created it in the early twentieth century from a family's traditional remedy for aches. What separated it from every other balm? The name. Memorable, an animal easy to picture, nothing else in the category named like it. And the detail that ties the brothers to it: Aw Boon Haw's given name meant "gentle tiger." The name was not random. Tiger Balm did not own "balm"; it owned something bigger and more useful: relief. When a Singaporean reaches for the ointment, the name that comes to mind is often Tiger Balm. The name became synonymous with the relief itself.

The lesson across all three is identical. None of them owned a category description. Each owned a single, specific, memorable word,

and each made the name serve that word from the very beginning, while the business was small. The name was not a decoration. It was the position, declared early.

The generic name that cripples the position

Now the failure case, because it is the one most readers of this book are in danger of. Consider the generic, descriptive name. Call it “ABC Tuition Centre.” Every one of the five requirements fails. It is not memorable. A customer cannot hold “ABC Tuition Centre” because it is not a thing, it is a placeholder. There is nothing to picture. It is not sayable as a referral, “ABC” could be anything, and the customer’s friend cannot tell which ABC tuition centre you mean out of the hundreds. It does not position you; it describes a category that everyone shares. And it is honest only in the emptiest sense, it tells the truth that you run a tuition centre, which is the one thing about you that is not yours alone.

How to actually choose the name

So, having seen the successes and the failure, how do you actually decide? Most people start with the name: they brainstorm names, pick the cleverest one, and then try to make the business fit the name. That is backwards. The name is not the starting point. The word you want to own is the starting point. The name is a servant of that word.

Step one: decide the word you want to own. Before you name anything, decide what single word you want the customer to attach to you when they think of your business and category. This is the positioning work from the rest of this book, applied to your own market. Look at who your customers are, what they need, what is crowded, what is free, and decide the one thing you will be known for. It might be a specific dish, as with curry puff; a specific service, as with the single-subject specialist; an outcome, as with relief; a place you own; or a person, your own name attached to a craft, as with Old Chang

Kee. But decide the word first. Name it out loud. Write it down. If you cannot say, in one word or a few, what you want to own, you are not ready to choose a name, and any name you choose now will be guessing.

Step two: choose a name that serves that word. Now, and only now, think about names. Test every candidate against the five requirements and against the word. Does the name carry the word, or fight it? A name that is clever but has nothing to do with the word you want to own works against you. A name that is plain but points squarely at your word works for you. Choose the one that serves the word.

The test before you commit: say the name out loud to a stranger who knows nothing about your business, and ask what it does. If they can tell you roughly what you stand for, good. If they name only the category, it is a generic describing name. If they are confused or laugh at a joke, it is a clever name. The name that passes is the one that hands the stranger a word without a single word of explanation.

Step three: make good on it, and hold it. This is the step that separates the names that work from the names that merely sounded good on the day. A name is a promise. Old Chang Kee did not win with the name alone; it made the curry puff so well, so consistently, for so long, that the name and the word fused. The name stakes the claim; the business makes the claim true every day and never lets the word blur. If your name says you are the specialist, you must actually be the specialist, and you must refuse to dilute it. Pick the word, name yourself to serve it, and then be it until the customer believes it. That is the whole method.

The names you will not regret

Let me end with the plainest possible guidance, because this is a decision you make once and live with. Do not name your business to be clever. Name it to be clear and single. Do not name it to describe a category everyone shares. Name it to point at the one thing you intend to own. And name it for the customer who will refer you.

Chapter 23

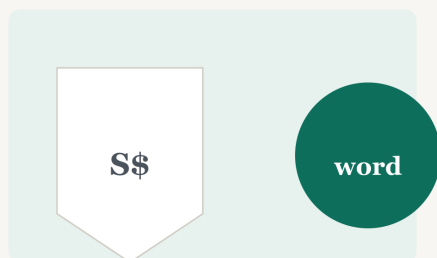
Price

Price is a common source of confusion about positioning, so it is worth a clear section. Price is not a position by itself. “Cheap” is not a position, because any competitor can be cheap. A position is a word in the mind; price is one attribute. A business that competes only on price is not positioned, it is in a price war, which is a losing game in a high-cost, capped market. But price can be part of a position.

When a business owns “the deal”, the value word, price is the delivery of that position. Sheng Siong owns “the deal” not just by being cheap, but by being consistently, reliably cheap, so the customer knows what to expect. The word is value; the price is how it delivers the word. Premium is also a position. When a business owns “the premium” or “the best,” the higher price is the delivery of that position. The customer pays more not for the product alone, but for the word, status, quality, exclusivity. The price reinforces the position; it does not undermine it. The rule: a position is a word in the mind, and price is one of the ways you deliver it. The word comes first. The price serves the word.

Once you understand that price serves the word, the practical pricing question becomes clearer. You do not ask “what should I charge?” in the abstract. You ask “what does the word I own require me to charge?” If your word is “the deal,” your price must be the lowest credible. The customer holds you as the value name; if your price drifts up, you break the word. Sheng Siong must stay the deal, or it stops being the deal. If your word is “the premium,” your price must be at the top. The customer holds you as the best; if you price like a mid-range, you break the word. Secretlab must price as the premium gaming chair, or the word collapses. If your word is “the specialist,” your price must reflect the expertise. The specialist charges for the

Price vs Word



price cannot buy a word

Figure 23.1: Price cannot buy a word.

specialist outcome, not the lowest, not necessarily the highest, but a price that says “you are paying for specific expertise.” A specialist that undercharges undermines the word; a specialist that overcharges without delivering loses the trust. The pricing rule follows from the position. The word dictates the price band; the delivery justifies it; the consistency holds it.

A business with no position has no pricing guide except the market and the cost. It charges what competitors charge, or what it can get away with, and it drifts, sometimes cheap, sometimes premium, never meaningfully anything. The customer holds no consistent word, so the price buys no position, and the business competes on price alone, which is the losing game this book has warned against. The path is to decide the word first, then let the price serve it. The business that owns “the deal” prices to be the deal. The business that owns “the

premium” prices to be the premium. The business that owns “the specialist” prices for the expertise. In every case, the word comes first and the price follows. That is how price builds a position instead of destroying one.

There are two common pricing mistakes, and both come from pricing without a position. Underpricing from fear. The small business charges too little because it fears that a higher price will drive customers away. It does not understand that its word, its position, justifies its price. The specialist who charges like a generalist, the premium brand that prices like a bargain, the trusted name that prices like a stranger, each one undermines its own position. The customer does not think “what a bargain”; they think “they cannot be that good if they charge that little.” The price is the customer’s evidence about the word, and underpricing reads as weak evidence. Overpricing from greed. The small business charges too much without having built the word to justify it. It claims a premium it has not earned. The customer, faced with a high price and no held word, walks away. Overpricing without a position fails, because the price is not supported by the trust.

The price that could not buy the word: TradersGPS

This is a story from the Singapore investing world. It shows, in the clearest way I know, why price cannot beat a word that is already owned. It is the story of a trading system called **TradersGPS**, told by someone who worked inside the company that priced it, me.

In 2016, a Singapore trading guru named **Collin Seow** and a company called **AlgoMerchant** (where I later worked) built a cloud-based trading system together, called **TradersGPS Everywhere**. AlgoMerchant was a Singapore company that had made its name as a pioneer in computer-driven investing.

The two partners stopped working together in 2018. Then there was a legal fight over who owned the TradersGPS name. It was settled in the Singapore High Court in 2022, with the two sides agreeing to share the name. But the part of the story that matters for this book is

not the lawsuit. What matters is what happened in the market while the two sides were fighting. And the lesson is not about the product at all. It is about **who owns the word in the customer's mind**.

Here is the thing that decided everything. In the minds of customers, TradersGPS belonged to **Collin Seow**, not to AlgoMerchant. When people thought of TradersGPS, they thought of the guru, the man with the books, the blog, the reputation, the name they trusted. He owned the word. He owned the market share, and he sold the system for **\$2,888**.

AlgoMerchant had the same system underneath, the same rules, the same product, built together. So the team reasoned: if we sell the same thing for less, we will take his customers. They tried selling at **\$388**. Nothing. They tried selling at **\$38**, a tiny fraction of his price. Nothing. They built a strong funnel, they paid for online ads, they did everything the textbooks say. None of it chipped away at his market share.

Why? Because the customer was not buying a system. The customer was buying the **word**, and the word was owned by Collin Seow, not by AlgoMerchant. It was never about whether TradersGPS was a trading system or a course or a set of signals. It was not about what kind of product it was at all. It was about who the customer believed stood behind it. In the customer's mind, "TradersGPS" meant Collin Seow, his trust, his track record, his name. A cheaper version of the same thing did not change what the customer believed, because the customer was not comparing products. They were choosing the person they trusted. The price did not matter to that choice, because the word was already owned.

This is the lesson the price chapter has been building toward, and it is worth saying plainly. **The battle is never about the product. It is about who owns the word in the customer's mind.** When a competitor owns the word, your lower price does not take their customers. It only tells the market that you are the cheaper version of the thing they already trust, which is not a position, it is a discount on someone else's position. You can undercut a price, but you cannot

undercut a word, because the customer is not paying for the thing you are discounting. They are paying for the person, the trust, the name they believe in.

The only way to win is to own a different word, not to sell the same word for less. AlgoMerchant could not become the guru; Collin Seow already was. The price could not buy the word, because the word was not for sale. I saw this failure from inside the company that priced it, and it is the purest example of this chapter's argument that I know. AlgoMerchant owned robo-investing. But TradersGPS, that word belonged to Collin Seow. And no price could change who owned it.

Chapter 24

Referral and word of mouth

Let me ask you a question before we start. When a friend of yours in Singapore told you about a good accountant, a good contractor, or a good clinic, what did you do next? You did not open Google. You did not compare three price lists. You picked up the phone, or you wrote to them, and you asked for the number. That is how most of us in this country buy almost everything that matters. It is not because we are lazy. It is because we trust the person who told us. The recommendation came with a reputation attached to it. The friend who told you will not send you somewhere bad, because their own name is now on the line. That is the whole engine of the referral economy, and it runs harder in Singapore than almost anywhere else on earth.

Let us put a number on this, because numbers help us take it seriously. There are roughly 371,000 businesses in Singapore and roughly 5.9 million residents, about one business for every sixteen people. That is a lot of competition for every dollar, and it means nobody in this country is short of options. Now here is the interesting part. Even with all those options, about 85 percent of buyers in Singapore find their solution through a personal referral. Eighty-five percent. Not through advertising. Not through a search engine. Not through a social media feed. Through a person they know telling them who to call. And it is not just consumers. Roughly two-thirds of small businesses in Singapore say they prefer to buy from other businesses offline, face to face, from someone they already have a relationship with. When a small business needs a supplier, an accountant, a delivery partner, or a new printer, they do not go tendering it out to strangers. They call the person they trust, and they ask who that person trusts.

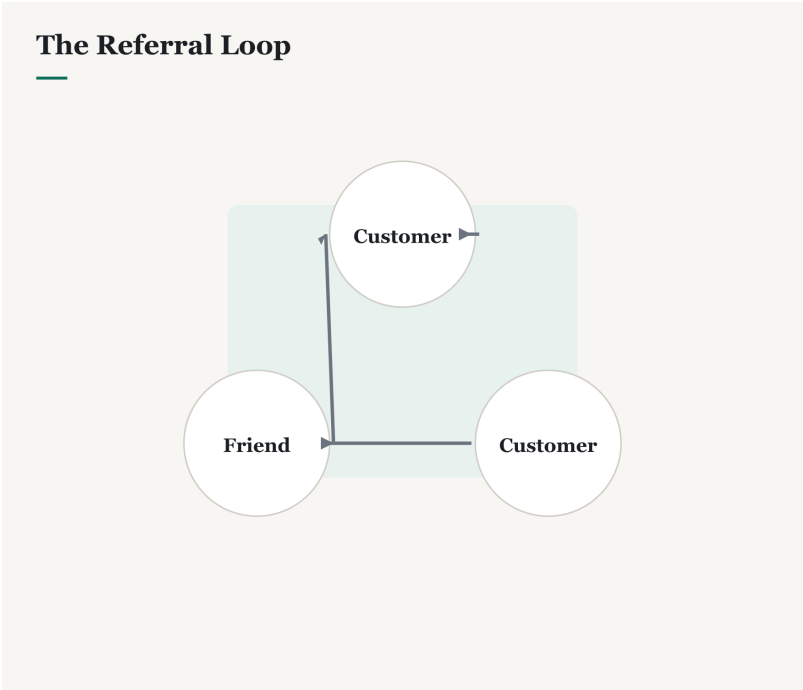


Figure 24.1: The referral loop.

These two numbers mean one thing together. The biggest single force deciding who gets the business in Singapore is not the best advertisement. The lowest price does not decide it either. The network of people who are willing to say your name out loud, in a sentence that begins “you should call...” is the deciding force. That sentence is worth more than every billboard on Orchard Road put together. So if you own a small business, you have a choice about where you spend your energy. You can spend it trying to shout louder into a crowd of 371,000 competitors. Or you can spend it trying to make the people who already know you say your name well. The first path is expensive and it never ends, because every time you stop shouting, the crowd forgets you. The second path compounds. One good recommendation leads to one good customer, who leads to another. That is what we mean when we say a referral economy. Your marketing

budget becomes the goodwill of your existing customers, and that budget does not run out.

The one-line test

Here is the plain question every owner should ask: when a customer walks away from you happy, can they actually describe what you do? Most owners think the answer is yes, and most of them are wrong. Let me test this on you right now. Imagine one of your customers is at a party, or at the office water cooler, or waiting for the kids at school. Someone mentions that they are looking for what you do. Your customer turns to them. What exact sentence comes out of their mouth?

If you cannot answer that question for them, in one clean line, then you have a problem. Because the referral does not actually happen in your shop. It happens later, somewhere else, when your customer is asked to describe you from memory. And people will not repeat a sentence they cannot remember. They will not repeat a sentence that is too long, or too vague, or that makes them sound confused. They will only repeat the sentence that is short enough to carry and clear enough to say with confidence.

This is the one-line test. It is not a fancy idea. The test is simply this: you need to be able to describe your business in a single sentence that a customer could repeat naturally, without stumbling. “He is the guy who fixes the aircon that everyone else gave up on.” “She is the one who does the accounts for small firms like mine.” “They are the people who print the banners for the coffeeshop grand openings.” One sentence. Clear. Specific. Repeatable.

The difference between used and recommended

Now let me draw a line between two kinds of businesses, because almost everything in this chapter turns on it. There are businesses that people use, and there are businesses that people recommend. They

are not the same thing, and the gap between them is the difference between a business that survives on repeat transactions and a business that grows on its own. A business that people use does a good enough job. It is there when they need it. It does not embarrass them. But when the customer is asked to describe it, they hesitate. They say something like “yeah, we use them, they are okay.” That is not a referral. That is a statement of habit. The customer will come back, because it is easy, but they will never put their own name on the line for you. A business that people recommend is different. The customer does not hesitate. When they describe it, they do so with a little heat, a little pride. They say “no, honestly, you have to use this person, they saved me.” That is the sentence that moves business. That is the sentence that brings you customers you never paid to reach.

Let me show you how this works in practice, step by step. You decide your position. You decide the one thing you are best at and the one line that describes it. Let us say you run a printing shop, and your one line is “we do the big banners and signage for shop openings, and we do them overnight.” That is your position. It is specific. It has a promise in it. It is repeatable.

Now you deliver on that position. Every single time you take on a banner job, you treat it like the most important job you have. You are the overnight banner person, and you act like it every day. Now a customer has had a good experience with you. Their shop opening went well. The banner was up on time and it looked good.

Someone at the event asks them who did the banner. Your customer does not have to think. They just say the line you gave them: “there is this guy in the neighbourhood, he does banners overnight, he is reliable.” That is a referral, and it happened almost by itself, because you gave the customer the words. Compare that to the printing shop owner who has no position. When their customer is asked who did the banner, the customer has to think. “Oh, the printing shop... you know, the one near the MRT... they do, uh, printing, I think they do everything actually, I am not sure they still do it...” By the time the customer has finished hesitating, the moment has passed. The referral

is dead, not because the printing was bad, but because there was no clear word to repeat.

So the position is not a branding exercise for people who care about fancy words. The position is a mechanical part of the referral machine. It is the piece that turns a satisfied customer into a speaking customer. Satisfaction alone is silent. Satisfaction plus a clear word is a referral. That is the whole trick, and it is not a small trick. That difference separates a business that pays for every customer from one that grows on its own.

The four moves that earn referrals

Now let us be practical. Here are the plain moves that earn referrals in Singapore, and you can start on all of them this week.

The first move is to be the named specialist. In Singapore, people do not refer to “a general handyman.” They refer to “my uncle who does the tiling.” People refer to a name attached to a thing. So you want to be the person in your trade, in your neighbourhood, in your niche, that everyone names when that thing comes up. This is what a position gives you. It makes you the answer to a specific question before anyone else can open their mouth. There is a comfort in this that matters in Singapore especially. When someone recommends a specialist, they are not just giving a name. They are giving an assurance. “You do not need to shop around, this is the one.” The specialist removes the buyer’s work. That is worth a great deal, because most buyers in this country do not want to shop around for everything. They want a shortlist of one, from a source they trust. Be the one they can name.

The second move is consistency. A referral is a promise about the future. When your customer recommends you, they are saying “this person will do well for you too.” That promise only holds if you are the same today as you were yesterday, and the same next week. One brilliant job followed by one sloppy job does not earn referrals; it earns hesitation. Consistency is the most boring word in this chapter, and it

is the most powerful. It is not glamorous. Nor is it a tactic you can post about. But it is the thing that makes your customers confident enough to put their name on the line. A referral engine runs on confidence, and confidence is built one identical, dependable delivery at a time. If a customer cannot predict what they will get from you, they will never stake their reputation on you.

The third move is to be easy to describe. We covered this with the one-line test, but let me add a practical layer. Your customer is not a marketer. They will not craft a clever sentence for you. So you have to hand them one. Say your one line to them yourself, out loud, so they hear it. Put it in your materials. Repeat it in your shop. Make it so easy to say that the customer does not even realise they are repeating your marketing. You want the referral to feel like their own idea and their own sentence, because that is the sentence they will actually say. A good test: if a customer could describe you to a stranger in the time it takes to walk a short corridor, you are easy to describe. If they have to stop and think, you have lost the referral before the walk is over.

The fourth move is to deliver beyond the promise. Here I want to be careful, because I do not mean overdelivering in a way that bankrupts you or trains customers to expect more than they pay for. I mean delivering the promise so completely, and with such small attentions, that the customer feels looked after rather than just served. It is the small, concrete things in Singapore. Being ready when you said you would be. Calling back the same day. Explaining the job in plain terms so the customer understands what they are paying for and why. Catching a problem before the customer has to complain about it. These are not grand gestures. They are the marks of a business that treats the customer as a person and not as a ticket. And they are precisely the things that make a customer feel safe recommending you, because they know their friend will be treated the same way.

The patterns on real ground

Let me bring this down to real ground, with the kind of businesses you actually see in this country. I am not going to name real owners or real shop names, because their details are private and their situations change. But the patterns here are the patterns I see working, and I want you to recognise your own business in them.

Think of the neighbourhood doctor in a mature estate like Toa Payoh or Bedok. There are clinics on every corner. How does one clinic thrive while another barely survives? Usually it is not the equipment. It is that one clinic has become the named, trusted place for families. When a young family moves into the estate, a neighbour says “go to this clinic, Dr so-and-so is thorough and he does not over-prescribe.” That is the one line. The doctor earns it by being consistent, by explaining things in plain language, by being easy to describe. The whole estate refers families to that clinic, and the clinic does not need to advertise at all. The parents are the marketing department.

Think of the specialist contractor. In Singapore, renovation is a big decision and a big spend, and people are nervous about it. So when a couple wants to redo their kitchen, they do not pick the first company from an ad. They ask their friends who is reliable, who does not cut corners, who finishes on time. The contractor who has become the named, trusted kitchen person wins that job before he even submits a quote, because the referral came with the couple already believing in him. He earned that by delivering clean, reliable jobs for years, and by being easy to describe: “he does kitchens, he is reliable, he finishes when he says he will.” That one line is worth a hundred thousand dollars in avoided advertising.

Think of the small accounting firm that serves other small businesses. Recall that two-thirds of small businesses in Singapore prefer buying offline, from people they trust. The accountant who understands this does not chase clients with cold calls. He serves the coffee shop owner down the street so well that the coffee shop owner tells the hawker in the next block, who tells the hardware shop owner.

One satisfied small business begets another, because small business owners talk to each other constantly, and they trust each other's recommendations. The accountant who is easy to describe, "she does the accounts for small firms, she explains everything so you understand it," becomes the default answer to the question "who does your accounts?" That is the whole referral economy in miniature.

Think of the tuition centre, or the music school. Parents in Singapore talk about tuition like some countries talk about football. When a child does well under a particular teacher, the parent tells every other parent. "My daughter's grades went up, the teacher is strict but good, you should send your son there." That is a referral with real heat behind it. The centre that is easy to describe, "they do the PSLE maths and they get results," fills its slots by word of mouth, while the centre that tries to be "all subjects, all levels, all ages" stays half empty, because nobody can say what it is.

The argument in one paragraph

That is the whole argument of this chapter, and I want to leave you with the single most important question in it, the one you should write down and answer candidly before you do anything else: what is the one line you want your best customer to say about you? If you cannot answer it, go find the answer before you spend another dollar on marketing. Because until you have that line, every happy customer you serve is a referral you are letting slip away. And once you have it, and once it is true, your customers start doing the most valuable work in your business without you even asking. They start speaking for you. That is the referral economy. Not a theory. Not a trend. Just the plain truth that in Singapore, the person who says your name well is worth more than every advertisement you could ever buy. Be the business worth naming.

Chapter 25

Consistency and delivery

This book has returned, again and again, to one word: consistency. It is the quality that turns a claimed position into a held one, that turns a word into a moat, that turns good work into a business that gets referred. It is worth making the discipline of consistency explicit, because it is the least glamorous and most important part of positioning. Consistency means saying the same word, delivering on the same word, and defending the same word, year after year, in every interaction. It is the opposite of drifting. A business that is consistent is one the customer can rely on to be the same thing, every time. And that reliability is exactly what builds the trust a position stands on. Consistency is not the same as being static. A business can improve its product, refresh its delivery, and keep up with the market while holding the same word. Khong Guan improved and expanded, but the word “the biscuit tin” never changed. The improvement serves the word; it does not change it.

A position compounds the way interest does but only if it is not disturbed. Every time the customer hears the same word, and the experience matches it, the association strengthens. After years of this, the word is deeply filed in the customer’s mind, the top rung is held, and it is hard to dislodge. But consistency works in reverse too. A business that changes its word, that lets the product drift from the promise, that says different things at different times, never lets the association form. The mind cannot hold a moving target. Inconsistent businesses do not lose their positions slowly; they never build one at all. The enemy of consistency is the temptation to drift, to chase a trend, to widen the offer, to be everything to everyone.

Every drift is a small erosion of the word. The business that resists the drift, that holds the word steady while improving the delivery,

builds the moat. The other enemy is impatience. Consistency takes time; the association forms slowly, through years of repetition. A business that abandons its word because it did not work in six months has not tested the position, it has abandoned it before the mind could form the association. The discipline is to hold the word long enough for the mind to file it.

The test of whether you are being consistent is simple: can you say, in one line, what you have been for the last three years and would your customers say the same line? If your customers all describe you with the same word you are claiming, you are consistent, and the position is forming. If they describe you differently, or cannot describe you at all, you are drifting, and the position is not forming.

A position does not only live in the sign and the advertising. It lives in the people who serve the customer. The employee is the position, made visible, in every interaction. When the customer deals with your business, they are not dealing with a logo or a slogan. They are dealing with a person. That person's behaviour, tone, and knowledge either confirm the word or break it. The specialist who says "we only work on dementia care" and then acts like a generalist breaks the word. The trusted mover who arrives late and careless breaks the word. This is especially true for a service business, where the person delivering the service is the product. The customer cannot inspect the service; they inspect the person. The employee's behaviour is the proof of the word.

A team that does not understand the position cannot carry it. If the owner knows the word but the staff do not, every interaction the customer has with the staff is a chance for the word to be broken. The customer hears one message from the owner and another from the staff, and the position never forms. The discipline is to make the word known to everyone who touches the customer. A small business has an advantage here, its team is small, and the word can be communicated directly. But it must be done deliberately; it does not happen by accident.

The daily behaviours that confirm the word are the real work. Hire for the word. Hire people who can and will deliver the position,

the specialist who believes in the specialty, the trusted person who is naturally reliable. Train for the word. Teach the team what the word means and how to deliver it. Reward the word. The behaviour that confirms the word should be the behaviour that is rewarded. Lead the word. The owner must model the word. If the owner lives it, the team follows. If the owner drifts, the team drifts, and the word breaks. A position is not fully claimed until the team carries it. The sign says the word; the advertising says the word; but the employee is the word, in every interaction. A small business that builds the word into its team, hiring, training, rewarding, and leading for it, holds a position that the customer feels, not just hears. And that is the position that lasts.

There is a difference between positioning and branding that is widely confused, and the confusion causes small businesses to waste money. Positioning is the word you own in the customer's mind. Branding is the look and feel, the name, logo, colours, tone, that carries that word. The two are not the same, and they must be in the right order: positioning first, branding second, branding serving the position. A small business often starts with branding, picking a logo, a colour, a name, before it has decided what word it wants to own. This is backwards. The branding cannot carry a word that has not been decided. A logo chosen before the position is a logo for nothing in particular; it carries no meaning, and it does not build a position. The correct order is: decide the word first, then build the branding to carry it. The brand is the vessel; the position is the content. A vessel built before the content is decided is a vessel with nothing to hold.

Branding does one job: it makes the word memorable and recognisable. A consistent look, the same colours, the same tone, the same name, helps the customer file the word. Every time they see the branding, they are reminded of the word. This is why a small business should not constantly change its look. A brand that keeps changing its colours and tone never lets the customer form the association. Consistency in branding serves the consistency of the position.

The trap is believing branding can create a position by itself. A beautiful logo, a clever name, a polished look, none of these creates a

word in the customer's mind. They only carry the word that is already there. A small business that spends on branding without a position is polishing a vessel that holds nothing. The other trap is confusing a memorable look with a held position. A business can be highly visible and still hold no word, the customer sees it and forgets it, because it is not anything in particular. Visibility is not position. The branding must carry a word, or it is just noise. Decide the word first. Then build the name, the look, and the tone to carry it, consistently, so the customer files it. And do not mistake a polished look for a held position, the position is the word in the customer's mind, and branding is only the carrier.

Chapter 26

Where a position lives

A position does not have to be national to be valuable. In fact, for most Singapore small businesses, the most powerful position is the one that lives in a neighbourhood. The local word, the one a specific community holds about you, is often the strongest and most defensible position a small business can take, because it is built on the ground where you actually work. Singapore is a city of neighbourhoods, and the neighbourhood is where most small businesses actually live. The hawker centre, the HDB estate, the heartland shops, these are the places a small business serves. And the customer in that neighbourhood buys locally, refers locally, and trusts the local name.

The neighbourhood position is powerful for a specific reason: it is the one position the big players cannot easily take. A chain can be everywhere, but it cannot be the intimate, trusted name of every neighbourhood. The local champion, the hawker who owns “the best laksa in Toa Payoh,” the salon that owns “the salon everyone in the estate trusts”, holds a position built on local trust and local referral that no chain can replicate. It owns a place, not just a category. “The best chicken rice in this hawker centre.” “The maths tutor the families in this estate know by name.” “The clinic the residents trust.” The power of the neighbourhood word is that it is referable in the exact way Singapore buys. When a resident wants food, care, tuition, or a service, they do not ask the internet; they ask the neighbour. And the neighbour names the local champion, the word that lives on the street. The neighbourhood position turns every resident into a potential referral.

Claiming a neighbourhood word is not about being the biggest; it is about being the name the community holds. It is built through consistent local delivery, being visibly part of the community, and being

easy for the community to describe. The local champion is the one who has been good, reliably, for a long time, the stall the regulars trust, the salon the families keep coming back to. And the neighbourhood word must be sayable in one line. “The laksa at the corner.” “The maths centre at the block.” If the community cannot say it easily, they cannot pass it on.

The boundary is that a neighbourhood word is small by design. It is not the national word; it is the local one. But for a small business, that is often exactly right, a defensible local word, held by the community, is a real, growing position. And it is often the first rung: the business that owns the neighbourhood can grow outward from it, the way Song Fa grew from one pushcart into a national name by first owning the local word. The neighbourhood is not a limitation; it is the most defensible ground a small business can stand on. Claim the word your street holds about you, deliver on it consistently, and you have a position no big player can easily take.

Most of this book’s examples are products, curry puff, shoes, chairs, bread. But most Singapore small businesses are services: the tuition centre, the salon, the clinic, the home-care provider, the plumber, the accountant, the mover. Positioning a service is different from positioning a product, and the difference matters. It comes down to one fact: you cannot see a service before you buy it. When you buy a product, you can hold it, feel it, compare it. When you hire a service, you are buying a promise, an outcome you cannot inspect in advance. This is why trust is not one part of a service’s position; it is the whole thing. The customer is betting on you.

Because a service is invisible, the customer cannot judge it by looking. So they judge it by the only evidence available: the name, the reputation, the word they hold. The service business with a clear position gives the customer a handle to hold, “the dementia specialist,” “the PSLE maths tutor,” “the mover you can book online.” The service business without a position gives the customer nothing to hold, and so nothing to choose. This is why the word matters even more for a service than for a product. The customer cannot inspect the service,

so they reach for the name they can trust. If you have not given them a word to trust, they cannot reach for you.

The word has to do more work for a service, because it has to stand in for the invisible quality. The word must name the outcome, not the activity. The customer does not want “home care”; they want a parent cared for. The word should point at the outcome they can trust: “the dementia specialist,” “the single-subject maths tutor who gets results.” And since the service is invisible, the proof must be visible: a track record, a specialist qualification, a clear method, testimonials, a name people repeat. The proof is what lets the customer believe the invisible promise. The word must be referable in one line, because the service only grows by referral. “Go to the maths specialist.” “Call the dementia team.” The one-line test matters more for services than anything.

For a service business, the specialist move is almost always the strongest because it solves the problem of invisibility. “The generalist” is an invisible promise: the customer cannot tell what they are getting. “The specialist in one thing” is a clear, inspectable handle: the customer knows exactly what they are betting on, and the word gives them a reason to trust. A general home-care provider offers “good care”, invisible, unverifiable, unreferable. A dementia-specialist provider offers a specific outcome, backed by specialist proof, visible, verifiable, referable. The specialist word turns an invisible service into a concrete, trustworthy promise. That is why the specialist move is the service business’s most powerful position.

The difficulty is that a service business must actually become the specialist, not just claim the word. The tuition centre that calls itself “the PSLE maths specialist” but teaches everything, to everyone, is lying and the customer will find out, because the service is delivered over time and the gap shows. The word must be backed by the real work: actually teaching only that, actually building the track record, actually being the specialist. A service business that claims a specialist word and delivers on it, consistently, builds the trust that makes the word real. A service business that claims a word it cannot deliver

destroys the trust and loses everything. For a service business, positioning is not an add-on; it is the business.

Chapter 27

Testing and knowing it works

A position is a bet, a decision about a word you believe you can own. Like any bet, it should be tested before you put your full weight on it. A small business cannot afford to commit years to a word that is wrong. You are testing three things at once. Whether the word is actually open, no one else owns it. Whether the customer actually wants it, they would care, use it, and repeat it. And whether you can actually deliver it, you can make the word true. A position passes only if all three hold.

The first test is whether the word is genuinely open. Look at your competitive set and ask: does any strong competitor already own this word in the customer's mind? If a leader firmly holds it, it is closed. If no one holds it, it is open. The check is in the customer's language, not your own. Ask people in your market what word they attach to your competitors. If they name your candidate word for a competitor, it is taken.

If they name nothing, or name your competitor something else, the word may be open. The second test is whether the word matters to the customer. An open word no one cares about is a trap, not an opportunity. You are testing whether the customer would actually use the word, would care about it, and would repeat it. This is the test you cannot do from a desk.

You have to ask. Talk to your customers, the people who already trust you and test the word on them. Say the positioning statement and watch their reaction. Do they lean in? Do they name the problem you are solving? Do they say "yes, that is what I need"? Or do they look confused? Their reaction is the test. The third test is whether you can make the word true. The word must rest on a real capability you can hold and deliver, consistently. Ask candidly: can I actually become

this? Can I train for it, staff it, build the track record, keep the promise? If the word requires a capability you do not have and cannot build, it is a lie that will collapse.

The most reliable way to test all three at once is a small, cheap pilot. Do not rebrand the whole business. Take a small, controlled step: run a small campaign, offer a narrow specialty, serve a specific segment for a short period and watch what happens. Do customers respond? Do they refer the word? Does it hold? The pilot is the test because it uses real customers and real money. A word that works in a small pilot is a word you can build on. A word that does not work in a pilot is a word to drop cheaply, before you have committed years to it. The business that tests its position cheaply before committing is the business that avoids the costliest mistake there is: building years of work on a word the market never wanted.

A small business cannot tell whether its position is working by looking at its own message. It has to read the signals from the customer. There are clear, observable signals that a position is working. They are not the business's own belief; they are the customer's behaviour. The customer says the word back to you. When a customer describes you, do they use your word? "The dementia specialist." "The curry puff place." "The deal." When the customer repeats your word unprompted, the position is held. When a customer passes you on, they pass on the word. "Go to the maths specialist." "Call the dementia team." Referral by the word is the strongest signal, the position is not just held, it is spreading. When a customer comes to you because of what you are, not because you are cheapest, the word is beating the price. And when a customer, faced with a cheaper or bigger alternative, stays with you because you are the specialist, the local champion, the trusted name, the position is held deeply.

Equally candid are the signals that the word is not working. The customer describes you differently. If they name a word that is not yours, you do not own the word you think you do. The position is something else, and you have to listen to what it actually is. The customer cannot describe you at all. If they say "there is this place,

I cannot quite say what it is,” you have no position. The word has not landed. The customer chooses you only on price. If the only reason a customer comes is that you are cheaper, you have no position, you are in a price war, and the position is not doing the work. The customer never refers you. If your customers use you but never pass you on, the word is not referable. The position is not spreadable, and it is not growing.

When the signals say the word is not landing, the response is not to shout it louder. The response is to diagnose. Is the word wrong, not what the customer wants or not open? Is the delivery weak, not making the word true? Is the communication scattered, not saying the word consistently? Each has a different fix: change the word, strengthen the delivery, or tighten the communication. The discipline is to listen to the customer, not to the plan. The customer’s behaviour is the ground truth. A position that is not being held and referred is a position that is not working and the business adjusts, tests again, and keeps the word that the customer actually holds.

Chapter 28

The copycat trap

There is a temptation almost every small business faces, and it is worth naming it directly because it is so destructive. When a small business sees a big, successful player, its first instinct is to copy it, to imitate the leader's look, message, price, and offer. That instinct is almost always wrong, and copying the leader is the surest way for a small business to lose. A copycat does not take the leader's position; it confirms it. When a small business imitates the leader, it tells the customer "I am like them, but smaller and cheaper." The customer already has the leader on the top rung. The copycat has offered the customer no reason to switch, it is a lesser version of the name they already trust.

Copying fails for two structural reasons. First, the leader is better at being itself than you are. The leader has spent years building its position, its trust, its moat. You cannot out-imitate the original at being the original. Second, the customer has no reason to switch. Even if your copy is as good, the customer already holds the leader's name, and the mind does not switch from the recalled, trusted leader to a similar stranger. The copycat is invisible, it offers no word the mind can hold instead. It also gives up the only thing a small business has: its difference. A small business cannot win by being a smaller version of the leader, because it cannot match the leader's scale, reach, or trust. It can only win by being different, by owning a word the leader does not own.

The alternative to copying is differentiating. Do not imitate the leader's word; find the word the leader does not own, and own it. Do not be a smaller version of the leader; be a different thing entirely. This is the flank and the guerrilla, create a category or a corner the leader does not occupy, and be first in it. BreadTalk did not copy the old bakeries; it created designer bread. Banyan Tree did not copy the

hotel chains; it created romantic sanctuary. Secretlab did not copy the cheap gaming chairs; it created the premium tier. The test of whether you are a copycat is simple: if you removed the name and looked only at the offer, could a customer tell you apart from the leader? If not, you are a copycat, and you will lose. If yes, if you own a word, a corner, a category the leader does not, you have a chance. The copycat dies trying to be the leader; the differentiator wins by being itself.

This book has spent most of its length on how to find and hold a position. It is worth closing the practical part with the opposite: the ways a good position is lost. These are not theories; they are the recurring, real ways positioned businesses give away what they built. Knowing them is the first defence against them. The first trap is the founder's drift. The founder starts with a clear word, and then, over time, the business drifts. New offers, new customers, new ideas, each one a small step away from the word. The drift is slow, so it is hard to see. But after a few years, the business that owned "the specialist" is now "the specialist and also a bit of everything else," and the word is gone. The guard is to keep returning to the word and asking, every time the business changes: does this still serve the word, or has it drifted?

The second trap is the growth that dilutes. A business grows, and growth brings the temptation to widen, to take every opportunity, serve every segment, add every offer. The positioned business that says yes to all of it dilutes its word. The customer can no longer say what it is, so it loses the recall, the trust, and the referral that made it grow in the first place. The discipline is to grow by deepening the word, not by widening away from it. The third trap is the premium that stops delivering. A business that owns "the premium" or "the best" is under constant pressure to cut quality to protect margin. The moment it does, the customer's experience stops matching the word, and the position collapses. The premium position is only held by continuous delivery; the brand that stops delivering the quality that justifies the word loses the word.

The fourth trap is the message that scatters. A business that owns a word but keeps changing its message, new slogans, new angles, new campaigns, never lets the mind file it. The word only lands through consistency. The positioned business that scatters its message is a positioned business that never gets the word into the customer's head. The fifth trap is the leader that stops improving. A business that owns the top rung and rests on it, stops improving, stops delivering, stops re-earning, leaves the position open. The challenger finds the weakness the leader left open, and takes the ground. The leader's position is only held by continuous improvement; the leader that stops improving is a leader waiting to be overtaken.

A book about positioning should also be candid about when positioning is not the answer. There are situations where a position, however well chosen, will not save a business, and where the advice is to fix something else first, or not to enter the game at all. The most honest limit is the most fundamental. If the product or service does not meet a real need that customers will pay for, no position will save it. A position claims a word in the customer's mind; it does not create demand that is not there. A business selling something no one wants is not a positioning problem; it is a business problem, and the fix is not a better word but a better offer. The discipline is to be candid about this before investing in a position. Ask: is there real, paying demand for what I offer? If the answer is no, the position is not the issue. Build the offer first; the position can come after.

Chapter 29

Positioning in the age of AI: why the word is now the whole game

This book began with the claim that AI made positioning more important, not less. It is worth making that argument in full, because it is the reason this book exists now, and because the Singapore small business owner is living through the change as it happens.

What AI actually changed

AI has changed what it costs to do the work. Ten years ago, running a small business took a team: someone to do the books, someone to handle the marketing, someone to run the schedule, someone to answer the customers. Each of those was a wage. Today, a one-person company can run all of it with software agents, the books, the marketing, the scheduling, the replies while the owner sleeps. The cost of “doing the work” has collapsed.

That is wonderful for the solo operator. It is also dangerous. Because if everyone can do the work cheaply, then the ability to do the work is no longer a reason for a customer to choose you. The customer does not pick you because you can do the work; everyone can do the work. They pick you for a reason that survives the AI flood.

What AI cannot do

There are three things AI cannot easily copy, and they are exactly the things a position is built on.

AI cannot copy a relationship. The trust a customer has in a named person, the specialist their neighbour vouches for, the local champion they have known for years, is built over time, in person, through repeated good experiences. An AI cannot be the person your neighbour recommends. It cannot hold the trust of a community.

AI cannot copy a reputation. A word in the customer's mind, "the best laksa," "the dementia specialist," "the trusted mover", was earned over years of consistent delivery. AI can generate a message, but it cannot generate the history of good delivery that made the word true. The word is a store of accumulated trust.

AI cannot copy a position in a specific market. The position is local and specific, it lives in the minds of your actual customers, in your actual trade, in your actual neighbourhood. An AI does not have a position; it has the capability to do work. The business that owns the word in its specific market holds something the AI cannot.

What this means for the small business

The arithmetic is simple and it is the whole point of this chapter. **When the work is cheap and everyone can do it, the only durable advantage is the word.** The small business that owns a word in the customer's mind, the specialist, the local champion, the trusted referral, has something AI cannot copy and a big brand cannot easily take. The small business that owns only the ability to do the work is exposed, because the work can now be done by anyone with a subscription.

This is why the guerrilla posture matters more today than ever. These positions are all built on relationship, reputation, and local specificity, which is exactly what AI cannot manufacture. AI makes the generic work cheap, which makes the generic business worthless; it cannot make the trusted local word cheap, because that word is not a service to be automated, it is trust to be earned.

So the Singapore small business owner faces a clear choice, and the AI era forces it. Either you compete on the work and lose, because anyone can do the work now or you compete on the word and win, because the word is the one thing AI cannot copy. Positioning is not a luxury in the AI age. It has become the survival strategy.

The caveat

There is a caveat to this optimism. AI will not destroy the value of all positions; but it will make them harder to hold, because it makes it easier for a challenger to imitate the surface of a position. A challenger can use AI to generate the same style of message, the same look, the same offer, and try to blur your word. This is why the discipline of re-earning matters even more now. The surface can be copied; the accumulated trust cannot. The business that keeps delivering on its word, keeps the relationship, keeps the local reputation, holds the position. The business that relies on the surface, on a slogan, on an ad, is vulnerable, because the surface is exactly what AI can reproduce.

This is the real shape of the AI era for the small business. It is not that positions are worthless. It is that positions built on trust and delivery, the guerrilla positions, are worth more, because they are the only thing AI cannot cheapen. And positions built on surface and slogan are worth less, because the surface is now free for anyone.

Chapter 30

Where the position meets the market

A position does not exist in a vacuum. It meets the market through the choices a business makes every day: how it markets, whether it rents or owns its word, how the customer actually buys, and how the digital front has changed the battle. This chapter brings those together, because they are the places where a position is either delivered or lost.

Positioning and marketing: the order matters

There is a great deal of confusion about the difference between positioning and marketing, and the confusion costs small businesses dearly. Some believe they are the same thing; some believe marketing comes first and positioning follows. Both are wrong. The correct order is fixed: **positioning comes first, and marketing serves it.**

Positioning is the decision about the word you will own in the customer's mind. Marketing is the activity of getting that word into their heads. You cannot do the second until you have done the first. A business that starts marketing before it has a position is spending money to advertise a word it has not decided on; it is shouting in a direction it has not chosen.

The evidence is all around you. A small business that advertises “quality service at competitive prices”, a message with no position, gets nothing for its money, because the customer cannot hold a list and does not recall a business that is not anything in particular. Marketing is the amplifier, not the source. It can only amplify the word that is already there. A business with a clear position gets more from every marketing dollar, because the marketing is pushing one clear word into a mind that can hold it.

Once the position is decided, marketing has a clear job: to get the word into the customer's head, and to reinforce it there. Every piece of marketing, the ad, the post, the sign, the brochure, should say the same word, in the same way, consistently. The marketing that works for a small business is not the mass advertising of the big players. The local, personal, trust-building repetition is where a small business can out-deliver the big players, because it is built on the trust and localness the big players cannot match.

The trap is to do it the other way round, to market first, loudly, and hope a position emerges. It does not. The market will assign you a position whether you choose one or not, and if you have not chosen it, the market's default is usually "the cheapest" or "just another one." Marketing without a position does not build a brand; it announces the absence of one.

Franchise or independent: who owns the word

There is a decision some Singapore small business owners face that touches positioning directly: whether to take a franchise, with its established brand, or to build an independent business, with its own word. The two have very different positions, and understanding the difference helps an owner choose and then position whichever they pick.

A franchise offers a ready-made position. The franchise name, the franchise look, the franchise system, they come with a word already in the customer's mind, at least where the franchise is known. But the truth is that a franchise is a position you rent, not own. The word belongs to the franchisor, not the local owner. The local owner can deliver it and benefit from it, but they cannot change it, and they do not hold it. If the franchise brand erodes, the local owner's position erodes with it. LiHo's founder, Rodney Tang, understood this when he left the Gong Cha franchise: the position belonged to the foreign parent, and when it was sold, his position went with it. He built his own word instead.

30.3. HOW THE CUSTOMER ACTUALLY BUYS: THE JOURNEY A POSITION SITS ON

An independent business has no ready-made word. It must build one, through the positioning process this book has described. This is harder and slower than renting a franchise word. But the independent position is owned. It is built on the owner's own trust, reputation, and delivery. No franchisor can take it, erode it, or sell it out from under the owner. The trade-off is clear: the franchise trades ownership of the position for speed and a ready word; the independent trades speed for ownership of the position.

There is a hybrid path that the strongest brands have used: use the franchise (or the established category) as a start, but build toward an owned word. LiHo started as a franchise, then built its own home-grown word when the franchise could no longer serve it. Charles & Keith started in a commodity market, then built its own product and its own word. The franchise or the market can be the start; the owned word is the goal. The choice between franchise and independent is, at bottom, a choice about who owns the word.

How the customer actually buys: the journey a position sits on

Positioning sits on top of how the customer actually makes a buying decision. For almost every purchase a small business cares about, the customer's journey has the same shape. They do not wake up and decide on the spot; they move through a series of steps, and the position matters at a specific point in that series.

The customer has a need. Something is missing, a service, a product, a fix. The elderly parent needs care. The child needs help with maths. The family wants food. The need is the start.

The customer recalls candidates. Here is where the position lives. When the customer thinks of the need, which names come to mind? This is the recall step, and it is entirely shaped by position. The business that owns a word is the one the customer recalls. The business without a position is not recalled at all; it does not even enter the journey.

The customer narrows to a shortlist. From the names that come to mind, the customer keeps a small set, usually two or three, and discards the rest. The recalled names make the shortlist; the forgotten names never get this far.

The customer compares and decides. On the shortlist, the customer weighs the options, price, reputation, convenience, the word they hold about each. The business whose word matches the customer's need wins; the business whose word is weak or wrong loses.

The customer buys and experiences. The experience either confirms or breaks the word. If the experience matches the position, the word is strengthened. If it does not, the word is damaged.

The customer tells someone. If the experience was good and the word was clear, the customer becomes a referral; they pass on the name. In Singapore's referral-based market, this step is decisive.

Look at that journey and the position matters at exactly two points: **recall** (does the customer think of you?) and **referral** (does the customer pass you on?). Everything else, the product, the price, the experience, is table stakes. If the customer does not recall you, you do not get the chance to be good. The hawker who owns "the best laksa in Toa Payoh" is recalled the moment anyone in Toa Payoh wants laksa; the hawker who is "good food" is not recalled at all. The position is what turns good work into a business that gets found and referred.

The digital front: how platforms and the phone changed the battle

The market battle used to be fought on the street, the shop front, the sign, the store window. Today it is also fought on the phone. The digital front is where the customer now starts most decisions: the search, the review, the app, the platform, the recommendation feed. In Singapore, this front matters; it is a digital-first market, and the customer reaches for the phone before the shopfront.

But the digital front has a specific character that shapes how positioning works there. It is crowded, fast, and full of noise. Thousands of

30.4. THE DIGITAL FRONT: HOW PLATFORMS AND THE PHONE CHANGED THE BATTLE

businesses are visible on the phone, and the customer is flooded with options. This is exactly the environment the mind defends against: it filters, it recalls only the names it already knows, and it rejects the rest.

Here is the truth: the digital front does not replace positioning. It rewards it. The customer does not scroll through every option and compare them; they search, and the search surfaces the names they already hold or that are pushed to them. A business with a clear position is the one the customer recognises in the results, the one they recall, the one they tap. A business without a position is just another result in an endless feed.

A small business has digital tools that, used right, reinforce its position. **Search**, a business that owns a word is the one that shows up when the customer searches for that word. The dementia-specialist is the result when the family searches “dementia home care.” **Reviews**, a business with a clear position earns reviews that confirm the word. Reviews are the digital form of the referral, and like a referral, they only work if the customer can say what you are. **Platforms**, a business on a delivery or booking platform competes on the platform’s terms (price, rating, speed), which can erode a position. The discipline is to use the platform to deliver, not to let the platform’s price-fight replace the position.

The trap is believing the digital front is the whole battle. A small business that spends all its effort on digital visibility, the ads, the feed, the search, without a word behind it is spending money to be visible and forgettable. The other trap is competing on the platform’s terms. A business that fights on price against the big players on a delivery or booking platform loses, because it cannot win that fight. The platform is where the transaction happens; the position is what gets the choice.

The digital front and the physical front are not separate battles; they are one battle fought on two fronts. The position is the strategy for both. A business that owns a word is the recalled name whether the customer is on the street or on the phone. The digital tools amplify

the word; they do not replace it. And the physical trust, the local relationship, the personal delivery, is what the digital front cannot copy, because it is the ground the big players and the algorithms cannot manufacture.

Part V

PART FIVE: FINDING YOUR OWN POSITION

Chapter 31

Repositioning: when and how to change your position

Most of this book has been about claiming a position. But there is a harder question that a business eventually faces: what if the position is wrong, or has been overtaken by the market? This is the question of repositioning.

When repositioning is needed

Repositioning is needed when the position no longer serves the business. The signs are clear:

The word no longer matters. The customer's needs have moved on, and the word you own is no longer what they want. A business that owned “the cheapest” in a market that now wants quality needs a new word.

The market has moved past you. New entrants have taken your ground, or the category has changed so much that your position is obsolete.

The position was wrong from the start. The word you claimed was never actually open, or you could not deliver on it, and the customer never held it. You are effectively unpositioned and need to find a real word.

The difficulty of repositioning

Repositioning is hard for one structural reason: **the mind resists change.** As established, once the mind holds a brand on a rung, “this is the cheap one”, it is very hard to move it. The customer has filed you in a box, and they do not want to re-file you.

This is why the great brands got the position right early, and why repositioning is best done when the business is still small and the mind has not firmly fixed the old word. A business that has been “the cheap one” for twenty years will struggle to become “the premium one,” because the mind is full of the old word.

How to reposition

When repositioning is genuinely needed, it follows a disciplined path:

First, acknowledge the old word is not working. Be candid that the current position is not delivering. This is the hardest step, because businesses cling to their history.

Second, find the new open word. Use the same process as finding a first position, map the customers’ minds, find the word no one owns, check it is not a trap. The new word must be genuinely open and genuinely deliverable.

Third, commit fully. Repositioning does not work half-way. The business must stop saying the old word and say the new one everywhere, consistently, for a long time. The mind will not re-file the brand quickly; it takes sustained, consistent repetition.

Fourth, re-earn it. The new position is won the same way the first one was, by delivering on the word, consistently, until the customer holds it.

The warning

Repositioning is usually a last resort, not a first move. It is far easier to claim the right position at the start than to change it later, because the mind is full and resistant. A business that is tempted to reposition should first ask whether its current position is actually being re-earned, often the problem is not the word but the discipline, and the fix is consistency, not a new word.

Chapter 32

Researching your market: how to find the open word

Everything this book has said about positions, the ladder, and the open slot depends on one thing you cannot get from theory: knowing what is actually in your customers' minds. You cannot decide your position from a book or a hunch. You have to go and look. This chapter is about how to do that looking, the practical work of researching your specific market.

Why you cannot guess

The most common mistake a small business makes is guessing its position. It decides, in the owner's head, what it wants to be, "we are the premium one," "we are the trusted one" and announces it. But a position is not what you want to be; it is what the customer already believes. If the customer does not hold the word, you do not have the position, no matter what you say.

This is why you must research. The open word, the position genuinely available to you, is not found by introspection. Looking at your actual market, your actual competitors, and your actual customers is how it is found. The brands in this book did not guess their positions. They looked at their market and found the word the incumbents had left open.

What you are looking for

Your research has one goal: to find the open word, the position no incumbent owns, in your category, with real demand and money behind it. To find it, you need to know three things.

What is taken? Which words do your competitors already own in the customer's mind? Not which words they claim, but which words the customer actually attaches to them. If a strong competitor already owns "the cheapest," that word is closed to you. If a leader owns "the premium," that is closed too. You cannot take a word that is already firmly held.

What is empty? Which words does no one own? The empty word is your opportunity. It may be a specialty no one claims, a segment no one serves, a quality no one owns. The empty word, if it has demand behind it, is the open slot.

What do customers actually want? Which words matter to your customers? An empty word no one cares about is not an opportunity; it is a trap. The open word must be one the customer would actually use, care about, and repeat. You are looking for the intersection: a word that is empty, and that customers want.

How to look

The research is not a big expensive exercise. For a small business, it is a handful of candid, direct conversations and observations.

Ask your customers. Talk to the people who already buy from you. Ask them what made them choose you, what word they would use to describe you, what they would say to a friend who asked. Their answers tell you the word you already hold and what is missing. Then ask what they almost chose instead, and what word they attach to that alternative. That tells you what is taken.

Ask your lost customers. The people who chose someone else are the most candid source of what the competitor holds. Ask them why they chose the other business. Their answer is the competitor's position.

Look at your competitors candidly. Go and see what the alternatives actually say, how they present themselves, what word they claim. Then ask whether they can actually hold that word, often the

incumbent claims a word but does not deliver it, and the word is more open than it looks.

Listen to the referrals. In Singapore's referral market, listen to what people actually say when they recommend a business. The phrase they use is the position. When a neighbour says "go to the maths specialist," the specialist owns the word. When a neighbour says "there is this place, I cannot quite remember," no one owns a word and there is an opening.

The difficulty

The difficulty is that your own opinion is not the research. You will be tempted to believe you already know the answer, or to hear only what supports what you want. The discipline is to let the customer tell you. Their mind is the ground truth, and it is the only ground truth.

The other difficulty is that the open word may not be the one you hoped for. You may discover the word that is genuinely open is not "premium" but "specialist," not "the biggest" but "the one that does one thing." The discipline is to take the word that is actually open, not the one you wanted. The brands in this book took the open word, not the flattering one.

The reward

Do the research candidly, and you find the open slot, the word no one owns, that customers want, that you can actually deliver. That is the single most valuable piece of information a small business can have. It is the difference between fighting for a share of a crowded word and owning an open one. The research is the work that finds it.

The research that found the open word: two commissioned studies

It is worth showing what the research I do actually looks like, because the method is the same whether the client is a packaging distributor, a supplement, a bubble tea brand, or a salad shop. Two studies I was asked to do, one for a bubble tea brand and one for the salad market, show the discipline in action.

The first study was for an entrepreneur who was thinking of buying **Cai Ca**, a Singapore bubble tea brand. He had been offered the chance to buy it, and he asked me for a second opinion. Cai Ca had taken over six shops that used to be **Gong Cha** (a big bubble tea chain) after Gong Cha stopped operating in Singapore. Cai Ca was started by a former Gong Cha chief executive.

The question was not whether bubble tea sells, it clearly does. The question was what word Cai Ca could own, and whether that word was open. So I studied the whole category: the trends, the player, the words they each owned.

Here is what the industry looked like. **Premium craft tea** was the category's growth engine, whole-leaf tea and fresh milk, served in beautiful cafes, with a brand telling you it was not really "bubble tea" but a "tea expert." The biggest chain, **CHAGEE**, was scaling fast, calling itself the "tea expert" and aiming to be the "Oriental Starbucks", tea elevated the way coffee was. Every loud word in the market was already taken. "**The craft and aesthetic**" was taken by CHAGEE and HEYTEA. "**The homegrown local brand**" was taken by LiHO and KOI. "**The indulgent sugar bomb**" was taken by Tiger Sugar and The Alley. "**The cheapest**" was taken by Mixue. "**The healthier coconut drink**" was taken by Mr Coconut. Even "**the old familiar legacy tea**" belonged to Gong Cha, which was about to return in 2026.

The research also found the untaken spaces, the gaps where no one had claimed a word and real demand sat behind it. Those open slots were the reason a buyer would pay for the business at all. But in the interest of my client, I cannot disclose them here.

32.6. THE RESEARCH THAT FOUND THE OPEN WORD: TWO COMMISSIONED STUDIES

The second study was for an entrepreneur who is thinking of opening a salad-shop business. He asked whether I could help find the white spaces in the market. So I studied the Singapore salad market from the ground up, the players, the prices, the reviews, the words each one owned.

The market split into two very different territories, and both were crowded in their own way. **The CBD is crowded at every tier**, dozens of salad shops fighting for the same office-worker lunch. And the words were taken. **“Health and wellness”** was taken by SaladStop!, the biggest name. **“Real, seasonal food”** was taken by The Daily Cut. **“Superfood grains with local flavours”** was taken by Grains & Co. **“Best value in the CBD”** was taken by Supergreen. **“Healthy that does not feel like a sacrifice”** was taken by Six Hands. **“The cheap value wrap”** was taken by the heartland chain Stuff’d, and **“the cheapest salad bowl”** was taken by the hawker stalls. Anyone trying to enter “salad” head-on was walking into a wall of already-held words.

The research also found where the market was thin. **Outside the CBD, the premium healthy-bowl tier was nearly empty**, the big CBD names had almost no presence there. The value tier was owned, but the premium bowl that is actually near you, not just near your office, was under-served. And inside the CBD itself there were time-of-day and segment gaps, the dinner crowd, the macro-tracking fitness crowd, that nobody had claimed. Those were the open white spaces. But in the interest of my client, I cannot name them in this book.

The lesson of both studies is the same, and it is the lesson of this chapter. The research did not start with a word the entrepreneur wanted. It started with the market, and it let the market reveal the words that were open. In both markets I could tell you exactly what was taken, the obvious, flattering, crowded words. And the value was precisely what the client needed me not to print, the open word, the empty space with demand behind it, that the incumbents had left open and that my client could actually own. That is what the research is for: to find the word that is empty, that customers want, and that you can actually deliver.

Chapter 33

The process of finding a position

There is a disciplined method to finding your position, and it is not a black box. It has a shape. Here it is, in plain terms.

Step one: know your competitive set

Identify the actual businesses competing for your customer. Not the whole industry, the specific five or twenty businesses the customer actually compares you against. This is the ground you are fighting on.

The mistake most small businesses make is defining their competition too broadly. A tuition centre thinks it competes against all tuition centres; in truth it competes against the specific five centres the parents in its area actually consider. A salon competes against the specific salons its clients might switch to. Your competitive set is not the industry; it is the real set of alternatives your customer weighs.

To know your competitive set, ask: when a customer is deciding to spend the money the way you want them to, what are the actual alternatives they consider? Not the ones you wish they considered, the ones they actually do. That is your competitive set.

Step two: map your customers' minds

Find out what word your customers already associate with your category and your rivals. What is taken? What is empty? What do they think of when they think of your need? This is the ladder you are trying to climb.

This is the step that is hardest to do from memory, because it requires actually asking your customers. You need to know: when they

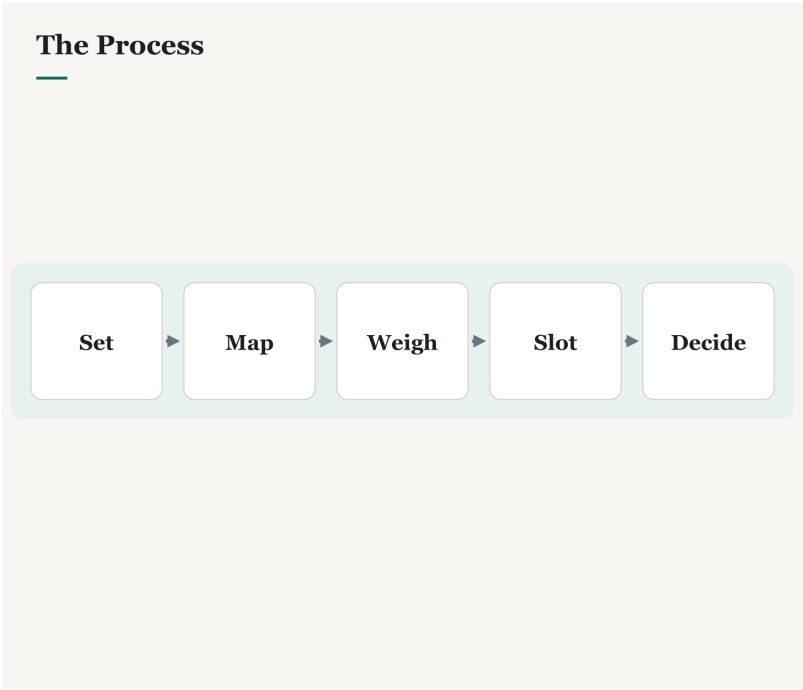


Figure 33.1: The process.

think of [your need], which names come to mind? What word do they attach to each? Which word is associated with no one? The open word is your opportunity.

The mind map is the ground truth of positioning. You cannot decide your position from a theory; you have to know what is actually in your customers’ heads. This is why the great brands studied their market, they knew the open word because they knew what their customers held in their minds.

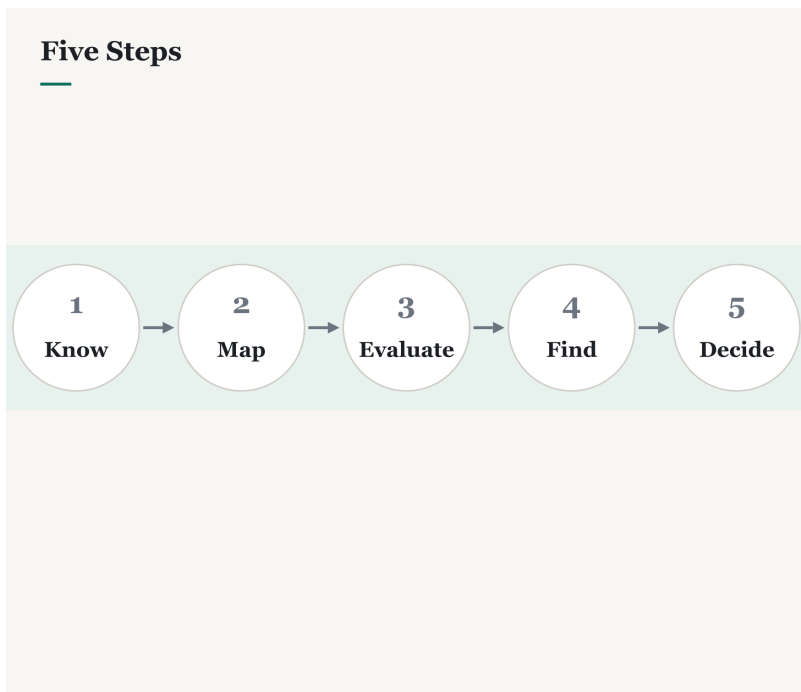


Figure 33.2: The five-step process.

Step three: evaluate every way to stand out

Do not pick one idea. List every viable way you could differentiate, every word you could own and score each one against your actual market. Which is winnable? Which is a copycat trap? Which is genuinely open?

The mistake is to fall in love with one idea before testing it against the others. There may be several words you could own; the question is which one is genuinely winnable, in your market, at your price, with your capability. Score each candidate candidly:

- Is the word already taken by a strong leader? If so, it is a trap.
- Can you actually deliver on the word? If not, it is a lie that will collapse.

- Is the word big enough to sustain a business, but narrow enough to defend? If it is too broad, you cannot own it; too narrow, it cannot sustain you.
- Does the word matter to your specific customers? It must be a word they would actually use and repeat.

Step four: find the open slot and the traps

The open slot is the word no incumbent owns, in a category with money and demand. This is where a brand can be made, exactly the pattern the brand stories showed: the curry-puff word was open, the designer-bread category was open, the premium gaming-chair tier was open. The open slot is where you can be first.

But beware the traps. A word can look open and be a trap: because the leader would crush you if you claimed it, because the word is too generic to own, or because no customer actually cares about it. The discipline is to distinguish a genuinely open slot from a trap that looks open.

Step five: decide your position and make a plan

Your position is the single word you will be known for, the word a customer would use to recommend you. “The dementia-specialist,” not “we do care.” “The single-subject maths tutor,” not “we do tuition.” The clearer and more specific the word, the more referable it is, and the more it can be defended.

Then make the plan to claim it: what you will say, what you will deliver, how you will be consistent, how you will defend it. And commit to re-earning it, because the position is not won once; it is re-earned every year as the market moves.

Chapter 34

Writing your positioning statement

A position is a word in the customer's mind. But to act on it, to claim it, to say it consistently, to build the business around it, you need to write it down. This is where a positioning statement comes in.

A positioning statement is a short, plain set of sentences that captures who you are for, what word you own, why it is true, and why the customer should choose you. It is not a slogan for customers; it is a discipline for you. It keeps you consistent. When you have to decide whether a new product, a new price, or a new message fits, you check it against the statement.

The parts of a positioning statement

A positioning statement has four parts, each answering a plain question.

For whom? Who is your customer? Be specific, not “everyone,” but the actual person you serve. The dementia patient's family. The PSLE parent. The time-poor single professional. The serious gamer. The clearer the “for whom,” the clearer everything else.

We are the what? What word do you own? This is the position, the single word or short phrase you want the customer to hold. “The dementia-specialist carer.” “The single-subject maths tutor.” “The best gaming chair.” One word. If you cannot say it in one line, you do not have it yet.

Because why? What proof supports the word? Why is the word true for you? “Because we do only this, and we have done it for a decade.” “Because we design and test every product ourselves.” The proof is what makes the word true and defensible.

The Positioning Statement

FOR

[customer]

I AM

[word]

BECAUSE

[proof]

SO

[benefit]

Figure 34.1: The positioning statement.

So the customer? What does the customer get? The benefit that follows from the word, the reason they choose you. “So you get a specialist who has done this a thousand times.” “So you get a chair that outlasts every other.” The benefit connects the word to the customer’s need.

Put together, a statement reads like this: *For the family caring for a parent with dementia, we are the dementia-specialist home-care provider, because we work only on dementia care and have done it for a decade, so you get a carer who has handled your situation many times before.*

That is a positioning statement. It names the customer, the word, the proof, and the benefit. It is specific enough to guide every decision and to be repeated by a satisfied customer.

The tests of a good statement

A positioning statement is not finished when it sounds good. It must pass tests.

The one-line test. Can a customer say what you are in one line? If the statement cannot be compressed to a single referable line, it is too complicated. The customer must be able to repeat it to a neighbour.

The truth test. Is the word actually true, and can you deliver it? A statement that claims something you cannot deliver will collapse. The word must rest on real proof.

The open-word test. Is the word genuinely open in your market or already taken by a stronger player? If it is taken, the statement is a trap, not a position.

The customer test. Does the word matter to your specific customer? It must be a word they would actually use, care about, and repeat.

The consistency test. Can you say this word everywhere, consistently, for years? If the statement is not something you can commit to repeating without wavering, it is not your position.

Why the statement matters

The positioning statement is the bridge between understanding and doing. Everything in this book gives you the understanding. The statement turns it into a working discipline, the one page that keeps you consistent, that you check every decision against, that guides what you say and how you deliver.

The brands in this book, whether or not they wrote it down, were each running on a positioning statement. FairPrice: *for the ordinary Singaporean family, we are the trusted default supermarket, because we are the people's cooperative, so you can count on fair prices.* Tiger Balm: *for anyone with an ache or a pain, we are the relief, because we have made it better than anyone since the 1920s.* Each one was clear on the customer, the word, the proof, and the benefit. That clarity is what they built on.

Write yours. It is the single most useful page you will create for your business.

Chapter 35

Putting it together: the one-page position

By now the reader has the full theory. The most useful thing a small business can take from this book is a single, concrete artifact: the one-page position. This chapter shows what it is and why it matters, and it is the natural bridge from reading this book to actually doing the work.

What the one-page position is

The one-page position is a single page that captures, in plain words, everything a small business needs to hold its position. It is not a marketing document to show customers; it is a working document for the owner and the team. It keeps everyone consistent. It is the reference every decision is checked against.

One Page

My customer

My word

My proof

My benefit

Figure 35.1: The one-page position.

What goes on it

The one-page position has five lines, each answering a plain question.

Who is our customer? The specific segment you serve, the dementia family, the PSLE parent, the serious gamer. Not “everyone”; the one you choose.

What word do we own? The single word or short phrase, the specialist, the local champion, the deal, the trusted name. One word, sayable in one line.

Why can we own it? The proof, the track record, the specialty, the capability that makes the word true. The reason the word is defensible.

How do we deliver it? The consistent behaviours that make the word real, the specialist work, the reliable service, the trusted delivery, in every interaction.

How do we re-earn it? The discipline of keeping the word current and strong, improving, staying narrow, saying it consistently, defending it against the drift.

Why it matters

The one-page position matters because it turns the whole theory into a daily discipline. It is the answer to every decision. Should we add this offer? Does it serve the word? Should we take this customer? Does it blur the word? Should we change our message? Does it say the word? The one-page position is the reference that keeps a business consistent, and consistency is what holds a position.

The brands in this book, whether or not they wrote it down, were each running on a version of this one page, clear on the customer, the word, the proof, the delivery, and the re-earning. That clarity is what built them. Write yours. It is the single most useful page a small business will create and it is the practical place this book ends.

Chapter 36

Worked example: the hawker who specialises

The hardest case in this book is the hawker. Book 1 showed why: food and beverage is the most brutal industry in the map. The value of the average F&B business is the lowest of any sector. The five-year survival rate is under a quarter for the ones with no particular edge. The competition is dense and undifferentiated, a hundred stalls selling the same ten dishes at the same ten dollars. And the reality is that specialising in one dish is financially frightening, because it means betting the whole stall on a single thing.

So this example does not pretend the fear is not real. It walks a real-shaped hawker through the five steps, and it is candid about what specialising costs and what it buys.

The business

Let us take a hawker in a heartland coffee shop who has been selling mixed rice for eight years. He is good. His regulars come back. But he is not growing, and he is tired of the grind, the early mornings, the thin margin, the sense that he is one of fifty mixed-rice stalls in the estate, interchangeable with all of them. He has a following, but it is a following of convenience: people who eat there because it is near, not because it is him.

He is considering the scariest move in his trade: dropping the mixed rice and specialising in one dish. The fear is real. If he specialises and the dish does not take, he has thrown away eight years of regulars and a working stall. The rent does not bend. The family depends on the income.

Step one: know his competitive set

His real competitors are not “all hawkers.” They are the specific alternatives a hungry person in his estate actually chooses between at lunch: the other mixed-rice stalls, the chicken-rice stall, the noodle stalls, the fast-food chain across the road, and the food-delivery apps on the phone. That is the ground he is fighting on.

The observation: in that set, he is invisible. A person choosing lunch does not say “I want the mixed rice from the stall near the drinks counter.” They say “I want mixed rice” and take whichever is closest. He has no word that separates him from the other mixed-rice stalls.

Step two: map the customers’ minds

He asks his regulars what word they attach to his stall. The answers are candid and deflating: “cheap,” “fast,” “near my office,” “the usual.” None of them is a word that would make a person travel across the estate for him. None of them is a word he owns. “Cheap” and “fast” are owned by every stall in the coffee shop.

He also asks what word they attach to the stalls they would cross the island for. The answers are specific: “the best char kway teow in the east,” “the laksa that tastes like my grandmother’s,” “the fish soup that is always fresh.” Those are words. Those are positions. Nobody says that about his mixed rice.

Step three: evaluate the differentiators

He lists every way he could stand out, and scores each against his market.

Cheaper. He cannot win this. His margin is already thin, and the stall next door can match any price he cuts. A price war in a capped market is a slow bleed.

Faster. He is already fast. But “fast” is not a word a person repeats to a neighbour. “Fast” is a convenience, not a position.

The dish. This is the one with real power. If he owns a specific dish and owns it so well that people travel for it, he has a word no other stall in the estate can take. The fear is that specialising means losing his regulars. The counter is arithmetic: a stall that owns 30 percent of the people who want that one dish is healthier than a stall that owns 0.1 percent of everyone who wants mixed rice.

Step four: find the open slot and the trap

He looks at the estate. There are three mixed-rice stalls, four noodle stalls, two chicken-rice stalls. Nobody owns a specific dish. The dishes people travel for, the char kway teow, the laksa, the fish soup, are not in this coffee shop. The slot is open: a specific dish, done so well that people cross the estate for it.

The trap is choosing a dish that is already owned nearby. If the best char kway teow in the east is two blocks away, he cannot take that word. He needs a dish that is open in his area, one nobody nearby owns.

Step five: decide the position and make a plan

He decides. He will specialise in one dish, a specific one that is open in his area, that he can make better than anyone nearby, and that people will travel for. He writes his positioning statement: *for anyone who wants [the dish], I am the [dish] in this estate, because I have made it better than anyone here for years, so you can count on it being worth the trip.*

The plan is candid about the risk. He does not throw away the mixed rice overnight. He runs a pilot: he keeps the mixed rice, but he makes the one dish his signature, names it on his sign, and tells his regulars. He watches whether people start coming for the dish. If they do, he narrows further. If they do not, he has lost a few months, not the stall.

The pilot is the version of the guerrilla move. It is the difference between betting the stall and testing the word. A hawker who specialises overnight and fails has thrown away eight years. A hawker who tests the word cheaply, with a signature dish, a sign, and a message to his regulars, has spent a few months and learned whether the word is real. The book does not ask him to gamble; it asks him to test.

The arithmetic of specialising

The fear that specialising means starving deserves a straight answer, because it is the reason most hawkers never try. The arithmetic is this. A mixed-rice stall in a heartland coffee shop serves maybe two hundred people a day, most of them regulars of convenience. It owns a tiny share of a huge, undifferentiated category, 0.1 percent of everyone who wants mixed rice. Its margin is thin, and it is squeezed by rent and by the stall next door.

A specialist stall that owns one dish serves fewer people a day, maybe a hundred and fifty but it owns a large share of a specific need. The people who want that dish do not come because it is near; they come because it is the dish. They travel. They bring friends. They tell neighbours. The specialist's margin is higher, because the dish is worth the trip and the customer does not compare it to the stall next door.

The comparison is not “two hundred customers versus a hundred and fifty.” It is “0.1 percent of everyone versus 30 percent of the people who want this dish.” The specialist is healthier, because the word is the moat. The mixed-rice stall is interchangeable; the specialist is not.

What changed

The answer is that nothing changes overnight. What changes is the direction. Instead of being one of fifty interchangeable stalls, he is now the stall with a word. The regulars who came for convenience start coming for the dish; the people who would have walked past start crossing the estate. The word gives him the one thing the brutal

F&B industry does not give an interchangeable stall: a reason to be chosen beyond price. And the fear, that specialising means starving, is real, which is why the pilot matters. The book does not tell the hawker to bet the stall. It tells him to claim a word and test it cheaply, before committing. That is the version of the guerrilla move in the most brutal industry in the map.

Chapter 37

Worked example: the tuition centre that owns a word

The tuition case is the opposite of the hawker case. Book 1 showed that private tuition is a billion-dollar category with no dominant owner. It is fragmented, a thousand centres, most of them interchangeable, none of them owning the family's decision. That is the open-word case: a category with real money and no leader, where a word is genuinely free to be taken.

The business

Let us take a tuition centre in a heartland estate that has been running for six years. It teaches the standard subjects, English, maths, science, to primary and secondary students. It is a good centre. The parents are happy. But it is not growing, and the owner knows why: she is one of a dozen centres in the estate offering the same thing. When a parent asks “which tuition centre?” the answer is “the one near the MRT,” not a name.

She has a real asset she is not using. She has a maths teacher who is exceptional, the students who come to him improve dramatically, and the parents talk about it. But the centre does not market that. It markets “tuition for all subjects,” which is the same thing every centre says.

Step one: know the competitive set

Her real competitors are not “all tuition centres.” They are the specific alternatives a parent in her estate actually considers: the other centres, the home tutors, the online platforms, and the school’s own remedial classes. That is the ground.

The observation: in that set, she is invisible. A parent choosing tuition does not say “I want the centre with the exceptional maths teacher.” They say “I want tuition” and pick the nearest or the cheapest or the one a neighbour mentioned. She has no word that separates her from the other centres.

Step two: map the customers’ minds

She asks her parents what word they attach to her centre. The answers are candid: “convenient,” “near home,” “the teachers are nice.” None of them is a word that would make a parent travel across the estate. None of them is a word she owns.

She asks what word they attach to the centres they would travel for. The answers are specific: “the one that gets kids into the top schools,” “the one that fixes maths,” “the one that is strict but fair.” Those are words. Those are positions.

Step three: evaluate the differentiators

She lists every way she could stand out.

Cheaper. She cannot win this. There is always a cheaper centre, and competing on price in a fragmented category is a race to the bottom.

More subjects. This is the trap. Adding more subjects makes her more like every other centre, not less. The mind cannot hold “the centre that does everything.”

The maths specialist. This is the one with real power. She has an exceptional maths teacher, and the parents already talk about him. If

she owns “the maths centre”, the place parents send a child who is struggling with maths, she has a word no other centre in the estate can take. The category is fragmented, so the word is genuinely open.

Step four: find the open slot and the trap

She looks at the estate. There are a dozen centres, all offering “tuition for all subjects.” None of them owns a specific subject. The word “the maths centre” is open. The parents who need maths help have no name to reach for.

The trap is the fear of narrowing. If she becomes “the maths centre,” she risks losing the English and science students. The counter is the same arithmetic as the hawkker: a centre that owns “the maths centre” in the estate is healthier than a centre that owns 0.1 percent of “all tuition.” The parents who need maths will travel for her; the parents who need English will find another centre, and that is fine.

Step five: decide the position and make a plan

She decides. She will own “the maths centre” in her estate. She writes her positioning statement: *for parents whose child is struggling with maths, I am the maths centre in this estate, because I have the teacher who fixes maths, so your child can improve.*

The plan is candid about the transition. She does not drop English and science overnight. She leads with maths, the sign, the marketing, the word and she lets the maths reputation pull the other subjects along. She tells her parents: “we are the maths centre now.” She watches whether the maths students start coming from further away. If they do, the word is working.

The word in a fragmented category

The tuition case is the open-word case, and it is worth understanding why the word is so freely available here. The parents who need help

have no name to reach for. They ask around, they try a centre, they hope.

That fragmentation is the opportunity. In a concentrated category, the banks, the airline, the telecom, the word is owned by the giants, and a small player cannot take it. In a fragmented category like tuition, the word is sitting free. The centre that claims a specific word, the maths centre, the PSLE specialist, the science centre, takes a slot that is genuinely open. It does not have to beat a leader, because there is no leader to beat. The only thing standing between the centre and the word is the fear of narrowing.

What changed

The change is the word. Instead of being one of a dozen interchangeable centres, she is now the centre with a name, the maths centre. The parent whose child is struggling with maths now has a specific place to go, and they will travel for it. The word gives her the one thing a fragmented category does not give an interchangeable centre: a reason to be chosen beyond convenience. And the category is fragmented, which is why this is the open-word case: there is a billion dollars in the category and no one owns the family's decision. The centre that claims a specific word takes a slot that is genuinely free. That is the flank, and it is available to a small business that cannot beat the leader, because in tuition there is no leader to beat.

Chapter 38

Worked example: the retailer facing the e-commerce wall

This is the case where the answer may be that no good position exists. Book 1 showed that retail is bifurcating: the aggregate is still growing, but the growth is at the two ends, the digitised formats and the ageing-adjacent services while the legacy formats contract. Department stores are down. The online share of retail is climbing toward a fifth. A small retailer selling a commodity that can be bought cheaper and more conveniently online is facing a wall, not a door.

So this example does not pretend there is always a way to win. It walks a real-shaped retailer through the five steps, and it is candid about the possibility that the answer is flank or exit, not fight.

The business

Let us take a small electronics retailer in a heartland mall. He has been there for fifteen years, selling phones, accessories, and small appliances. He has a loyal local customer base. But the last three years have been brutal. The big online platforms sell the same products cheaper, with delivery to the door. The mall footfall is down. His margin is being squeezed from both ends, the platforms above him, the rent below him.

He is asking the question this book began with: I work hard, I am good at what I do, so why am I not getting richer? The answer is that he is selling a commodity in a category that has moved online, and no amount of hard work changes that.

Step one: know his competitive set

His real competitors are not “all electronics retailers.” They are the specific alternatives a customer actually chooses between: the online platforms (Shopee, Lazada, the big e-commerce sites), the big electronics chains, and the other small shops in the mall. That is the ground.

The observation: in that set, he is at a structural disadvantage. The platforms have the price, the range, and the convenience. The chains have the scale and the brand. He has the mall location and the local trust but for a commodity product, the customer does not need the local trust. They need the price.

Step two: map the customers’ minds

He asks his customers what word they attach to his shop. The answers are candid and painful: “convenient,” “nearby,” “they have the accessories.” None of them is a word that would make a customer pay more than the platform price. None of them is a word he owns.

He asks what word they attach to the platforms. The answers are specific: “cheap,” “everything,” “delivered.” Those are the words winning the category. He cannot take “cheap” from the platforms, and he cannot take “everything.”

Step three: evaluate the differentiators

He lists every way he could stand out.

Cheaper. He cannot win this. The platforms have scale he will never match. Competing on price against them is suicide.

More range. He cannot win this either. The platforms have a hundred times his range.

The service. This is the one with real power but only if it is a service the platforms cannot deliver. “We help you set it up.” “We fix it.” “We install it.” “We take it back if it does not work.” These are things a

platform cannot do, because they are physical, local, and personal. The question is whether the customer will pay for them.

The niche. This is the other real option. Instead of selling everything, he sells one thing the platforms do not serve well, the specialist product, the hard-to-find item, the thing that needs a human to explain it.

Step four: find the open slot and the trap

He looks at his market. The commodity electronics are gone, the platforms own them. But there are two open slots. The first is the service slot: the shop that is not selling a product but a service, setup, repair, installation, aftercare, that the platforms cannot deliver. The second is the niche slot: the specialist product the platforms do not serve well.

The trap is refusing to see the wall. If he keeps selling commodity phones at platform prices, he is fighting a war he cannot win. The question is not “can I win here?” It is “is this ground worth winning?” For commodity electronics, the answer is no.

Step five: decide the position and make a plan

He has two options, and the book does not pretend they are the same.

Option one, the flank. He narrows to a service position: “the shop that sets it up, fixes it, and stands behind it.” He stops trying to match the platform price and instead charges for the service the platform cannot deliver. This is a real position, and it is available to him because it is physical, local, and personal. The risk is that the service market is smaller than the product market, and he may not make enough to cover the rent.

Option two, the exit. If the service market is not big enough to sustain him, the answer is that no position will save this shop. The category has moved online, the mall footfall is down, and the rent does not bend. The smart move is not to keep fighting in a market where the giants have closed every door. Taking the skills he has, the product

knowledge, the customer trust, the local presence and applying them where the ground is actually open is the answer. That is not giving up. It matches what every successful small business in this book did: it looked at where the giants were strong, decided not to fight there, and found the corner where its own strength mattered.

The hardest lesson in the book

The retailer case is the hardest admission in this book, because it is the case where the answer may be that no position exists. The book has spent its length arguing that a position is the way a small business wins. The retailer case is the limit of that argument: in a category that has moved online and left the small retailer behind, a position may not be enough.

This matters, because a book that never admits its own limit is not a book to be trusted. The reader who knows retail, who has watched the platforms take the category, will stop trusting the book if it pretends the retailer can always win. The candid version is the one that says: the commodity is gone, the wall is real, and the choice is to find the corner where your strength matters, or to take that strength somewhere the ground is open. That is not a failure of positioning. It marks the difference between a position and a miracle. Positioning is powerful, but it is not magic. It cannot create demand, cannot replace delivery, and cannot make a market pay. In a category that has moved online, the answer may be that the position is not in this shop at all. The retailer facing an e-commerce wall has two real options, flank into a service the platforms cannot deliver, or exit to a market where the ground is open, and neither is guaranteed. The book's job is not to promise him a position; it is to tell him the truth, and that is the case that keeps the book candid.

Chapter 39

Worked example: the one-person professional beside the giant

This is the specialist-niche case. Book 1 showed that professional services is the most interesting domestic-layer industry: the demand for specific, deep differentiation is outrunning supply, and the incumbent advisors are the most vulnerable to a sharper, more specific competitor. The giant, the Big Four accounting firm, the large law firm, the big consultancy, is too big to staff a narrow niche profitably. That is the slot the one-person professional can take.

The business

Let us take a chartered accountant who has spent twelve years in a Big Four firm and has just gone out on her own. She has deep expertise in one narrow area: the tax and compliance needs of foreign tech companies setting up in Singapore. She knows this niche cold, the incentives, the structures, the paperwork, the pitfalls. She has a network of contacts from her Big Four years.

Her problem is the one every solo professional faces: she is one person against firms with a hundred people and a famous name. When a foreign tech company needs tax advice, why would it choose her over the Big Four?

Step one: know her competitive set

Her real competitors are not “all accounting firms.” They are the specific alternatives a foreign tech company actually considers: the Big

Four, the mid-tier firms, the online incorporation services, and the in-house option. That is the ground.

The observation: in that set, she is at a scale disadvantage. The Big Four have the name, the team, and the global network. She has one person. But she also has something they do not: she is a specialist in one narrow niche, and the Big Four are generalists who staff a niche client with a team that does not specialise in it.

Step two: map the customers' minds

She asks her network what word they attach to the Big Four. The answers are candid: “safe,” “global,” “expensive,” “the name.” None of them is a word she can take. She asks what word they attach to the niche. The answers are specific: “complicated,” “slow,” “nobody really specialises in it.” That is the opening. The niche is complicated, and nobody owns it.

Step three: evaluate the differentiators

She lists every way she could stand out.

Cheaper. She can be cheaper than the Big Four, but “cheap” is not a position a foreign tech company trusts for tax advice. “Cheap” is a race to the bottom.

The name. She cannot match the Big Four’s name. She is not going to out-brand them.

The niche. This is the one with real power. She owns one narrow niche, foreign tech companies setting up in Singapore and she knows it better than anyone. The Big Four cannot profitably staff that niche with a specialist, because the niche is too small to justify a dedicated team. She can. That is the specialist niche the incumbent cannot profitably staff.

Step four: find the open slot and the trap

She looks at her market. The niche is real, growing, and unowned. The Big Four serve it as part of a general practice, with a team that does not specialise. The mid-tier firms do not have the foreign-tech expertise. The online services do the incorporation but not the advice. The slot is open.

The trap is the temptation to be a general accountant. If she markets herself as “an accountant for small businesses,” she is one of thousands, and she loses the one thing she has: the niche. The discipline is to stay narrow, because the niche is the only ground where she can beat the giant.

Step five: decide the position and make a plan

She decides. She will own the niche, foreign tech companies setting up in Singapore. She writes her positioning statement: *for foreign tech companies setting up in Singapore, I am the specialist in your tax and compliance, because I have done it for twelve years in the Big Four, so you can set up without the surprises.*

The plan is candid about the work. She does not need to out-brand the Big Four; she needs to be the name the niche reaches for. She writes about the niche, speaks at the events the niche attends, and makes sure every foreign tech founder who needs tax advice hears her name. She is not competing with the Big Four for general work; she is taking the niche they cannot profitably staff.

Why the giant cannot follow and the one-person shape that lets her take it

The reason this position is available is structural, and it is worth understanding. The Big Four cannot profitably staff a narrow niche with a specialist, because the niche is too small to justify a dedicated team; a niche client is served as part of a general practice, and the specialist

knowledge lives in the firm but is spread across many clients and teams. She can make the niche her entire business. Every hour she works is on the niche. Every client she takes is in the niche. She accumulates the depth the giant cannot justify, because the giant has to serve a hundred niches to fill its teams, and she has to serve one.

And she is a one-person company, which is not a disadvantage; it is the reason the niche is available to her. Three things follow from being one person. **The name is the word**, for a one-person company, the name can carry the position directly, and she does not need a brand team to make the word stick; her own name, attached to the niche, is the word. **The owner is the proof**, her proof is her own twelve years in the niche, more specific than the firm's general claim. **The referral is the growth**, every foreign tech founder she helps becomes a referral source, and the referral carries the word. The limit is that a one-person company can only hold one word deeply, because one person can only be one specialist well. She must choose one niche and own it completely, which is exactly the discipline the niche position demands.

What changed

The change is the niche. Instead of being one accountant against a hundred, she is the specialist in one narrow ground where the giant is too big to follow. The foreign tech company that needs her niche does not choose between her and the Big Four; it chooses between her and nobody, because nobody else owns the niche. The giant's scale is irrelevant to the slot, because the specialist does not need scale; she needs a word, and the niche is her word.

This is the specialist-niche case, and it is the most available position in the book. Book 1 showed that professional services is fragmented, growing, and under-served at the deep end. The one-person professional who owns a narrow niche, the foreign-tech tax specialist, the single-industry compliance expert, the bespoke advisor for one type

of investor, takes a slot the giant cannot profitably staff. That is the flank, and it is open to a single person with a word.

Chapter 40

Real failure cases: when the word was not enough

A book about positioning that only tells success stories is not a book to be trusted. The reader who knows the sector will stop trusting it the moment it pretends every positioned brand wins. So this chapter does the harder thing: it names real Singapore cases where the method was tested and did not deliver, and it is candid about what that means.

The brand that widened and lost its word

Ka-Soh is the clearest Singapore case of a brand that widened and lost its word. It started with a sharp, specific position: a word the customer could recall and repeat. The brand was a fish soup specialist. From a pushcart at the Great World amusement park, founded in 1939, it built a name on one thing: a creamy, milky fish soup, boiled from bones, that Singaporeans trusted for generations. That was the word. Fish soup. The customer who wanted fish soup said “Ka-Soh.”

Then it grew, and the growth was the problem. Ka-Soh moved from a humble fish soup stall into a full zi char restaurant, the Cantonese term for home-style cooked dishes. Its menu swelled to the whole repertoire: fried rice, hor fun noodles, prawns in salted egg, deep-fried frog legs, prawn paste chicken, sweet and sour pork, claypot dishes, even a pen cai for Chinese New Year. The Michelin Bib Gourmand it had won for fish soup was still there, but the customer entering Ka-Soh no longer faced one thing. They faced everything a zi char restaurant serves.

The word blurred, and with it the position. The customer who used to say “that is the fish soup place” started saying “they do a bit of everything now.” A fish soup specialist that serves the full zi char menu



Figure 40.1: Where positioning fails.

is no longer the fish soup specialist; it is one of a hundred zi char restaurants, competing on rent, on price, on footfall, on nothing it uniquely owns. The premium price it charged for its famous broth now had to be justified in a category where the customer’s instinct is that zi char food should be cheap. The reason to purchase, the one word that had carried it for eighty years, was diluted under everything it had become. When the lease on its last outlet at Greenwood Avenue was not renewed, and the rent and the manpower costs pressed in, there was no word left that made the price worth paying. The last outlet closed on 28 September 2025, after 86 years.

The lesson is not “never grow.” It is “grow within the word.” The brands that survived grew by deepening the word, not by blurring it. And the correction, tellingly, is one the owners themselves arrived at: a 2026 revival of Ka-Soh, rather than returning as a full zi char

restaurant, narrowed back to its two strongest draws, the fish soup and the prawn paste chicken. The way back to the word was to stop being everything and be the fish soup place again.

The same widening pattern took Metro out of retail after about seventy years. Metro, founded in 1957 by Ong Tjoe Kim, grew from a High Street textile store into one of Singapore's most loved department stores, then widened into property, renaming itself Metro Holdings and shrinking the retail arm that had made the name until the word "Metro" meant a property company with a shopfront. In July 2026 it announced it would close its last two department stores, at Paragon and Causeway Point, when their leases end. The property business continues; the retail word is gone. And Cedele, the fresh, healthy bakery and cafe, grew into a chain until its own rebranding agency named the disease, saying the brand's "chain-like ubiquity and impersonal brand identity had eroded its brand equity," and its outlets began to close through 2024 and 2025. The pattern is the same in every case: the growth was the problem, because the growth blurred the word.

The specialist that became a conglomerate: Tenderfresh

Tenderfresh is the clearest case of a specialist that grew by abandoning its word, and it is worth telling because the founder said the blur out loud. Tenderfresh started as a fried chicken specialist, a hawker stall that built a name on one thing: fried chicken. The word was clear. The customer who wanted fried chicken said "Tenderfresh."

Then it grew, and the growth was the problem. Tenderfresh expanded into a group of more than twenty brands and over eighty outlets, selling not just fried chicken but pasta, pizza, salads, and western grills under names like Torigo, Amigo, Golden Rooster, and Pasta and Broiler. The founder put the blur into words: "We are not defined by just fried chicken. We want to keep introducing new products and experiences." That is the widening in a single sentence. The brand

that was the fried chicken specialist decided it was not defined by fried chicken, and so it stopped being the thing its name had meant.

The cost of the blur was real. The brand that had owned a word now owned nothing, because it had decided not to be defined by the word. In May 2021, the founders sold a majority stake to the coffee shop operator Kimly for about S\$54 million, ceding the specialist ground they had once owned.

The differentiation nobody wanted: Thirsty4Balls

There is a Singapore case that teaches a different lesson from the widening ones, and it is worth telling because it is the reverse of every “just differentiate” myth. Thirsty4Balls was a Korean billiards bar that opened at The Cathay in 2018, the only one in Singapore. That was genuine differentiation: an entirely new game, Korean Four Ball and carom billiards, that almost no Singaporean had seen, served in a bright, Instagram-worthy space with a ball pit, cheap drinks, and friendly teaching. On differentiation alone, it was flawless. There was nothing else like it in the country.

The problem was that demand was not there. The owner, JJ, was Korean, and he opened the bar, in his own words, to appeal to the missing market for the Koreans. Most of the patrons were Koreans. The game was mainstream in Korea, where players commonly bet on the results and the loser pays for the table or the drinks. But that culture did not carry over. A Korean player arrives knowing the game and the social ritual. The Singaporean customer had no reference for it. Korean Four Ball was a curiosity, a novelty to try once, not a habit. The differentiation was clear. The demand was not.

The lesson is the one this book must state plainly: not everything that is unique sells. Uniqueness is not the same as demand. A sharp position must sit on a customer who already wants it, in numbers large enough to pay the rent. Thirsty4Balls did not fail because it was generic. It failed because it was different in a way the Singapore

market did not already want. The word was sharp; the market was thin.

And this is where cultural nuance matters most. What is mainstream in one country can be a foreign novelty in another. A business that imports a word from another culture without checking that the meaning, the habit, and the demand travelled with it is gambling that the novelty will become a habit. Sometimes it does. Often it does not.

The proof is in what followed. By October 2020, Thirsty4Balls had relocated and rebranded, becoming a broader venue that added American pool and a full gastro, bar and cafe offering alongside the Korean tables. The pure Korean billiards concept, that crystal-clear differentiation to the missing market, was not enough on its own, and the owners broadened it to reach customers who did not already play. The bar today is a different, wider thing. The Korean-only word was abandoned for a wider one, because the narrow word had no demand beneath it.

The brand that had a sharp position and failed anyway

This is the most credibility-building case in the book, and it is the one most books skip. Creative Technologies had a genuinely sharp, well-communicated position, and it failed anyway, not because the word was wrong, but because the category the word lived in disappeared under it.

Creative Technologies is the cleanest example in Singapore of a brand owning a word so completely that the word became the product. It was founded in Singapore by Sim Wong Hoo, and in the 1990s it did something almost no Singapore company had done: it made a computer component into a household name. The Sound Blaster sound card was the standard. If a game said it supported sound, it said “Sound Blaster compatible.” Other sound cards had to be made to work with it. Creative did not just lead the sound card market; for more than a decade it was the sound card, the way a brand can become its category in the customer’s mind.

At its peak in 1996, Creative's revenue was about US\$1.6 billion, one of the biggest technology companies to come out of Singapore, and the first Singapore company to list on the American NASDAQ. That peak is the proof of the position. The word was so strong that the customer could not separate it from the product: sound in a PC meant Creative.

Then the category disappeared. The personal computer industry stopped selling sound as a separate part. Chip makers built sound onto the motherboard, into every new computer as a free, standard feature, through integrated audio standards like the ones Realtek sold by the million. The customer no longer had to choose a sound card, so the customer no longer had to choose Creative. The word "sound card = Creative" did not lose to a rival; it lost to nothing, it lost to the product itself becoming a free, invisible part of the machine. This is the second thing positioning cannot control, and Creative is the case that teaches it: a brand can own a word perfectly in a category that is being replaced. When the category dies, the word dies with it, because the mind holds the word for a product nobody has to choose anymore.

The reasons are not a failure of positioning. They are the things positioning cannot control: rent, a category that disappeared, and timing. Creative also shows the hardest part of this limit: the company tried to win a new word, and could not. It moved into portable music players, but lost the MP3 war to Apple's iPod. It tried 3D graphics and webcams and videoconferencing, and none of them gave it a new thing to own. From the US\$1.6 billion peak in 1996, revenue fell to about US\$61 million by 2022, and the company that was the sound card today makes a low-profile range of headphones and speakers, still listed on the Singapore Exchange but a shadow of what it was. A great word is not a guarantee of a second word. When the category dies, the skill of the repositioning, not the strength of the old position, decides whether the brand survives.

The lesson is the limit of the method. Positioning is powerful, but it is not magic. It cannot create demand, cannot replace delivery, cannot make a market pay, and cannot fix bad location economics or a

40.5. THE BASE RATE: WHAT SHARE OF POSITIONED BUSINESSES STILL FAIL?

disappearing category. A sharp position is necessary but not sufficient: it is the difference between winning and losing in a category that can be won, not a guarantee of winning in a category that cannot.

The base rate: what share of positioned businesses still fail?

The question, and the one this chapter must answer plainly: of the businesses that claimed a narrow word, what share still failed? The answer is that the number does not exist. Singapore does not publish a survival rate for positioned versus unpositioned businesses. No one has measured it, because “positioned” is not a category the statistics track.

That absence is itself a finding, and it should change how much weight the reader puts on the method. It means the success stories in this book are not proof that positioning works; they are proof that positioning can work. The difference matters. A book that claimed “positioning works” on the strength of the success stories would be overstating the evidence. A book that says “positioning can work, and here is how, and here is the limit of the evidence” is telling the truth. The base rate of failure is real, and positioning does not eliminate it. What positioning does is shift the odds, it makes the business referable, it lifts it out of the price war, it gives it a reason to be chosen. It does not make the business immune to rent, to a disappearing category, or to bad timing. The reader should use the method with that candour: it is the best available lever, and it is not a miracle.

What the failure cases change

Read the failure cases together and they do not weaken the method; they sharpen it. They tell the reader exactly where positioning works and where it does not, so the reader does not waste years on a position that cannot save a business with a broken foundation. The first thing they change is the order of operations: positioning is not the first

question. The first question is whether the foundation is sound, is there real, paying demand? Can the location economics work? Is the category going to be there in five years? If the answer to any of these is no, positioning is not the fix. The reader who positions a business with a broken foundation is building a word on sand. The failure cases are not a warning against positioning; they are a warning against positioning a broken foundation. That is the most useful warning this book can give.

Chapter 41

What else was going on: the causes behind the success stories

A book that attributes every success to positioning is not a book to be trusted, because the reader who knows the sector will stop trusting it at the first case where the real cause was something else. This chapter does the work: for the brands this book has told, it names what else was going on, and then states what positioning specifically contributed. It makes the book more interesting and far more defensible.

Grab: capital, regulation, and a regional retreat

The story this book told of Grab is that it repositioned the ride-hailing category, it took power from the dispatcher and gave it to the passenger. That is true, and it is not the whole story. Grab's rise had other primary causes that had nothing to do with positioning.

The first was capital. Grab raised enormous sums, billions of dollars and used them to subsidise rides and undercut competitors. A positioning story cannot explain that; a capital story can. The second was local regulatory fit. Grab navigated Singapore's and the region's regulations better than its rivals, and it built the relationships that let it operate where others could not. The third was driver incentives. Grab built a large driver network by paying drivers well, and the network was the supply that made the service reliable. The fourth was Uber's regional retreat. Grab's single biggest competitor, Uber, withdrew from Southeast Asia and sold its business to Grab, a decision made in a San Francisco boardroom, not by Grab's positioning.

So what did positioning contribute? It gave Grab the word, the app you already have, the default, the name that means ride-hailing in the region. When Uber left, the word was already Grab's, and the customer did not have to learn a new name. Positioning did not create the capital, the regulatory fit, the driver network, or Uber's retreat. It made sure that when those forces delivered the market, the word was already taken. That is the contribution: positioning did not cause the win, but it made the win stick.

Secretlab: engineering and esports marketing

The story this book told of Secretlab is that it created the premium gaming chair; it did not fight the cheap chairs on price; it created a new category and became its leader. That is true, and it is not the whole story.

The primary cause of Secretlab's success was product engineering. The founders did not just claim "the best gaming chair"; they built a chair that was genuinely better, real leather, rigorous testing, an eight-hour blind test, a focus on comfort and durability. The product was the moat, and the engineering was the cause. The second cause was esports marketing. Secretlab embedded itself in the esports world, the tournaments, the streamers, the teams so that the serious gamer saw the chair everywhere. That marketing was not positioning; it was distribution and association.

So what did positioning contribute? It gave the engineering a word to stand behind. "The best gaming chair" was the claim that the engineering made true. Without the engineering, the word would have collapsed, the customer would have found out the chair was not the best. Without the word, the engineering would have been a good product with no name in the customer's mind. The two worked together: the engineering made the word true, and the word made the engineering known. Positioning did not build the chair; it made sure the chair had a name.

Charles & Keith: a viral moment and the product

The story this book told of Charles & Keith is that it found the gap between cheap and luxury and grew by owning “affordable style for the modern Asian woman.” That is true, and it is not the whole story.

A large part of the recent global lift was a viral social moment. Charles & Keith’s products, the bags, the shoes, went viral on social media, carried by influencers and by the platform’s own algorithm. That viral moment drove a surge of global demand that positioning did not create. The product was also a primary cause: the brand made the right product at the right price for the Asian customer, and the product carried the brand.

So what did positioning contribute? It gave the viral moment a name to attach to. When the product went viral, the customer had to know what to call it and “Charles & Keith” was the name, with a clear word (“affordable style for the modern Asian woman”) behind it. A viral moment for a nameless product is a viral moment wasted; the customer sees the product, cannot name it, and moves on. Positioning made sure the viral moment landed on a name the customer could recall and repeat. It did not create the moment; it made the moment count.

TWG: borrowed heritage, not category creation

The story this book told of TWG is that it created the luxury-tea category. That is partly true, and it needs a candid correction. TWG’s “1837” is borrowed heritage, the year refers to the founding of the Singapore Chamber of Commerce, not to TWG itself, which was founded in 2008. The brand borrowed the weight of history to give a young company the feel of an old one. That is not category creation; it is heritage branding.

So what did TWG actually do? It created a luxury-tea *experience*, the teahouse, the salon, the thousand blends, the premium positioning, in a market where tea was a commodity. That is real, and it is the

flank. But the “1837” is a borrowed signal, not a genuine history, and the book names it as such. The lesson is not “borrow a heritage you do not have”; it is “create a category and own it.” TWG’s real position was the luxury-tea experience, and the borrowed date was a decoration on top of it. The reader should take the category creation and leave the borrowed heritage.

What the causes change

Read the causes together and they do not weaken the method; they make it defensible. The reader who knows the sector, who knows that Grab won on capital, that Secretlab won on engineering, that Charles & Keith won on a viral moment, will stop trusting a book that pretends positioning did it all. The version names what else was going on, and then states what positioning specifically contributed.

And the contribution is consistent across all four. Positioning did not cause the win; it made the win stick. It gave the capital, the engineering, the viral moment, and the category a name the customer could recall and repeat. It did not create the force; it made sure the force landed on a word. That is the defensible claim of this book: positioning is not the cause of success, but it is the thing that makes success durable. A business that wins on capital and has no word loses the word when the capital stops. A business that wins on capital and owns a word keeps the word when the capital stops.

This gives the reader a test to apply to every success story, including the ones in this book: what else was going on? For every brand that succeeded, ask what the primary cause was, the capital, the engineering, the timing, the structural advantage and then ask what positioning contributed on top of it. The reader who applies this test will not be fooled by a book that attributes every success to positioning, and will not dismiss positioning because it was not the only cause. The test also applies to the reader’s own business: when you succeed, ask whether the success was a structural advantage or a lucky moment (in which case the question is whether the word will survive when the

advantage fades), or whether it was the word itself (in which case it is durable). The reader who can tell the two apart is the reader who knows what their position is actually worth.

Chapter 42

Where each posture is structurally available

The four postures, defensive, offensive, flanking, guerrilla, are not equally available to every business. A posture is only as good as the ground it is played on, and the ground is set by the structure of the industry. This chapter fuses the theory of this book with the data of Book 1: for each posture, it names the structural conditions that make it available, and it reads those conditions off the concentration and fragmentation data.

The table: reading the structure off Book 1’s numbers

Book 1’s industry map gives the value per worker and the share of GDP for every industry. Read those numbers for what they say about structure, and the posture follows. The table below is the fusion made concrete: one row per industry, with the figure, the structure it implies, and the posture the structure makes available.

Industry (2025)	Value per worker	Share of GDP	Structure	Posture available
Manufacturing	\$282k	~20% (S\$132.8bn value added)	Concentrated, MNCs and state-linked giants, capital-intensive	Defence (for the giants); flank (niche supplier around them)

Industry (2025)	Value per worker	Share of GDP	Structure	Posture available
Wholesale trade	\$494k	18.6%	Concentrated, corporate, capital-intensive	Defence (giants)
Finance	\$436k	13.2%	Concentrated, regulated, bank-dominated	Defence (the banks)
Professional ser- vices	\$146k	small	Fragmented, growing	Flank, the specialist niche
Education / tuition	\$150k	small (tuition \$1.8bn, +29% in 5 yrs)	Fragmented, 1,000+ centres, no owner	Flank, the subject specialist
Health / care	\$94k	small	Fragmented, ageing-adjacent, growing	Flank, the care specialist
Retail	\$58k	small	Brutal, dense, price-war, low survival	Guerrilla, the corner
Food & bever- age	\$32k	small	Brutal, <25% five-year survival, price-war	Guerrilla, the dish, the neighbourhood

The pattern is the point. The concentrated industries, manufacturing, wholesale, finance, make defence available to the leader and the flank to the niche-player around the giant. The fragmented industries,

professional services, education, health, make the flank available to the category-creator. The brutal industries, retail, food, make guerrilla available to the corner-holder. Read your industry off the table, and the posture is not a choice; it is a discovery.

Defence: where the leader can hold

Defence is the posture of the market leader. It is available only where there is a leader to be, where the industry is concentrated enough that one name owns the ground. The concentrated industries in the table, the banks, the airline, the telecom, the Big Four accounting firms, the supermarkets, are owned by a few names, and the leader's job is to defend the ground. The supermarket leader, NTUC FairPrice, plays defence well: it defends "the trusted default" by keeping prices fair, opening more stores, and reminding Singaporeans it is "Singapore's very own." The challenger, Sheng Siong, does not play defence; it attacks on value.

The reader who is not the leader in a concentrated industry cannot play defence. They are playing against the leader, which is a different posture, offence if they have a real advantage, the flank if they can find the niche the giant cannot staff.

Offence: where the challenger can break through

Offence is the posture of the challenger who attacks the leader. It is available only where there is a leader to attack, and where the challenger has the resources to win the attack. The concentrated industries are owned by scale, the banks, the airline, the telecom. A challenger who attacks the leader head-on in those industries loses, because the leader has the scale, the brand, and the channel.

Offence is the rarest posture, because it requires both a leader and a vulnerable leader. In the concentrated industries, the leaders are strong. In the fragmented industries, there is no leader to attack. Offence is available in the middle, the industries where a leader exists

but is vulnerable, where a challenger with a real advantage can break through. The warning is that most small businesses overestimate their ability to play offence. The small player that tries to fight the leader head-on loses. Offence requires a real advantage, a better product, a lower cost, a channel the leader has not built. The reader who has no such advantage should play the flank or the guerrilla.

The flank: where a category can be created

The flank is the posture of creating a new category and being first in it. It is the most available posture for a small business, because it does not require a leader to attack or a scale to match. It requires an open category, a word no one owns, a need no one serves, a corner no one occupies.

The structural condition for the flank is fragmentation. The fragmented industries in the table, professional services, education, health, are where no one owns the money and a word can be taken. The tuition centre that owns “the maths centre” is a flank. The home-care provider that owns “the dementia specialist” is a flank. The salon that owns “the neighbourhood’s brides” is a flank. None of them attacked a leader; each created a category and became its leader. The flank is available wherever the category is open.

Guerrilla: where the small player can hold a corner

Guerrilla is the posture of the small player who holds a corner the big players do not bother with. It is the posture this book has spent the most time on, because it is the one most available to the small operator in a dense, brutal, price-war industry.

The structural condition for guerrilla is a corner that the big players do not occupy. The brutal industries in the table, retail, food, are dense, fragmented, and price-war. The big players do not bother with the corner, the neighbourhood, the specialist dish, the niche service because it is too small to justify their attention. The hawker who owns

a dish, the salon that owns a neighbourhood, the specialist who owns a niche, these are guerrillas, holding a corner the big players do not bother with. The guerrilla does not attack anyone; it holds a corner the big players do not want. It does not need to beat the leader; it needs to own a corner the leader will not enter.

Three worked reads of the diagnostic

The diagnostic is simple: read your industry off the table, then pick the posture the structure makes available. Three worked reads show it in full.

A concentrated industry, finance. The value per worker is S\$436k, the share of GDP is 13.2%, and the industry is regulated and bank-dominated. The structure is concentrated. If you are the leader, one of the banks, defence is your posture. If you are not the leader, you are playing against the banks, and the posture is the flank: the niche the bank cannot profitably staff, the specialist advisor for one type of investor, the compliance expert for one industry.

A fragmented industry, tuition. The value per worker is S\$150k, the tuition market is S\$1.8bn and grew 29 percent in five years, and the industry is fragmented, a thousand centres, no owner. The structure is fragmented, and the category is open. The flank is your posture: the maths centre, the PSLE specialist, the science centre. You do not have to beat a leader, because there is no leader to beat.

A brutal industry, food and beverage. The value per worker is S\$32k, the lowest of any sector, and fewer than one in four F&B businesses survive five years. The structure is brutal and price-war. Guerrilla is your posture: the hawker who owns a dish, the restaurant that owns a neighbourhood, the stall that owns a moment. The big players are not coming for your corner, because it is too small to justify their attention.

The limit of the diagnostic

The diagnostic is a starting point, not a verdict. It reads the aggregate structure, and aggregate structure is not the whole story. A reader in a concentrated industry might still find a guerrilla corner; a reader in a fragmented industry might find the category is more owned than the aggregate suggests. The use of the diagnostic is to point the reader in the right direction, and then to verify against their own market.

That is the fusion this book offers. Book 1 gave the map, the concentration and fragmentation of every industry, with the numbers. This book gives the method, the postures and the word. The fusion is the diagnostic: read your industry off the map, choose the posture the structure makes available, and then find the word within it. The reader who reads the structure and plays the posture it makes available has the chance. The reader who plays the posture they wish were available will waste years fighting the wrong war. That is the difference the fusion makes, and it is the reason this chapter exists.

Chapter 43

The objections: a dialogue with a sceptical owner

Every method should be able to answer its critics. This chapter is a dialogue with a sceptical Singapore small business owner. The owner raises the objections that every reader will have, and the book answers each one plainly, including where the correct answer is that positioning will not help.

“My customers only buy on price.”

The answer is that this is usually true of the customers you currently have, and it is a statement about your position, not about the market. If you are competing on price, the customers you attract are the ones who buy on price because that is the only reason you have given them to choose you. The customer who buys on price is the customer you have trained to buy on price.

The question is whether there is a customer in your market who does not buy on price, who would pay more for a specific word, a trusted name, a reason to choose beyond the price. In most markets, that customer exists. The referral-driven buying this book has described is not price-driven; it is trust-driven. The customer who comes to you because a neighbour recommended you is not comparing your price to the shop next door; they are coming because they trust the name. If, after genuine effort, every customer in your market truly buys on price, if there is no trust, no referral, no word that would move the decision, then positioning will not help, and the answer is that you are in a pure commodity, where the only lever is cost. That is a real situation, and the book does not pretend it is not.

“I’m a hawker. If I specialise I starve.”

This is the fear this book has already addressed in the hawker worked example, and it deserves a straight answer here. The fear is real: specialising means betting the stall on one dish, and if the dish does not take, the rent does not bend.

The answer is the pilot. You do not have to specialise overnight. You keep the mixed rice, you make one dish your signature, you name it on your sign, and you watch whether people start coming for it. If they do, you narrow further. If they do not, you have lost a few months, not the stall. The specialist is not starving; the interchangeable stall is the one that dies.

“The word I want is already taken.”

The answer is that a taken word is not the end of the search; it is the beginning. If the word you want is owned by a leader, you have three options. The first is to be different in a way the mind can hold, the gourmet version, the specialist version, the version for a specific customer. The second is to create a new category: if you cannot be first in an existing category, create a new one and be first in it. The third is to find the corner the leader does not occupy, the niche, the neighbourhood, the customer the leader serves poorly because it serves everyone.

The limit is when the word is taken AND the category is concentrated AND the leader owns every slot. In that situation, a genuinely closed market, positioning will not help, and the answer is to find a different market. But that is rarer than the fear suggests. Most markets have an open word, because most incumbents are too generic to have claimed one.

“I did this and nothing happened.”

The answer is that positioning is not a one-time event; it is a habit, and it takes time. A word is not a position until the customer holds it in their mind, and that happens through repetition and consistency over time. The business that says the word once and expects the customer to hold it is disappointed; the business that says the word, delivers on it, and is seen delivering on it for months and years is the business that owns it.

So the question is not “did I claim a word?” It is “did I claim a word and hold it long enough, consistently enough, for the mind to form the association?” If you claimed a word and dropped it after a month, nothing happened because you did not give it time. If you claimed a word and held it for a year and nothing happened, then the word may be wrong, or the delivery may not match the promise, or the market may not be there. And there is a harder possibility the book must name: you did the right thing, and it still did not work, because the foundation was not sound, the market was not there, or the location economics did not work, or the category disappeared. That is the failure case this book has already told.

“I have three unrelated income streams and I need all of them.”

The answer is that this is the hardest objection, because it is the most common and the most structurally opposed to positioning. A position is a single word in the customer’s mind. Three unrelated income streams are three words, and the mind cannot hold three words for one business.

The options are three. The first is to pick one stream and position it, letting the others fund the transition. The second is to run the three streams as three separate brands, each with its own word, which is what a holding company does, and it is legitimate, but it is three positions, not one. The third is to accept that you are running three

businesses, not one, and that positioning applies to each separately. The book does not pretend there is a way to have one word and three unrelated streams. There is not.

“I’m too small for this to matter.”

The answer is that smallness is not a reason to skip positioning; it is the reason positioning matters most. The big player can survive without a position, because it has scale, brand, and channel. The small player has none of those. The small player’s only lever is the word in the customer’s mind, the reason to be chosen beyond price. A small business that skips positioning is a small business with no reason to be chosen, competing on price against bigger players, in a market that is capped. That is the definition of a losing position.

The counter is the arithmetic this book has used throughout. A small business that owns a word is not competing with the big players for everyone; it is competing for the specific customer who wants the word. That is a fight the small player can win. So the answer to “I’m too small for this to matter” is the opposite: you are too small to skip it. The word is the one thing that lifts you out of the price war, and it is the one thing you can build.

The close of the objections

The objections are not a weakness in the method; they are the method’s boundaries. Positioning works when the foundation is sound, the word is open, and the business holds the word consistently over time. It does not work when the foundation is broken, the market is a pure commodity, or the business cannot hold one word. The reader who knows where the method works and where it does not is the reader who can use it. The reader who treats it as a guarantee will be disappointed. This book is trying to give the first reader the chance, and to warn the second.

Chapter 44

After the word is claimed: years two through ten

This book has spent its length on how a small business finds and claims a word. It has said little about what happens after, the years two through ten, when the word is claimed and the work is holding it. This chapter is about that. It is the part most positioning books skip, and it is the part that decides whether the word becomes a durable position or a passing claim.

Hiring against the word

The first thing that changes after the word is claimed is that you are no longer hiring people; you are hiring the word. Every person you bring in either carries the word or dilutes it. The employee who delivers the word, who makes the customer feel the specialist, the trusted name, the neighbourhood champion, strengthens the position. The employee who does not, who is indifferent, inconsistent, or generic, weakens it, because the customer experiences the word through the people who deliver it.

The discipline is to hire against the word. When you interview, ask not only “can this person do the work?” but “will this person carry the word?” The specialist who hires a generalist dilutes the specialism. The trusted name that hires someone who does not care about trust damages the trust. The word is not a slogan on the wall; it is the behaviour of every person the customer meets. Hiring against the word is how the position survives the moment you stop being the only person delivering it.

The first location that is not yours

The second thing that changes is the first location that is not yours. The first shop, the first stall, the first office, that is yours, and you control it. The second location is a test of whether the word travels. The question is not “can we open a second location?” It is “does the word survive the second location?”

A word that is tied to a person, the specialist who is also the owner, does not travel to a second location, because the person is not there. A word that is tied to a place, the neighbourhood champion, does not travel, because the neighbourhood is not there. A word that is tied to a standard, the trusted name, the consistent quality, can travel, because the standard can be replicated.

The discipline is to ask, before the second location, whether the word is a person, a place, or a standard. If it is a person or a place, the second location will dilute it, and the answer is to stay single until the word becomes a standard. If it is a standard, the second location can work, but only if the standard is actually delivered there. The brands that grew, the ones this book has told, grew because their word was a standard that could travel, not a person or a place that could not.

Franchising versus staying independent

The third thing that changes is the choice between franchising and staying independent. This is the point where a positioned brand decides whether to rent its word or keep it.

Franchising is renting the word. The franchisee pays for the right to use the name, and the brand grows by licensing the position to others. The advantage is scale, the word spreads faster than the owner could spread it alone. The risk is control, the franchisee may not deliver the word, and a single bad franchisee damages the position for everyone. The brands that franchised, Ya Kun, the kaya-toast chain, grew by renting the word, and they grew because the word was a standard that could be replicated.

Staying independent is keeping the word. The owner grows by opening their own locations, and the word stays under the owner's control. The advantage is control, the word is never diluted by a franchisee who does not deliver it. The risk is speed, the word grows as fast as the owner can grow it, which is slower than franchising.

The choice depends on the test the last section established: whether the word is a standard or a person. A standard can be franchised, because it can be replicated. A person cannot be franchised, because the person is not in the franchise. The reader should know which kind of word they own before they choose.

Succession: the word after you

The fourth thing that changes is succession, and it is the one this book has been building toward without naming it. The brands this book has told, Song Fa, Ya Kun, Khong Guan, are all second-generation stories. The founder claimed the word, and the second generation re-earned it. That is the hardest test of a position: does the word survive the person who claimed it?

The answer follows from the same distinction. A word survives succession only if it has become a standard, not a person. The founder who is the word, the specialist who is also the owner, cannot pass the word on, because the person is not in the successor. The founder who built a standard, the consistent quality, the trusted process, the named position, can pass the word on, because the standard can be delivered by the successor.

The discipline is to build the word as a standard from the start, so that it can survive you. That means writing down what the word is, how it is delivered, and what it means so the successor can hold it. It means hiring people who carry the word, so the word is not dependent on you. It means making the word a property of the business, not of the person. The brands that survived succession did this; the brands that were the founder faded with the founder.

The word is a discipline, not a prize

The through-line of years two through ten is that the word is a discipline, not a prize. It is not claimed once and held forever. Re-earning it happens every day, through the people you hire, the locations you open, the choice to franchise or stay independent, and the succession you plan. The brands that went from small to big did not claim a word and stop; they re-earned it, year after year, through every decision that followed.

That is the close of this book. The word is the start, not the end. The work of positioning is not the moment of claiming; it is the decades of holding. The reader who claims a word and treats it as a prize will lose it. The reader who claims a word and treats it as a discipline, hiring against it, growing within it, planning for the day it must survive them, has the chance of building something that lasts.

Chapter 45

The apparatus: the tools you can actually use

This book has described the method in prose. This chapter gives you the tools in a form you can use: the five-step process as a diagram, the four postures as a matrix, the one-page position as a fillable page, and a positioning-statement template with completed examples. These are the pages to tear out, photocopy, and put on the wall.

The five-step process

The whole method, in one diagram:

Step 1	Step 2	Step 3	Step 4	Step 5
Know the competitive set	Map the customers' minds	Evaluate the differentiators	Find the open slot and the trap	Decide the position and plan
Who actually competes for your customer?	What word do customers already associate with the category?	Of all the ways you could stand out, which can you actually win?	Which word is genuinely free, and which "open" slots are a trap?	The one clear thing you will be known for, and the steps to claim and hold it.

Read it left to right. Each step answers the question the last one raised. Step one tells you the ground. Step two tells you the mind.

Step three tells you the options. Step four tells you the opening. Step five turns it into a decision and a plan.

The four postures: a matrix

The four postures, and the structural conditions each requires:

Posture	Who plays	The structural condition	The move	Available where
Defence	The market leader	Concentration, the top few hold the share	Hold the word, defend the ground	The concentrated industries (banks, airline, telecom, supermarkets), leader only
Offence	The challenger	A leader who is vulnerable	Attack where the leader is weak	The middle, a leader exists but is vulnerable
The flank	The category creator	Fragmentation, no one owns the category	Create a category, be first in it	The fragmented industries (tuition, home care, professional tiers)
Guerrilla	The small player	A corner the big players do not occupy	Hold a corner, own a word	The brutal, price-war trades (retail, food, personal services)

Read the last column first. It tells you which posture your industry makes available. The posture is not a choice; it is a discovery. The structure of your industry tells you which game you are in.

The one-page position

The book has called this the most useful page a reader will produce. Here it is, as a fillable page. Copy it, fill it in, and put it on the wall.

#	Question	The prompt	Your answer
1	Who is your customer?	The specific person you serve, not “everyone”	
2	What is the category?	The word the customer uses for what you do	
3	What word do you own?	The single word or short phrase you want the customer to attach to you	
4	Why is it true?	The proof, the capability, the track record, the reason the word is real	
5	What does the customer get?	The benefit, what changes for them	

#	Question	The prompt	Your answer
6	The one line	Can you say it in under fifteen words, out loud, without wincing?	

The test is question six. If you cannot say the one line in under fifteen words, out loud, without wincing, you have not found your position yet. Everything else on the page depends on that line.

The positioning-statement template

The positioning statement is the one-page position, turned into a sentence. The template:

For [the specific customer], I am the word, because [the proof], so [the benefit].

Three completed Singapore examples:

For parents whose child is struggling with maths, I am the maths centre in this estate, because I have the teacher who fixes maths, so your child can improve.

For families with an elderly parent who wants to stay at home, I am the dementia specialist, because I have the training and the track record, so your parent can age in place safely.

For foreign tech companies setting up in Singapore, I am the specialist in your tax and compliance, because I have done it for twelve years in the Big Four, so you can set up without the surprises.

Each one names the customer, the word, the proof, and the benefit. That is the whole method in one sentence. Write yours, and check every decision against it.

The chapter summary

The apparatus is the method made usable. The five-step process shows the order. The four-posture matrix shows which game your industry makes available. The one-page position turns the method into a fill-able page. The positioning-statement template turns the page into a sentence. These are the tools to tear out and use. The prose of this book is the understanding; these pages are the doing.

Chapter 46

The close: this is the work

This book has given you the map: what positioning is, where it came from, the four postures of the market battle, the mechanics of the word, the stories of the brands that did it, and the process of finding your own position. There is one more thing to say, and it is the most candid thing in this book.

The process of finding your position, the competitive set, the customer's mind map, the evaluation of every way to stand out, the open slot, the positioning statement, is not easy. The process is real, disciplined work. It requires looking at your actual market, asking your actual customers, and being candid about the word that is genuinely open for you. No book can hand you that answer, because it lives in your specific market, not in any general theory.

I have watched this work fail and succeed in real Singapore businesses, including my own. At AlgoMerchant, I watched a company with a real product and a real word struggle to hold that word when a second, different thing blurred it. I watched a lower price fail to take a competitor's customers, because the word was already owned. And I have watched the method work, a packaging distributor find a word the leader could not take, a supplement find a customer no one was serving, a bubble tea brand and a salad market reveal the word that was actually open. The method is the work I have done, not theory I read. I have watched it change real businesses.

But the work is not mysterious either. It has a shape. It is the shape this book has described: know your competitive set, map your customers' minds, evaluate every way to stand out, find the open slot and the traps, decide your position, write it down, and re-earn it every year. That is the work.

And the work is worth it, because it is the one thing that survives. The products, the prices, the tools, all of it can be copied, all of it can be cheapened, and in the AI age all of it already is. The word in the customer's mind, the trust, the relationship, the position, is the one thing that cannot be copied, the one thing that compounds, the one thing that makes a small business something the big players cannot easily take.

The brands in this book did not stumble into that. They decided, on purpose, while still small, what word they would own. And then they re-earned it, year after year, as the market moved.

The question this book leaves you with is the one every one of those founders answered before they grew, and the one I have asked every business I have worked with: **what word do you own?**

Answer that, and you have found the move. Get it wrong, or ignore it, and you are working harder than everyone else for a share of a market where the word, not the effort, decides who wins.

That is why you should not take the importance of positioning for granted.

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Sources note

The brand stories, failure cases, and market figures in this book draw on each company's own published history, on established reporting, and on published statistics. The principal named sources are:

Singapore brand histories. Banyan Group (Banyan Tree), company history, 1994 founding, Phuket tin-mine resort (banyangroup.com); Charles & Keith, brand profile (charleskeith.com) and Martin Roll's brand-strategy commentary; BreadTalk, company history (breadtalk.com) and National Library Board reference; Grab, company history (MyTeksi 2012, HQ to Singapore, rebrand; grab.com) and Momentum Works' food-delivery market report; LiHo, Vulcan Post and The Straits Times on Rodney Tang and the Gong Cha-to-LiHo transition; NTUC Fair-Price, company history (founded 1973 as a labour cooperative; fair-price.com.sg); Old Chang Kee, company heritage (stall founded 1956 by Chang Chuan Boon near the Rex Cinema, Mackenzie Road; old-changkee.com); OSIM, company history (Ron Sim, founded 1980, rebranded 1993, listed SGX 2000, delisted 2016); Secretlab, The Straits Times and Channel NewsAsia (Ian Ang and Alaric Choo, founded 2014 with S\$50,000, millionth chair 2020, revenue ~S\$350m); Sheng Siong, company history (Lim brothers, 1980s provision-shop origin; sheng-siong.com.sg).

Failure cases. Ka-Soh, reporting on the closure of its last outlet on 28 September 2025 after 86 years, and the 2026 revival; Metro, reporting on Metro Holdings' July 2026 announcement that it would close its last two department stores at Paragon and Causeway Point; Tenderfresh, reporting on the founders' May 2021 sale of a majority stake to Kimly for about S\$54 million; Thirsty4Balls, reporting on the Korean billiards bar at The Cathay (opened 2018) and its October 2020 relocation and rebrand; Creative Technologies, company history and reporting on Sim Wong Hoo, the Sound Blaster, the US\$1.6 billion 1996 peak, and the fall to about US\$61 million by 2022.

AlgoMerchant and TradersGPS. Business Times (Singapore), October 2020, describing AlgoMerchant as "Asia's first robot trader for

retail investors”; PR Newswire, settlement release, November 3, 2022, recording the amicable settlement of Singapore High Court Suit No. 426 of 2021 and the joint ownership of the “TradersGPS” trademark by SF5 Pte Ltd, Seow Weng Kiat Collin, and Two Alpha Pte Ltd.

Singapore market statistics. The market figures in this book (value per worker by sector, GDP, FDI, CPF, workforce, AI adoption, F&B survival, referral-driven buying) draw on published statistics from SingStat, the Ministry of Manpower (MOM), and the Ministry of Trade and Industry (MTI). Specific releases are confidence-labeled in the text.

Appendix: sources & confidence

Credits. The concept of positioning and the marketing-warfare framework described in this book originate with Al Ries and Jack Trout, most fully set out in their books *Positioning: The Battle for Your Mind* (1981) and *Marketing Warfare*, and were carried into Asia by Gu Junhui, Trout's disciple and a leading positioning authority in China. This book explains these ideas in its own words and credits the originators by name. It does not reproduce their books' text, their named lists or "laws," or their diagrams; where it discusses the four postures (defence, offence, flanking, guerrilla), it does so in its own prose, as a functional explanation of how a small business can compete, not as a reproduction of any single source. The ideas themselves, positioning as a place in the customer's mind, the market as a battlefield, the four postures, are concepts in the public intellectual domain that many writers have explained in their own words. This book is an independent work. It is not affiliated with, endorsed by, or connected to Al Ries, Jack Trout, their estates, Gu Junhui, or any of their companies, and it is not an official or authorised account of their work.

Brand stories (primary/secondary, confidence-labeled). Old Chang Kee, company heritage (stall founded 1956 by Chang Chuan Boon near the Rex Cinema, Mackenzie Road; later a listed company). Charles & Keith, company brand profile + Wikipedia + Martin Roll (founded 1996, Amara Shopping Centre; parents' Ang Mo Kio shoe store; own-design pivot; first overseas store 1998; e-commerce 2004; L Capital Asia stake valuing it ~US\$158m; nearly 700 stores in 30+ countries, family-owned). BreadTalk, George Quek founded 2000, "designer bread boutique" concept (NLB/Milestone). Banyan Tree, Ho Kwon Ping & Claire Chiang, 1994, rehabilitated abandoned tin mine in Phuket, Asia's first integrated resort (Banyan Group). Grab, Anthony Tan & Tan Hooi Ling, MyTeksi 2012, HQ moved to Singapore, rebranded Grab; over

half the SG delivery market (Momentum Works/CNA, Moderate-High). OSIM, Ron Sim founded trading company 1980, rebranded OSIM 1993, wellness/massage positioning, listed SGX 2000, delisted 2016 (Wikipedia/Wikipedia, High). LiHo, Rodney Tang brought Gong Cha to SG 2009, launched LiHo after parent sale, 150+ outlets (Vulcan Post/ST, Moderate). Secretlab, Ian Ang & Alaric Choo, founded 2014 with S\$50,000, first chair March 2015, millionth chair 2020, revenue ~S\$350m, top choice in 50+ countries (Wikipedia, ST, CNA, High).

NTUC FairPrice, founded 1973 as labour cooperative, largest SG supermarket (Wikipedia/NTUC, High). Sheng Siong, Lim brothers, 1980s provision-shop origin, listed supermarket group (Wikipedia/company, High).

Market-share figures (Grab over half of delivery, FairPrice grocery leadership, ComfortDelGro two-thirds of taxi market) are directional and confidence-labeled; see the brand-map reference in Book 1 for the verified anchors.

Framework note. The “postures” (defensive / offensive / flanking / guerrilla) and the guerrilla moves are this book’s own explanation and application of the marketing-warfare concepts, original prose, not a reproduction of any source. Where a specific figure or fact is directional, it is confidence-labeled. All brand facts verified as of August 2026 and should be refreshed at publication.

Glossary

AI, artificial intelligence, software that can do work that used to require a person.

CPF, the Central Provident Fund, Singapore's compulsory national savings scheme.

DBS, DBS Bank, Singapore's largest bank.

F&B, food and beverage, the restaurants, hawkers, cafes, and bars.

FDI, foreign direct investment, money invested by foreign companies in a country.

GDP, gross domestic product, the total value of everything a country produces in a year.

HDB, the Housing and Development Board, the public-housing authority; also the flats it builds.

KTR, a Korean testing and certification body that verifies product claims.

LVMH, LVMH Moët Hennessy Louis Vuitton, the French luxury group.

MOM, the Ministry of Manpower.

MTI, the Ministry of Trade and Industry.

NASDAQ, the American stock exchange where technology companies list.

PSLE, the Primary School Leaving Examination, the national exam at the end of primary school.

SEA, Southeast Asia.

SGX, the Singapore Exchange, the national stock exchange.

SingStat, the Singapore Department of Statistics, the national statistics agency.

STP, segmentation, targeting, positioning, the standard marketing framework.

TCM, Traditional Chinese Medicine.

TWG, TWG Tea, the Singapore luxury tea brand.

About the author

Sean Foo has spent his working life inside the problem this book is about. He started his career in 2008 in Well Engineering with the Singapore wells consultancy Stuart Wright, where he rose from graduate to senior management, helped build the complex-wells service that won the company the position of complex-wells expert in offshore Australia, and watched the company scale from a handful of employees to more than forty across Singapore and Australia.

Between 2021 and 2023 he was the Chief Business Officer of Algo-Merchant, the Singapore fintech the Business Times called Asia's first robot trader for retail investors, where he learned from the inside what happens when a company gets its word right and what happens when it blurs.

Since then he has run positioning analyses for Singapore businesses across very different markets, a compostable-packaging distributor, a menopause supplement, a bubble-tea brand, a salad market study, and a pet directory business. He studied positioning under Gu Junhui in Singapore and China. This book is the method he has used, written down.

Sean Foo · How a Small Business Gets Chosen · Book 2 manuscript

